



بانك ملت
bank mellat

ANNUAL REPORT
BANK MELLAT TURKEY
2016

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**(CONVENIENCE TRANSLATION OF
INDEPENDENT AUDITOR'S REPORT ON THE MANAGEMENT'S ANNUAL REPORT
ORIGINALLY ISSUED IN TURKISH)**

INDEPENDENT AUDITOR'S REPORT ON THE MANAGEMENT'S ANNUAL REPORT

To the Board of Managers of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches:

Report on the Audit of Management's Annual Report in accordance with Independent Auditing Standards

We have audited the annual report of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches ("the Branch") for the period ended 31 December 2016.

Management's Responsibility for the Annual Report

The Branch Board of Managers is responsible for the preparation and fair presentation of the annual report which is consistent with the financial statements prepared in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulations" including the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards for the matters not legislated by the aforementioned regulations ("the financial statements") in accordance with the Article 514 of the Turkish Commercial Code No. 6102 ("TCC") and the regulation on "Preparing and Publishing the Annual Report by Banks" published in the Official Gazette dated 1 November 2006 and No. 26333, and for such internal control as management determines relevant to the preparation and fair presentation of such annual report.

Auditor's Responsibility

Our responsibility is to express an opinion on the Branch's annual report based on our audit conducted in accordance with the provisions of the Article 397 of the TCC and the regulation on "Independent Auditing of Banks" published in the Official Gazette dated 2 April 2015 with No. 29314. Our audit involves whether the financial information provided in the annual report are fairly presented and consistent with the financial statements, based on our audit report dated 14 April 2017.

We conducted our audit in accordance with Independent Auditing Standards, which is a part of Turkish Auditing Standards issued by the Public Oversight Accounting and Auditing Standards Authority ("POA"). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial information provided in the annual report are fairly presented and consistent with the financial statements and are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the historical financial information. The procedures selected depend on the auditor's judgment.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

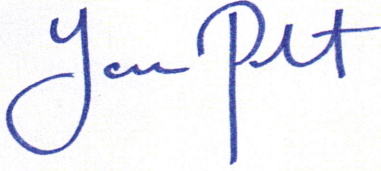
Opinion

In our opinion, the financial information provided in the Management's annual report, in all material respects, are fairly presented and consistent with the audited financial statements.

Other Legal and Regulatory Requirements

In accordance with paragraph three of the Article 402 of the TCC, nothing significant has come to our attention that may cause us to believe that the Branch may not continue its activities for the foreseeable future in accordance with Independent Auditing Standard 570 "Going Concern".

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**



Yaman Polat
Partner

İstanbul, 17 May 2017

I. GENERAL PRINCIPLES WITH RESPECT TO THE ANNUAL REPORT

- 1. Reporting period** : 2016
- 2. Commercial Title of the Branch** : Bank Mellat Merkezi Tahran İran İstanbul Türkiye Merkez Şubesi
- 3. Address of Bank Mellat Headquarters** : Taleghani Avenue. No: 327 Tahran – İran
Address of the Branch in Turkey : Büyükdere Cad. Binbirçiçek Sok No.1 34330
1. Levent - İstanbul / Türkiye
- 4. Phone** : (0212) 279 80 15
- 5. Fax** : (0212) 284 62 14
- 6. Website** : www.mellatbank.com
- 7. Electronic Mail** : mellat@mellatbank.com

II. CONTENTS OF THE ANNUAL REPORT

A. Introduction

1. Summary Financial Information

Balance Sheet (TRY -thousand)

PRIMARY ACCOUNTS	2016	2015	Increase/ (Decrease)	
			Amount	(%)
Cash Reserves and Central Bank	74.912	44.245	30.667	69,31
Banks	200.735	116.001	84.734	73,05
Receivables from Money Market	0	7.201	-7.201	-100,00
Credits	7.964	10.456	-2.492	-23,83
Available-For-Sale Financial Assets	232.561	152.216	80.345	52,78
Other Assets	9.960	10.369	-409	-3,94
Total Assets	526.132	340.488	185.644	54,52
Deposit	275.591	125.079	150.512	120,33
Borrowed loans	-	-	-	-
Provisions (Tax and Other)	7.357	5.133	2.224	43,33
Other Liabilities	3.212	2.275	937	41,19
Shareholder's Equity	239.972	208.001	31.971	15,37
Total Liabilities	526.132	340.488	185.644	54,52

Income Statement (TRY -thousand)

PRIMARY ACCOUNTS	2016	2015	Increase/ (Decrease)	
			Amount	(%)
Net Interest Income	27.577	19.538	8.039	41,15
Net Fee and Commission Revenues	9.694	817	8.877	1086,54
Other Revenues (net)	9.428	3.227	6.201	192,16
Total Revenues	46.699	23.582	23.117	98,03
Other Operating Expenses	-9.871	-9.060	-811	8,95
Provision of Credit and Other Receivables	-1.481	-285	-1.196	419,65
Profit Before Tax	35.347	14.237	21.110	148,28
Tax Provision	-6.979	-2.806	-4.173	148,72
Net Profit	28.368	11.431	16.937	148,17

2. Historical Development of the Branch

Bank Mellat Iran, established in 1980 as a state bank as a consequence of nationalization of 10 private banks, was registered with Tehran Stock Market and went public in 2008. The size of assets of the Bank is USD 58,119 million as of 20th September 2016 and the shareholder's equity of the Bank amounts to USD 2.403 million as of the same date. The bank has branches in Turkey, Armenia and Korea, and subsidiary banks in UK, Germany and Malaysia. The primary purpose of the branches and subsidiaries outside of Iran is to play an intermediary role in foreign trade transactions between Iran and especially these countries and the third countries. The Branch is granted permission to operate as the branch of a foreign bank established in Turkey by the decree dated 05th February 1981 and number 82/2406 of the Council of Ministers.

Bank Mellat has 3 branches in Turkey, the Main Branch in Istanbul which became operational on 16th April 1982, and the branches in Ankara and Izmir.

3. Shareholding Structure of the Branch

The Shareholding Structure of Bank Mellat Tehran, Iran which possesses the whole capital of the Branch is as follows:

Shareholder	31 December 2016	26 August 2015
	(**)Share Percentage (%)	(*)Share Percentage (%)
Equity shares (Public Shares)	30,00	30,00
Islamic Republic of Iran	17,00	18,95
Saba Tamin Insurance Company	8,71	9,91
Bank Mellat Employee Future Trust Fund	6,45	6,99
Social Security Institution of Iran	3,81	3,81
Mellat Financial Group Company	3,40	3,43
Personnel Shares	-	-
Other Shares Publicly Traded	30,63	26,91
Total	100	100

(*) The shareholding structure as of 31.12.2015, reported by the General Directorate for Financial Affairs, Directorate for Stock Market and Stocks of Bank Mellat Iran, was submitted to the BRSA by the written notice dated 11.01.2016 and number 236.

(**) This is the shareholding structure as declared by the General Directorate for Financial Affairs, Directorate for Stock Market and Stocks of Bank Mellat Iran as of 31.12.2016.

4. Changes in its Capital and Shareholding Structure During the Operating Period

The Branch has increased its subscribed capital of TRY 156.914K to TRY 200.000K with an increase of TRY 40.150K by use of internal sources and TRY 2.936K in cash, TRY 43.086K in total.

5. Titles of Natural or Legal Persons who hold Qualified Shares and Information about Their Shares

100% controlling capital holder of the Branch is the Bank Mellat residing in Tehran Iran. Natural or legal persons who hold qualified shares of the Bank Mellat Tehran, Iran as of the end of the period are indicated in the following table.

Name, Surname/Title	31 December 2016			
	Share Amount	Share Rate	Paid Share	Unpaid Share
Equity shares (Public Shares)	60.000	%30,00	60.000	-
State of Islamic Republic of Iran	34.000	%17,00	34.000	-

6. Remarks Regarding the Shares, if any, Held by the Chairman and Members of the Board of Managers and General Manager and Deputy General Managers of the Branch

There is not any share held by the chairman or members of the Board of Managers, or the general manager, or deputy general manager.

7. Remarks on the Operating Period made by the Chairman of the Board of Managers and General Manager and Their Prospects

7.1. Message of the Chairman of the Board of Directors

The economic and commercial relations between Iran and Turkey were limited until the early 2000s; however there has been a recovery observed in mutual relations since 2003. As a matter of fact the administrators in both countries are willing and determined to improve the bilateral relations. Hence the foreign trade volume which was more than \$ 16bln in 2011 is around \$ 10bln in the current year despite the negative effects of the sanctions imposed.

And a Preferential Trade Agreement is concluded between Turkey and Islamic Republic of Iran, which will accelerate the economic and commercial relations and strengthen the economic cooperation between the two countries in the upcoming periods to serve as a basis for the increased economic cooperation in the next period. Within the scope of the Agreement both countries made a commitment to work for further expanding the concessions put in place in favor of one another.

Despite the agreement signed with the members of the Security Council and Germany for lifting or suspending the sanctions the bank has operated under restricted conditions in the current year. Even under such limitations the Bank has earned a reasonable, an acceptable profit during the current year thanks to the skilful, cautious attitudes of its executives.

7.2. General Manager's Message

The subscribed capital of the Bank, which amounted to TRY 156.914K at the end of the last period, was increased to TRY 200.000K with an increase of TRY 40.150K by use of internal sources and TRY 2.936K in cash, TRY 43.086K in total during the first half of the current year.

Financially the Branch accomplished acceptable results in 2016. Total assets and total deposits increased by 54,5 and 120% respectively compared to the last year.

This positive development had a reflection on net interest income and expenses as well, and the first reached up to TRY 27.577K with an increase of 41,15%. The commission revenues increased considerably too. On the other hand the increase in operating expenses was kept under control and was far below the increase in revenues.

As a result of the foregoing efforts the current year profit increased by 148% compared to last year and the depreciation in the shareholder's equity has finally being halted.

8. Remarks Regarding the Staff, Number of Branches, Branch Service Type, Scope of Activities and Position in the Sector

The branch performs various banking operations. Its core business includes playing intermediary role in trade transactions with the Islamic Republic of Iran and financing such operations when required.

The Bank has three braches in Turkey, including the Main branch. It provides all the banking services within the scope of the granted permission through its branches. It is engaged in opening deposit accounts in Turkish Lira and foreign exchange, making international money transfers, acting as an intermediary for cashing checks or clearing bills and as an exchange dealer and meeting any kind of cash and non-cash loan demands, particularly acting as an intermediary for export and import transactions. Under the current circumstances the branch utilizes a significant part of its resources in bank deposits, bank bills, and treasury bonds or state bonds. As a natural outcome of this situation, it operates with a higher capital adequacy ratio in comparison to the sector average.

The Branch employs 50 persons as of December 2016 (31 December 2015: 48 employees).

B. Information about the Management and Corporate Governance Practices

1. Board of Managers

The vision, mission, short and long term strategic objectives of our Branch which operates as the branch in Turkey of a bank founded abroad are determined by the

Board of Managers, established in accordance with the Article 23 of the Banking Law no. 5411, and with such powers and responsibilities of an executive board.

The Board of Managers, consisting of four members as of the end of the period, meets at appropriate intervals and reviews the specified policies and strategies depending upon changing conditions. The Board of Managers of our Branch also acts as the credit committee.

The Board of Managers provisionally delegates some of its powers to the senior management based on the decisions made from time to time.

Written proposals and requests regarding the agenda are submitted to the approval of the Board of Managers together with all the necessary documents at the meeting and the proposals and requests approved by the Board are forwarded to the executives for implementation following the meeting. The proposals approved by the Board are then formalized as a resolution and opened for signature of the Chairman and Members of the Board no later than the last day of the month the meeting is held.

The curriculum vitae and professional experiences of the members of the Board of Directors are as follows:

Title	Name	Position	Educational Status
Chairman of the Board of Managers:	Aziz Akhondi ASL	Chairman	Bachelor's Degree
Members of the Board of Managers:	Mohammad Hossein ABBASI	General Manager	Bachelor's Degree
	Ahmad JAMEHDOR	Vice General Manager	Bachelor's Degree
	Yusuf ÇAĞALA	Member in charge of Internal Audit, Internal Control and Risk Management	Bachelor's Degree

AZİZ AKHONDİ ASL – Chairman of the Board of Managers

Aziz AKHONDİ ASL graduated from The City of Rest Trade College in Iran and was awarded the Bachelor's Degree in Trade. He worked as a Vice General Manager, Regional General Manager, and Member of the Board of Managers during his professional career in banking. He has been working as Vice General Manager who is responsible for Foreign Transactions at the Head Office in Tehran since March 2016, and started working as the Chairman of the Board of Managers at the Branch on first of November 2016.

MOHAMMADHOSSEİN ABBASİ – Member

Mohammad Hossein ABBASİ graduated from Azad University in Iran and was awarded the Bachelor's Degree in Accounting. He worked as a Specialist, Vice Manager, Vice

Manager for Foreign Transactions, and Vice Manager for Financial Affairs during his career in banking. And he started working at the branch with the capacity of General Manager on 01 December 2016.

AHMAD JAMEHDOR – Member

Ahmad JAMEHDOR is a graduate of Ankara Academy of Economical and Commercial Sciences, Department of Banking and Insurance. He started his professional banking career at our Bank in 1985 and worked in several departments such as current accounts, remittances, accounting, human resources, and financial affairs.

He was appointed as the Vice General Manager in May 2009. He acts as Vice General Manager who is responsible for Financial Control, Treasury, Information Systems, Human Resources and Administrative Affairs and Operation. He was appointed as Deputy General Manager in September 2013.

YUSUF ÇAĞALA - Member who is Responsible for Internal Systems acting as Audit Committee

Yusuf Çağala who is a graduate of Finance Department of the Faculty of Management of Istanbul University started his banking career in 1978. Aforesaid person who worked in various positions for several banks joined the Branch in December 2006. He worked as Risk Management Department Executive from 2008 until 02.08.2013 when he was appointed as the member of the Board of Managers. Yusuf Çağala has been appointed as the Member of Audit Committee who is Responsible for Internal Systems from that date on.

2. Senior Management

General Manager is responsible for the management and operation of the Branch and the departments in accordance with the rules and risk management principles determined by the Board of Managers. Information about senior managers is as follows:

General Manager	MohamadHossein ABBASI		Bachelor's Degree
Vice General Manager/Deputy General Managers	Ahmad JAMEHDOR	Deputy General Manager in charge of Financial Control, Treasury Accounting, Human Resources, Information Systems, Administrative Affairs	Bachelor's Degree
	Nader MOTEDAIEN	Deputy General Manager in charge of Current Accounts	Bachelor's Degree

Details about the background of the senior management are as follows:

MOHAMMADHOSSEIN ABBASI – General Manager

The curriculum is mentioned in the Board of Managers section.

AHMAD JAMEHDOR – Deputy General Manager–Vice General Manager

The curriculum is mentioned in the Board of Managers section.

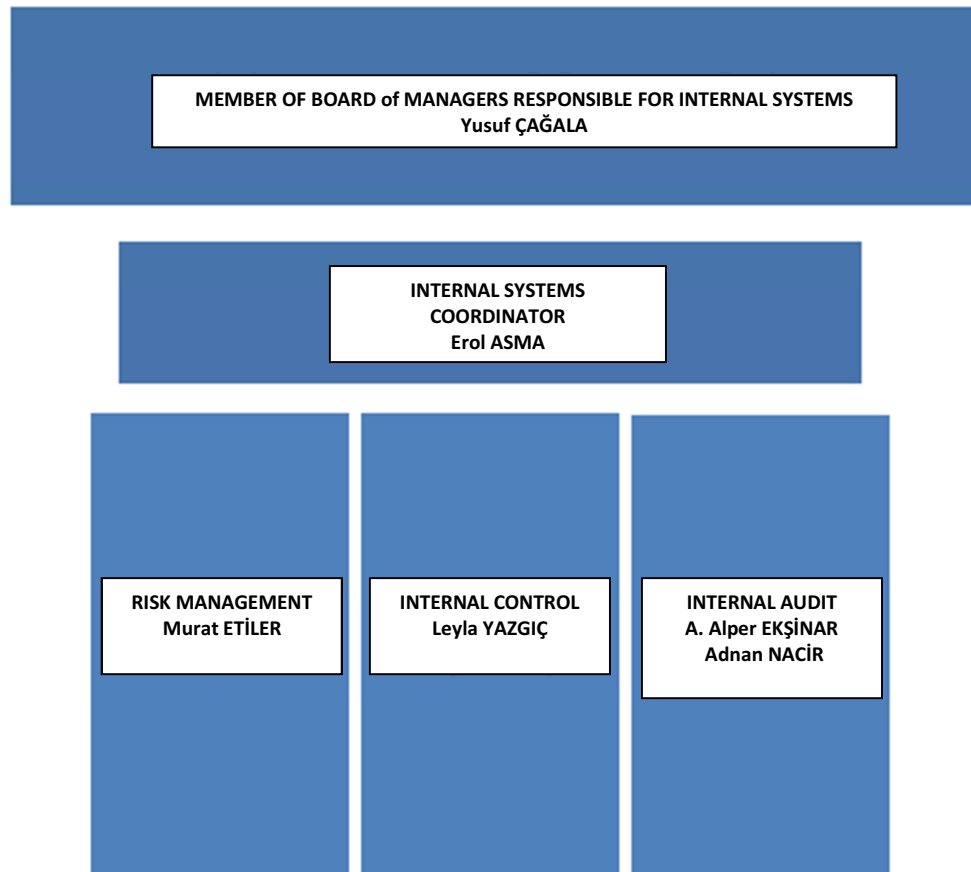
NADER MOTEDAIEN – Deputy General Manager

Nader MOTEDAIEN graduated from Marmara University in Turkey, Faculty of Economics and Administrative Sciences, Department of Economics (English). Nader MOTEDAIEN, who started his career in banking in 1993, worked as a Supervisor in Foreign Affairs Department, a Specialist in Foreign Transactions Department and a Premium Branch Deputy Manager. And he started working at the branch with the capacity of Deputy General Manager on 13 October 2015.

3. Information About the Operations Conducted Pursuant to the Provisions of the Regulation on the Internal Systems of Banks and the Department Managers Regarding Internal Systems

Internal Audit, Internal Control and Risk Management systems acts under auspices of the Board of Managers and subject to the supervision of non-executive member who is responsible for internal systems through the internal systems coordinator. The member who is responsible for internal systems is liable to communicate any issue that may have any adverse effect on the operations of the Branch to the Board of Managers by means of the reports received on regular basis from independent audit institution and internal control, internal audit and risk management departments.

Internal Audit, Internal Control and Risk Management Departments function pursuant to the Regulations approved by the Board of Managers. The Organization Chart for Internal Systems is as follows:



Vocational information of line managers working within internal systems of the Branch are indicated below.

Erol Asma has a Bachelor's Degree and 24 years of experience in Finance/Banking. He was assigned as the Internal Systems Coordinator on February 2016.

A. Alper Ekşinar, Internal Audit Department: He has a Master's Degree and 26 years of experience in Finance/Banking. He was appointed as the director of Internal Audit in October 2014.

Leyla Akça Yazgıç, Internal Control Department: She has a Bachelor's degree and has been working for the Branch for 21 years. She was appointed as the director of Internal Control on 01.10.2012.

Murat Etiler, Risk Management Department: He has a Bachelor's degree and 26 years of experience in banking. He has been working at the Branch for almost eight years. He has been appointed as the department executive on 12.08.2013.

4. Other Committees

Names, tasks, powers and members of miscellaneous committees within our Branch are explained below:

The committees have been established pursuant to the regulations as specified under the Banking Law no. 5411 and relevant legislation and organized in accordance with those regulations and every measure required to allow them to work independently have been taken by the Branch.

Assets/Liabilities Committee

Assets & liabilities committee, consisting of the vice general managers under the chairmanship of the General Manager is responsible for evaluating the market conditions and determining the policies regarding maturity consistency between assets and liabilities, maintaining the interest rate difference, foreign exchange position and liquidity pursuant to those conditions. During the year, the Committee held **53** meetings and adopted **53** resolutions.

Executive Committee for Information Technologies

The Executive Committee for Information Technologies consists of the Member of the Board of Managers who is responsible for Internal Systems, Vice General Manager of the Main Branch, Manager of System and Network Management, Application Development and Software Manager and Internal Control and Risk Management Executives under the chairmanship of the General Manager. The Committee holds meetings quarterly.

The Committee was established to fulfill the following missions:

- To ensure that Information Technologies are consistent with the Bank's scale and operations and the quality of offered products and the strategic objectives of the Bank,

- Approval of the policies regarding the management, sustainability, maintaining the information security and confidentiality in Information Technologies,
- To assess the risks that may be imposed due to the use of Information Technologies and approve the action plans designed for minimizing the risk levels resulting from Information Technologies,
- Approval of the resource needs prioritized in line with the strategies for Information Technologies,
- To evaluate the findings regarding general controls in information technologies and application controls identified in consequence of internal audits and independent audits and approve the actions to be taken,
- Evaluation of risk analysis results regarding outsourced support services for Information Technologies and submitted report regarding qualification of outsourcing companies,
- Assessment of detected breaches of information security and making decisions regarding actions to be taken and establishing an “emergency response team” when required,
- Assessment of the results of the tests performed for the purpose of ensuring business continuity and data security,
- Evaluation of the current developments in information technologies and data security and their applicability at the Bank,
- Assessment of the complaints that may occur regarding Information Technologies and the services provided based on the same and approval of the actions to be taken,
- Evaluation and approval of investments and projects regarding Information Technologies.

Risk Committee

The fields of activity of the Committee are as follows;

- To designate the risk management strategies and policies to be followed and submit for the approval of the Board of Managers,
- To discuss and make decisions about the issues brought up by the Risk Management,
- To specify the limits for imposed primary risks, to monitor the breach of limits and to make suggestions about elimination of such breaches for the Board of Managers,
- Making suggestions about alterations in Risk policies for the Board of Managers,
- To ensure fulfillment of monitoring and communication about determination, identification, measurement and management processes of the risks to be performed by the Risk Management Department,
- Monitoring the process to ensure the accuracy and stability of risk measurement method and the results.

The committee consists of the Member of the Board of Managers who is responsible for internal systems, Vice General Manager and Risk Management Department Executive under the chairmanship of the General Manager. 12 meetings and resolutions were held and taken by the Committee within the year.

Audit Committee

Pursuant to the relevant legislation, Yusuf Çağala has been appointed as the Member of the Board of Managers who is responsible for the internal systems to fulfill the tasks of aforesaid committee on 02.08.2013 and still holds the office.

Member of the Board of Managers who is responsible for the internal systems and fulfils the tasks of the Audit Committee has the power and responsibility regarding the matters specified in paragraph 2 of Article 7 of the Regulations on Internal Systems published in Official Gazette dated 11 July 2015 and number 29057.

Purchasing Committee

The committee is responsible for purchasing and selling movable property and software in line with the needs of the Bank. It concluded 23 buying transactions during the year.

5. Information Regarding the Practices of Human Resources:

Probation period for any contracted personnel to be employed at the Branch is two months whereas this period is four months for the personnel to be employed as a union member. Those employees who are thought to be useful for the Branch during the probation period will become a member of the permanent staff upon the relevant line manager's suggestion. Branch managers and division heads will submit their requests regarding whether the employment contract of the staff subject to probation period is to be maintained in such timeframe that their request will be received by the personnel department at least 10 days before the end of such period.

Advancement means promoting an employee of the Branch to a higher position than his/her current position. In case of advancement remuneration of the staff also changes starting from the clerical level. Fulfilment of the following conditions is required for advancement of an employee;

- Completing a specified term of office at the current position;
- Having a positive qualification,
- Having the skills and competency required by the upper position,
- Availability of a vacant upper position,
- Passing any examination to be held when necessary

For advancement of employees of the Branch to an upper position completing following term of office at their current position is required

- At least 3 years for university graduates,
- At least 4 years for high school graduates,

However term of office may be extended up to one year at most pursuant to the powers.

A dividend payment which is not less than the amount of one monthly salary is made once a year by taking the performance score and other criteria (warnings and penalties) into consideration. A dividend Payment to the amount of TRY 313K has been made in March 2017.

6. Information about the transactions with the risk group in which the branch is included

6.1. Information about the credits extended to the risk group in which the branch is included

Credit Risk of the Risk Group in which the Branch is included	2016		2015	
	Cash	Non-Cash	Cash	Non-Cash
Credits and Other Receivables				
Opening Balance	61.127	-	53.464	-
Period-End Balance	24.878	-	61.127	-
Received Interest and Commission Revenues	1.631	107	3.119	-

Notes:

1. Risk group is defined in paragraph 2 of Article 49 of the Banking Law number 5411.
2. The information in the table also covers the receivables from the banks as well as the loans extended.

6.2. Information about deposit accounts owned by the risk group in which the branch is included

Risk Group of the Branch (1)	<i>Subsidiaries, Affiliates & Partnerships jointly controlled</i>		Direct & Indirect Partners of the Branch		Other Real & Legal Entities included in the Risk Category	
	31 December 2016	31 December 2015	31 December 2016	31 December 2015	31 December 2016	31 December 2015
Deposit						
Beginning of Period	-	-	-	-	83.696	76.010
End of Period ⁽²⁾	-	-	-	-	108.901	83.696
Deposit Interest Expenses	-	-	-	-	25	37

- (1) Risk group is defined in paragraph 2 of Article 49 of the Banking Law number 5411.
- (2) (TRY 58.019 and TRY 50.882 of the deposit to the amount of TRY 108.901 indicated in Deposit – Risk Group line of the balance sheet as of the date of 31 December 2016 belong to the Bank Mellat Headquarters – Iran and the Central Bank of Iran respectively.)
- (3) (TRY 67.621 and TRY 16.075 of the deposit to the amount of TRY 83.696 indicated in Deposit – Risk Group line of the balance sheet as of the date of 31 December 2015 belong to the Bank Mellat Headquarters – Iran and the Central Bank of Iran respectively.)

6.3. Information about the loans borrowed from the risk group in which the branch is included

Loans borrowed from the Risk Group in which the Branch is included	2016	2015
Beginning of Period	-	-
Period End	-	-
Interest Expense on Loan	-	-

1. Risk group is defined in paragraph 2 of Article 49 of the Banking Law number 5411.

6.4. Information about futures contracts, options contracts and suchlike other contracts made between the Branch and the risk group in which the branch is included

There are not any futures, options and suchlike other contracts made between the Branch and the risk group as of 31 December 2016 and 31 December 2016.

6.5. Information about the benefits to top management:

As of 31 December 2016 payments to the amount of TRY 1.665K (31 December 2015: TRY 1.572K) have been made to the senior management of the Branch.

7. Outsourced Services and Information About Service Providers

Outsourced services which are within the scope of the Regulation on outsourced support services by the Banks and authorization of such service providers are as follows:

Name/Title	Service Purchased
FİNEKSUS NETWORK ÇÖZÜMLERİ A.Ş.	Swift Paygate Messenger Software Maintenance
DESMER GÜVENLİK HİZMETLERİ TİC. A.Ş.	Safe Transportation of Cash (Group Service) and External Security Provider
GÜZEL SANATLAR ÇEK BASIM LTD. ŞTİ.	Printing of the Checkbooks

C. Assessment of Financial Information and Risk Management

1. Assessment of Functioning of Internal Control, Internal Audit and Risk Management Systems made by the Audit Committee and Its Activities within the Accounting Period

1.1. Operations of Internal Control Department

Internal Control Department is organized for the purpose of keeping the risks associated with the financial and operational activities of the Branch under control and at a reasonable level and prevention of occurrence of such risks. Internal control activities are reviewed regularly at every level of the Branch and the practices, policies and processes determining these activities are renewed in line with the requirements and integrity of the activities with internal control system is ensured.

Work flows regarding the operations of the branch include the necessary control steps and points properly and completely. Performing the operations efficiently, properly, accurately and safely, and discrimination of functional tasks, authorizations and limits regarding transactions, control of information systems, post-transaction controls, transaction specific other controls are ensured by the employees at every level. The said operational and internal control organization also plays an important role in performing the processes and controls regarding the accounting and financial reporting systems more safely and effectively.

The main framework of the internal control operations structured within the internal control system consists of the operational controls, controls regarding data and communication and the financial reporting systems and compliance controls.

Internal control department acting under the auspices of the member of the Board of Managers, responsible for Internal Controls, aims at making maximum contribution to the reliability, efficiency, and robustness and consistency with the legislation and standards of the internal control systems. The activities of the internal control department which is responsible for reviewing, monitoring, and evaluating the

efficiency of the controls regarding the operations of the Branch and reporting the results to the relevant persons are structured in such manner to cover the headquarters departments and branches.

Any finding, opinion and suggestion regarding the internal control activities will be disclosed to those employees performing the operations and the relevant process owners in the first place, and thus, required contribution is provided for implementation of any measure or solution which would improve the processes or activities pertaining to the internal control system. All those efforts are continuously monitored by the employees of internal control department as well as those who perform the activities on regular basis and assessments relating to the activities are reported to the senior management.

The results of the internal control operations are also monitored and evaluated by the Board of Managers and the board's member who fulfills the tasks of the audit committee on regular basis.

The headquarters departments and branches will be subject to a physical site visit quarterly, at least four times a year, as executed by the internal control department. Internal control operations are performed based on the principle of testing the control steps and points on work flows in terms of the banking processes and the risk matrix prepared.

1.2. Operations of Internal Audit Department

Internal control department of Bank Mellat operates under governance of the member of the Board of Managers, responsible for Internal Controls. Internal audit department is responsible for auditing all the activities carried out by all the headquarters departments and branches in accordance with the law and other relevant legislation and in-house strategies, policies, principles and objectives including internal control, risk management, legislation and FCIB (Financial Crimes Investigation Board) compliance. This department which performs audit of banking processes and information systems is also engaged in preliminary investigation, inquiry and investigation activities if necessary.

The reports prepared by the examinations of an inspector and an assistant inspector and are submitted to the Board of Managers and relevant departments. The measures taken for detected issues are periodically monitored by the internal audit department.

In 2016, the audit of banking processes carried out at three branches and the headquarters' departments were realized in compliance with an annual risk based plan determined by approved by Board of Managers.

Risk Management Activities

Risk management process and the functions included in this process are among the primary responsibilities of the Board of Managers. The Risk Committee and the Assets & Liabilities Committee and the risk management department which is the operational part of the risk management function operating under governance of the Board of Managers inform the Board of Managers and the senior management about the risks imposed with daily and monthly reports.

The Board of Managers closely monitors those committees and the efforts of the risk management department and continuously evaluates whether the results are consistent with specified objectives.

Stress test and scenario analysis performed within the period considering current conditions have been submitted for the Board of Managers' evaluation.

1.3. Compliance Activities

Compliance is the main and primary responsibility of the executives and employees at any level in the Branch. Such operations which can be classified into legal compliance, compliance to banking operations and compliance to the prevention of Crime Revenue Laundering are included in the responsibilities of the internal audit department, internal control department and compliance officer respectively.

In this context the automatic rating for various banking operations considering customer risk, transaction risk and amount risk has been improved within the period.

Results of the compliance operations are monitored and evaluated regularly by the senior management of the Branch.

1.4. Overall Assessment

In 2016 the sums underlying the loan risk and the market risk increased by 62,19% and 7,69% respectively compared to the previous year whereas the sum underlying the operational risk decreased by 24,54%, and, as a result of these developments, Risk Weighted Assets increased by 36,75%. During the same period the principal capital and shareholder's equity increased by 14,89 and 14,71% respectively. Total assets increased from TRY 340.488K (the end of 2015) to TRY 526.132K in 2016. There was a considerable increase in total assets in 2016 and the operational risk decreased whereas the loan and market risks increased at an acceptable rate. As a result of these developments the standard rate for capital adequacy realized at 80,21%, which is far above the sector average and legal limits. (At the end of 2015 it was 95,61%)

2. Independent Audit Report

**BANK MELLAT, HEAD OFFICE:
TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES**

**INDEPENDENT AUDITOR'S REPORT,
FINANCIAL STATEMENTS AND NOTES
FOR THE YEAR ENDED
31 DECEMBER 2016**

*Translated into English from the
Original Turkish Report*

(CONVENIENCE TRANSLATION OF
INDEPENDENT AUDITOR'S REPORT ORIGINALLY
ISSUED IN TURKISH)

INDEPENDENT AUDITOR'S REPORT

To the Board of Managers of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches:

Report on the Financial Statements

We have audited the accompanying financial statements of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches ("the Branch"), which comprise the balance sheet as at 31 December 2016, and the statement of income, statement of income and expense items accounted under shareholders' equity, statement of changes in shareholders' equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

The Branch Board of Managers' Responsibility for the Financial Statements

The Branch Board of Managers is responsible for the preparation and fair presentation of the financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulations" including the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards for the matters not legislated by the aforementioned regulations, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the regulation on "Independent Auditing of Banks" published in the Official Gazette dated 2 April 2015 with No. 29314 and Independent Auditing Standards which is a part of Turkish Auditing Standards published by the Public Oversight Accounting and Auditing Standards Authority ("POA"). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Bank Mellat, Head Office: Tahrán-İran İstanbul-Turkey Main, Ankara and İzmir Branches as at 31 December 2016, and of its financial performance and its cash flows for the year then ended in accordance with the BRSA Accounting and Reporting Regulations.

Report on Other Legal and Regulatory Requirements

In accordance with paragraph four of the Article 402 of the Turkish Commercial Code No. 6102 ("TCC"), nothing has come to our attention that may cause us to believe that the Branch's set of accounts for the period 1 January-31 December 2016 does not comply with TCC and the provisions of the Branch's articles of association in relation to financial reporting.

In accordance with paragraph four of the Article 402 of TCC, the Board of Managers provided us all the required information and documentation with respect to our audit.

Additional paragraph for English translation

The effect of the differences between the accounting principles summarized in Section 3 and the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards ("IFRS") have not been quantified and reflected in the accompanying financial statements. The accounting principles used in the preparation of the accompanying financial statements differ materially from IFRS. Accordingly, the accompanying financial statements are not intended to present the Branch's financial position and results of its operations in accordance with accounting principles generally accepted in such countries of users of the financial statements and IFRS.

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.

Member of **DELOITTE TOUCHE TOHMATSU LIMITED**

Yaman Polat
Partner

İstanbul, 14 April 2017

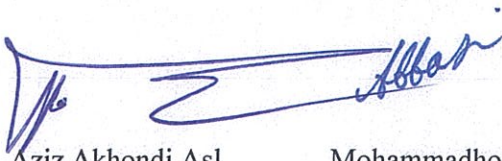
**THE UNCONSOLIDATED FINANCIAL REPORT OF
BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2016**

Headquarter's Address : No: 276, Taleghani Ave. Tahran – İran
Turkey Main Branch Address : Büyükdere Cd. Binbirçiçek Sk. No:1 34330 1.Levent-İstanbul/Türkiye
Telephone : (0212) 279 80 15
Fax : (0212) 284 62 14
Website : www.mellatbank.com
E-mail address : mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH AND HEAD OF BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communiqué on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

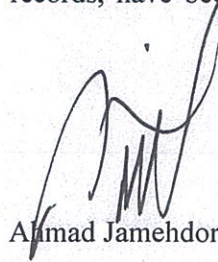


Aziz Akhondi Asl

Chairman of the Board
of Managers

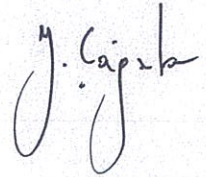
Mohammadhossein Abbasi

Member of the Board of
Managers and
General Manager



Ahmad Jamehdor

Member of the Board
of Managers



Yusuf Çağala

Member of the Board of
Managers and Internal
Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title : Yener Bozkurt / Accounting Department Chief
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

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**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahran-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahran, Iran, is as follows:

Shareholders	31 December 2016 (**)Share Percentage (%)	31 December 2015 (*)Share Percentage (%)
Justice share recipients (provincial investors)	30,00	30,00
Islamic Republic of Iran	17,00	18,95
Saba Tamin Investment Co.	8,71	9,91
Bank Mellat's Staff Future Security Fund	6,45	6,99
Social Security Organisation of Iran	3,81	3,81
Mellat Financial Group Co.	3,40	3,43
Other Shares Quoted on Stock Exchange	30,63	26,91
Total	100,00	100,00

(*) Shareholding structure of the Bank Mellat of Tehran-Iran as of 31 December 2015 which has been issued by Stock and Shares Office, has been reported to the BRSA (Banking Regulation and Supervision Agency) in the statement dated 11 January 2016 and with No. 236.

(**) Shareholding structure as of 31 December 2016, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Continued)

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Education
Chairman of the Board of Managers:	Aziz Akhondi Asl	Chairman	Under Graduate
Members of Board of Managers:	Mohammadhossein Abbasi	Genel Müdür	Under Graduate
	Ahmad Jamehdor	Member	Under Graduate
	Yusuf Çağala	Internal Audit, Member of Internal Control and Risk Management	Under Graduate
Assistant General Manager / Vice General Managers:w	Ahmad Jamehdor	Financial Controlling, Treasury, Accountancy, Human Resources, Information Systems, Administrative and Operations Assistant General Manager	Under Graduate
	Nader Motedaien	Current Accounts Responsible Assistant General Manager	Under Graduate

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

Explanations of shareholders and entities that have share in the capital of Bank Mellat Tehran Iran, which has all of the capital of the company;

Name/Commercial Title	31 December 2016			
	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	60.000	%30,00	60.000	-
Islamic Republic of Iran	34.000	%17,00	34.000	-

Name/Commercial Title	31 December 2015			
	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	29.735	18,95%	29.923	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2016, the Branch has 50 employees (31 December 2015: 48 employees).

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS**

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2016			PRIOR PERIOD 31 December 2015		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	22.233	52.679	74.912	2.488	41.757	44.245
II.	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	BANKS	(I-c)	47.961	152.774	200.735	34.170	81.831	116.001
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Interbank Money Market Placements		-	-	-	7.201	-	7.201
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	7.201	-	7.201
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	232.561	-	232.561	152.216	-	152.216
5.1	Share Certificates		654	-	654	727	-	727
5.2	Public Debt Securities		60.904	-	60.904	146.573	-	146.573
5.3	Other Marketable Securities		171.003	-	171.003	4.916	-	4.916
VI.	LOANS AND RECEIVABLES	(I-e)	6.838	1.126	7.964	9.033	1.423	10.456
6.1	Loans and Receivables		2.668	1.126	3.794	4.576	1.423	5.999
6.1.1	Bank's Risk Group		74	-	74	58	-	58
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		2.594	1.126	3.720	4.518	1.423	5.941
6.2	Non-Performing Loans		6.957	-	6.957	7.613	-	7.613
6.3	Specific Provisions (-)		(2.787)	-	(2.787)	(3.156)	-	(3.156)
VII.	FACTORING RECEIVABLES		-	-	-	-	-	-
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-g)	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-h)	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	SUBSIDIARIES (Net)	(I-i)	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-j)	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-k)	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Unearned Income (-)		-	-	-	-	-	-
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-l)	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	TANGIBLE ASSETS (Net)	(I-m)	8.226	-	8.226	8.480	-	8.480
XV.	INTANGIBLE ASSETS (Net)	(I-n)	388	-	388	73	-	73
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		388	-	388	73	-	73
XVI.	INVESTMENT PROPERTY (Net)	(I-o)	-	-	-	-	-	-
XVII.	TAX ASSET	(I-p)	698	-	698	724	-	724
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		698	-	698	724	-	724
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-r)	-	-	-	-	-	-
18.1	Held for Sale Purposes		-	-	-	-	-	-
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	OTHER ASSETS	(I-s)	527	121	648	657	435	1.092
	TOTAL ASSETS		319.432	206.700	526.132	215.042	125.446	340.488

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2016			PRIOR PERIOD 31 December 2015		
			TL	FC	Total	TL	FC	Total
I.	DEPOSITS	(II-a)	99.964	175.627	275.591	21.792	103.287	125.079
1.1	Deposits of Bank's Risk Group		56.340	52.561	108.901	10.493	73.203	83.696
1.2	Other		43.624	123.066	166.690	11.299	30.084	41.383
II.	TRADING DERIVATIVE FINANCIAL LIABILITIES	(II-b)	-	-	-	-	-	-
III.	FUNDS BORROWED	(II-c)	-	-	-	-	-	-
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	MARKETABLE SECURITIES ISSUED (Net)		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	FUNDS		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	SUNDRY CREDITORS		1.245	464	1.709	413	566	979
VIII.	OTHER LIABILITIES	(II-d)	1.316	187	1.503	1.285	11	1.296
IX.	FACTORING PAYABLES		-	-	-	-	-	-
X.	FINANCIAL LEASE PAYABLES (Net)	(II-e)	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	HEDGING DERIVATIVE FINANCIAL LIABILITIES	(II-f)	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	PROVISIONS	(II-g)	3.623	126	3.749	2.464	1.902	4.366
12.1	General Loan Loss Provision		1.765	32	1.797	463	1.824	2.287
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		1.734	-	1.734	1.801	-	1.801
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		124	94	218	200	78	278
XIII.	TAX LIABILITY	(II-h)	3.608	-	3.608	767	-	767
13.1	Current Tax Liability		3.608	-	3.608	767	-	767
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)	(II-i)	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	SUBORDINATED LOANS	(II-j)	-	-	-	-	-	-
XVI.	SHAREHOLDERS' EQUITY	(II-k)	239.972	-	239.972	208.001	-	208.001
16.1	Paid-in capital		200.000	-	200.000	156.914	-	156.914
16.2	Capital Reserves		(422)	-	(422)	(1.090)	-	(1.090)
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	(169)	-	(169)	(781)	-	(781)
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		(253)	-	(253)	(309)	-	(309)
16.3	Profit Reserves		724	-	724	1.352	-	1.352
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		724	-	724	1.352	-	1.352
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		39.670	-	39.670	50.825	-	50.825
16.4.1	Prior Years' Income or (Loss)		11.302	-	11.302	39.394	-	39.394
16.4.2	Current Year Income or (Loss)		28.368	-	28.368	11.431	-	11.431
	TOTAL LIABILITIES		349.728	176.404	526.132	234.722	105.766	340.488

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UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016

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II. STATEMENT OF OFF-BALANCE SHEET CONTINGENCIES AND COMMITMENTS

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2016			PRIOR PERIOD 31 December 2015		
			TL	FC	Total	TL	FC	Total
A.	OFF-BALANCE SHEET COMMITMENTS (I+II+III)		4.445	883	5.328	3.400	961	4.361
I.	GUARANTEES AND WARRANTIES	(III-a-2, 3)	4.365	883	5.248	3.287	961	4.248
1.1.	Letters of Guarantee		4.365	508	4.873	3.287	650	3.937
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		4.365	508	4.873	3.287	650	3.937
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	375	375	-	311	311
1.3.1	Documentary Letters of Credit		-	375	375	-	311	311
1.3.2	Other Letters of Credit		-	-	-	-	-	-
1.4	Prefinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7	Factoring Guarantees		-	-	-	-	-	-
1.8	Other Guarantees		-	-	-	-	-	-
1.9	Other Collaterals		-	-	-	-	-	-
II.	COMMITMENTS	(III-a-1)	80	-	80	113	-	113
2.1.	Irrevocable Commitments		80	-	80	113	-	113
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7	Commitments for Cheques		-	-	-	-	-	-
2.1.8	Tax and Fund Liabilities from Export Commitments		80	-	80	113	-	113
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6	Other		-	-	-	-	-	-
B.	CUSTODY AND PLEDGES RECEIVED (IV+V+VI)		70.827	1.211.035	1.281.862	76.682	1.047.259	1.123.941
IV.	ITEMS HELD IN CUSTODY		-	16	16	498	43	541
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		-	16	16	25	43	68
4.4	Commercial Notes Received for Collection		-	-	-	473	-	473
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	PLEDGES RECEIVED		21.614	190.166	211.780	14.368	171.468	185.836
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		8.687	55.029	63.716	7.621	48.236	55.857
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		12.697	134.820	147.517	5.347	122.904	128.251
5.6	Other Pledged Items		230	317	547	1.400	328	1.728
5.7	Pledged Items-Depository		-	-	-	-	-	-
VI.	ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		49.213	1.020.853	1.070.066	61.816	875.748	937.564
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		75.272	1.211.918	1.287.190	80.082	1.048.220	1.128.302

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III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2016-31/12/2016)	PRIOR PERIOD (01/01/2015-31/12/2015)
I.	INTEREST INCOME			
1.1	Interest on Loans	(IV-a)	28.097	19.954
1.2	Interest Received from Reserve Requirements	(IV-a-1)	2.312	3.230
1.3	Interest Received from Banks		428	55
1.4	Interest Received from Money Market Transactions	(IV-a-2)	6.815	3.146
1.5	Interest Received from Marketable Securities Portfolio		193	381
1.5.1	Trading Financial Assets	(IV-a-3)	18.348	13.117
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		-	-
1.5.4	Held-to-Maturity Investments		18.348	13.117
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		-	-
II.	INTEREST EXPENSE			
2.1	Interest on Deposits	(IV-b)	(520)	(416)
2.2	Interest on Funds Borrowed	(IV-b-4)	(518)	(416)
2.3	Interest Expense on Money Market Transactions	(IV-b-1)	-	-
2.4	Interest on Securities Issued		-	-
2.5	Other Interest Expenses	(IV-b-3)	-	-
III.	NET INTEREST INCOME (I + II)		(2)	-
IV.	NET FEES AND COMMISSIONS INCOME			
4.1	Fees and Commissions Received		27.577	19.538
4.1.1	Non-cash Loans		9.694	817
4.1.2	Other		9.770	1.080
4.2	Fees and Commissions Paid		519	616
4.2.1	Non-cash Loans		9.251	464
4.2.2	Other		(76)	(263)
V.	DIVIDEND INCOME	(IV-c)	(76)	(263)
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)	-	-
6.1	Trading Gains / (Losses) on Securities		6.545	2.845
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		-	-
VII.	OTHER OPERATING INCOME	(IV-e)	6.545	2.845
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII)		2.883	382
IX.	PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)		46.699	23.582
X.	OTHER OPERATING EXPENSES (-)	(IV-f)	(1.481)	(285)
XI.	NET OPERATING INCOME/(LOSS) (VIII+IX+X)	(IV-g)	(9.871)	(9.060)
XII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		35.347	14.237
XIII.	GAIN / (LOSS) ON EQUITY METHOD		-	-
XIV.	GAIN / (LOSS) ON NET MONETARY POSITION		-	-
XV.	PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+...+XIV)	(IV-h)	-	-
XVI.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	35.347	14.237
16.1	Current Tax Provision		(6.979)	(2.806)
16.2	Deferred Tax Provision		(7.012)	(2.717)
XVII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)		33	(89)
XVIII.	INCOME FROM DISCONTINUED OPERATIONS		28.368	11.431
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXI.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIII.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	-	-
	Earnings/(Loss) per share		28.368	11.431

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IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY		CURRENT PERIOD 1 January - 31 December 2016	PRIOR PERIOD 1 January - 31 December 2015
I.	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS	765	(1.320)
II.	TANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
III.	INTANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
IV.	CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS	-	-
V.	PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)	-	-
VI.	THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES	-	-
VII.	EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS	-	-
VIII.	OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS	70	(386)
IX.	DEFERRED TAX RELATED TO VALUATION DIFFERENCES	(167)	341
X.	NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)	668	(1.365)
XI.	CURRENT YEAR PROFIT/LOSS	28.368	11.431
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	781	(275)
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-	-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-	-
1.4	Other	27.587	11.706
XII.	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	29.036	10.066

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2015 - 31/12/2015	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/ Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Discontinued Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156.914	-	-	-	-	-	-	-	6.970	32.469	275	-	-	-	-	197.935
II.	Changes during the period		-	-	-	-	-	-	1.307	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Marketable Securities Valuation Differences	(V-4)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	(1.056)	-	-	-	-	-
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1.056)
VIII.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Capital Increase	(V-5)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	(309)	-	-	-	-	-	-	-	-
XVIII.	Profit Distribution	(V-a)	-	-	-	-	-	-	-	-	11.431	-	-	-	-	-	-	(309)
18.1	Dividend Paid		-	-	-	-	-	-	45	-	(6.970)	6.925	-	-	-	-	-	11.431
18.2	Transfer to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	45	-	(6.970)	6.925	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		156.914	-	-	-	-	-	1.352	(309)	11.431	39.394	(781)	-	-	-	-	208.001

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	CURRENT PERIOD 01/01/2016 - 31/12/2016	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/(Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156,914	-	-	-	-	-	1,352	(309)	11,431	39,394	(781)	-	-	-	-	208,001
II.	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Marketable Securities Valuation Differences (V-d)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	612	-	-	-	-	612
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Capital Increase	(V-e)	43,086	-	-	-	-	-	(757)	-	-	(39,394)	-	-	-	-	-	2,935
12.1	Cash Increase		2,935	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2,935
12.2	Internal Resources		40,151	-	-	-	-	-	(757)	-	-	(39,394)	-	-	-	-	-	-
XIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	56	-	-	-	-	-	-	-	56
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	28,368	-	-	-	-	-	-	-
XVIII.	Profit Distribution	(V-a)	-	-	-	-	-	-	129	-	(11,431)	11,302	-	-	-	-	-	28,368
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfer to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	129	-	(11,431)	11,302	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		200,000	-	-	-	-	-	724	(253)	28,368	11,302	(169)	-	-	-	-	239,972

(*) The branch has increased its capital to TL 200,000 with an increase of TL 43,086 in capital which comes TL 39,393 of it from the previous year profits, TL 757 from the reserve funds and the remaining TL 2,935 from the cash.

The accompanying explanations and notes form an integral part of these financial statements.

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VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2016 – 31/12/2016)	PRIOR PERIOD (01/01/2015 – 31/12/2015)
A.	CASH FLOWS FROM BANKING OPERATIONS			
1.1	Operating Profit before changes in operating assets and liabilities		26.006	9.344
1.1.1	Interest received		24.422	19.830
1.1.2	Interest paid		(512)	(464)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		9.770	1.112
1.1.5	Other income		116	114
1.1.6	Collections from previously written-off loans and other receivables		762	309
1.1.7	Payments to personnel and service suppliers		(5.925)	(6.152)
1.1.8	Taxes paid		(5.239)	(2.697)
1.1.9	Other		2.612	(2.708)
1.2	Changes in operating assets and liabilities		156.037	3.691
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(190)	(12)
1.2.4	Net (increase) / decrease in loans		1.794	392
1.2.5	Net (increase) / decrease in other assets		2.398	622
1.2.6	Net increase in bank deposits		93.452	18.476
1.2.7	Net increase / (decrease) in other deposits		57.278	(13.775)
1.2.8	Net (decrease) in funds borrowed		-	-
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		1.305	(1.742)
I.	Net cash provided from banking operations		182.043	13.305
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	Net cash provided from investing activities		(78.074)	(11.902)
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(54)	(539)
2.4	Fixed assets sales		12	-
2.5	Cash paid for purchase of investments available-for-sale		(210.858)	(115.854)
2.6	Cash obtained from sale of investments available-for-sale		133.300	104.491
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		(474)	-
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	Net cash provided from financing activities		2.935	-
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		2.935	-
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	Effect of change in foreign exchange rate on cash and cash equivalents	(VI-a)	1.120	3.728
V.	Net increase in cash and cash equivalents (I + II + III + IV)		108.024	5.131
VI.	Cash and cash equivalents at beginning of the period	(VI-a)	167.271	162.140
VII.	Cash and cash equivalents at end of the period (V + VI)	(VI-a)	275.295	167.271

The accompanying explanations and notes form an integral part of these financial statements

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VII. PROFIT DISTRIBUTION TABLE

		CURRENT PERIOD (01/01/2016 – 31/12/2016)	PRIOR PERIOD (01/01/2015 – 31/12/2015)
I.	DISTRIBUTION OF CURRENT YEAR INCOME		
1.1	Current Year Income		
1.2	Taxes And Duties Payable (-)	35.347	14.237
1.2.1	Corporate Tax (Income tax)	(6.979)	(2.806)
1.2.2	Income withholding tax	(7.012)	(2.717)
1.2.3	Other taxes and duties (*)	-	-
		33	(89)
A.	NET INCOME FOR THE YEAR (1.1-1.2)	28.368	11.431
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+1.5))]	28.368	11.431
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	(129)
1.14	Special Funds	-	-
II.	DISTRIBUTION OF RESERVES		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	EARNINGS PER SHARE		
3.1	To Owners Of Ordinary Shares	-	-
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	DIVIDEND PER SHARE		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

Note: As at date of these financial statements, profit distribution for 2016 has not yet been determined.

(*) Deferred tax income is presented under other tax and legal duties. Deferred tax income should be deducted during profit distribution, thus it is classified under extraordinary reserves.

The accompanying explanations and notes form an integral part of these financial statements

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VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As of 20 March 2016, the financial statements issued by the Headquarters of the Branch is presented below.

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	CURRENT PERIOD (20 March 2016)	PRIOR PERIOD (20 March 2015)(*)
Cash and cash equivalents	840.164	733.043
Central bank	6.665.088	5.234.598
Other assets	51.901.141	39.577.349
Total Assets	59.406.393	45.544.990
Deposits	40.692.776	30.814.499
Other liabilities	15.917.492	12.162.176
Shareholders' equity	2.796.125	2.568.315
Total Liabilities	59.406.393	45.544.990

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE INCOME STATEMENT (THOUSANDS OF USD)		
	CURRENT PERIOD (20 March 2016)	PRIOR PERIOD (20 March 2015)(*)
Interest and investment income	6.061.741	4.553.691
Interest expense on deposits	(1.260.766)	(911.530)
Other expenses	(4.481.364)	(3.170.980)
Other income	1.999.703	1.858.991
Total net income	2.319.314	2.330.172
Personnel and operating expenses	(1.968.698)	(1.790.185)
Profit before tax	350.616	539.987
Taxes payables	(4.827)	(6.042)
Net Profit	345.789	533.945

(*) As restated.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch, financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulation" which includes the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards published by the Public Oversight Accounting and Auditing Standards Authority for the matters not regulated by the aforementioned legislations.

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2016, rates used for conversion of foreign currency balances into Turkish Lira are TL 3,5192 for USD, TL 3,7099 for Euro and TL 0,03003 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2016 and 31 December 2015, the Branch has no investments in associates and subsidiaries.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged. As of 31 December 2016, the Branch has no derivative instruments that qualify for hedge accounting.

The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income when collected. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available-for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS : (Continued)

a. Financial assets at fair value through profit or loss: (Continued)

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectibility of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" as published in the Official Gazette dated 1 November 2006 with No. 26333, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expenses are deducted from the net income for the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is presented in other income.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2016 and 31 December 2015.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS : (Continued)

d. Available-for-sale financial assets:

Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2016 and 31 December 2015.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XI. ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS AND EXPLANATIONS ON OBLIGATIONS RELATED TO THESE ASSETS:

The Branch has no discontinued operations and obligations related to these assets as at the balance sheet date (31 December 2015: None).

Assets held for sale consist of property, plant and equipment acquired from impaired borrowers and they are accounted in non-consolidated financial statements in accordance with "Regulation on Procedures and Principles for the Exercise of Commodities and Real Estates for Banks' Purchase and Sale of Precious Metals and Their Receivables" published in the Official Gazette dated November 1, 2006 and numbered 26333 and dated 24 April 2007 and numbered 26592 Regulation on the Procedures and Principles for the Existence of Share Certificates".

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as of 31 December 2016 and 31 December 2015.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lives, between 3 and 5 years, on a straight-line basis. At the balance sheet date TL 159 thousand of amortization expense (31 December 2015: TL 186 thousand).

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2016 and 31 December 2015.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of 31 December 2016 and 31 December 2015.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% for the year 2016 (2015: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and immovable properties held for at least two years is tax exempt, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings. Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2016 and 31 December 2015.

XX. EXPLANATIONS ON ACCEPTANCES AND AVALIED DRAFTS:

Avalized drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2016 and 31 December 2015.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned. In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. Such "bonus shares" distributions are treated as issued shares in earnings per share calculations. Accordingly, the weighted average number of shares used in these calculations is determined by taking into account the retrospective effects of such share issuances. If the issued share price increases after the balance sheet date but only because of the distribution of the bonus shares prior to the preparation date of the financial statements, the calculation of earnings per share is made considering the total new share name. Earnings per share have not been calculated since the branch is not publicly traded.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Informations related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2016 are presented on the table below:

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2016					
Interest Income	15	2.298	25.784	-	28.097
Net Fees and Commissions Income	-	9.694	-	-	9.694
Other Operating Income and Trading Income/(Loss) (Net)	-	9.428	-	-	9.428
Operating Revenue	15	21.420	25.784	-	47.219
Interest Expense	(14)	(479)	(27)	-	(520)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.363)	(7.720)	(2.269)	-	(11.352)
Operating Expense	(1.377)	(8.199)	(2.296)	-	(11.872)
Operating Profit	(1.362)	13.221	23.488	-	35.347
Profit Before Tax	-	-	-	35.347	35.347
Corporate Tax	-	-	-	(6.979)	(6.979)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	28.368	28.368
Segment Assets (*)	5.264	2.700	508.208	9.960	526.132
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	5.264	2.700	508.208	9.960	526.132
Segment Liabilities(*)	6.768	33.176	237.356	8.860	286.160
Shareholders' Equity	-	-	-	239.972	239.972
Total Liabilities	6.768	33.176	237.356	248.832	526.132

(*) "Segment Assets" in "Other" column amounting to TL 9.960 include tangible assets amounting to TL 8.226, intangible assets amounting to TL 388, tax assets amounting to TL 698 and other assets amounting to TL 648; "Segment Liabilities" in the "Other" column amounting to TL 8.860 include other liabilities amounting to TL 1.503, provisions amounting to TL 3.749 and tax liability amounting to TL 3.608.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2015					
Interest Income	16	3.239	16.699	-	19.954
Net Fees and Commissions Income	-	817	-	-	817
Other Operating Income and Trading Income/(Loss) (Net)	-	3.227	-	-	3.227
Operating Revenue	16	7.283	16.699	-	23.998
Interest Expense	(43)	(336)	(37)	-	(416)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.168)	(6.425)	(1.752)	-	(9.345)
Operating Expense	(1.211)	(6.761)	(1.789)	-	(9.761)
Operating Profit	(1.195)	522	14.910	-	14.237
	-	-	-	-	-
Profit Before Tax	-	-	-	14.237	14.237
Corporate Tax	-	-	-	(2.806)	(2.806)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	11.431	11.431
Segment Assets (*)	5.874	4.582	319.663	10.369	340.488
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	5.874	4.582	319.663	10.369	340.488
Segment Liabilities(*)	5.359	26.626	94.073	6.429	132.487
Shareholders' Equity	-	-	-	208.001	208.001
Total Liabilities	5.359	26.626	94.073	214.430	340.488

(*) "Segment Assets" in "Other" column amounting to TL 10.369 include tangible assets amounting to TL 8.480, intangible assets amounting to TL 73, tax assets amounting to TL 724 and other assets amounting to TL 1.092; "Segment Liabilities" in the "Other" column amounting to TL 6.429 include other liabilities amounting to TL 1.296, provisions amounting to TL 4.366 and tax liability amounting to TL 767.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2015 financial statements in order to be in conformity with the financial statements as of 31 December 2016.

XXVIII. OTHER INFORMATION

None.

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY:

The capital adequacy ratio of the Branch is 80,21% (31 December 2015: 95,61%)

Capital adequacy ratio is calculated within the scope of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (the "Regulation")", published in the Official Gazette No: 29511 dated 23 October 2015, "Communiqué on Credit Risk Mitigation Techniques" published in the Official Gazette No: 29111 dated 6 September 2014 and "Communiqué on Calculation of Risk Weighted Amounts for Securitizations" published in the Official Gazette No: 29511 dated 23 October 2015 and the "Communiqué on Equities of Banks" published in the Official Gazette No: 28756 dated 5 September 2013.

In the calculation of capital adequacy ratio, the data prepared from accounting records in compliance with the current legislation are used. Such accounting data is included in the calculation of credit and market risks subsequent to their designation as "trading book" and "banking book" according to the Regulation. Trading accounts ("trading book") consist of financial instruments and commodities which are in the purpose of buying and selling transactions in a short term of the Bank in order to benefit from the expected or realized price differences between the purchase and selling prices or to benefit from the change in other price and exchange rates. These financial instruments also represent derivative financial instruments for hedging or mitigating risks arising from these financial instruments and commodities or off-balance sheet and on balance sheet accounts and positions on which derivative financial instruments for speculative purposes. Accounts other than trading accounts are defined as "banking books".

Banking accounts consist of Receivables from the Central Bank, Receivables from Banks, Loans and Receivables, Lease Transactions and Other Receivables on the asset side. Liabilities are constitute of; Funds Collected, Issued Securities, Loans Used, Subordinated Loans, Other Debt. Derivatives and available-for-sale financial assets are monitored in trading accounts.

The risk measurement methods used to determine the capital adequacy standard ratio are to determine the risk weighted assets and non-cash loans according to the risk weight ratios in the related legislation and to include the market risk and operational risk into the capital adequacy standard ration calculations according to the related legislation. While the credit risk is calculated by applying risk weighted assets and non-cash loans to the risk weight ratios in the relevant legislation and by applying risk mitigation techniques, for market risk and operational risk, the standard method and basic indicator method is used respectively.

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	Amount	Amount for application before 1/1/2014
Common Equity Tier I Capital	240.394	
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	724	
Gains reflected to equity according to Turkish Accounting Standards (TAS)		
Profit	39.670	
Current Period Profit	28.368	
Prior Period Profit	11.302	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-	
Minority Interest	-	
Common Equity Tier I Capital Before Deductions	240.394	
Deductions From Common Equity Tier I Capital		
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital	-	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(422)	-
Leasehold Improvements on Operational Leases (-)	-	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	(233)	310
Net Deferred Tax Asset/Liability (-)	(419)	-
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	-	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-
Other items to be Defined by the BRSA (-)	-	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	Amount	Amount as per the regulation before 1/1/2014 (*)
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-	-
Total Deductions from Common Equity Tier I Capital	(1.074)	-
Total Common Equity Tier I Capital	239.320	-
ADDITIONAL TIER I CAPITAL		
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary	-	-
Third parties' shares in additional main capital	-	-
The shares of third parties in additional main capital (those under Temporary Article 3)	-	-
Additional Tier I Capital before Deductions	-	-
Deductions from Additional Tier I Capital		
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period		
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(155)	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(279)	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	-	-
Total Deductions from Additional Tier I Capital	(434)	-
Total Additional Tier I Capital	-	-
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	238.886	-
TIER II CAPITAL		
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary	-	-
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	1.797	-
Total Deductions from Tier II Capital	-	-
Deductions from Tier II Capital		
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	Amount	Amount as per the regulation before 1/1/2014 (*)
Total Deductions from Tier II Capital	-	-
Total Tier II Capital	1,797	-
Total Equity (Total Tier I and Tier II Capital)	240,683	-
Total Tier I Capital and Tier II Capital (Total Equity)	-	-
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-	-
Other items to be Defined by the BRSA (-)	-	-
Items to be Deducted from the Sum of Tier I and Tier II Capital (Capital) During the Transition Period	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-	-
CAPITAL	-	-
Total Capital (Total of Tier I Capital and Tier II Capital)	240,683	-
Total Risk Weighted Assets	300,080	-
CAPITAL ADEQUACY RATIOS	-	-
CET1 Capital Ratio (%)	79,75	-
Tier I Capital Ratio (%)	79,61	-
Capital Adequacy Ratio (%)	80,21	-
BUFFERS	-	-
Bank-specific total CET1 Capital Ratio	-	-
Capital Conservation Buffer Ratio (%)	0,625	-
Bank-specific Counter-Cyclical Capital Buffer Ratio (%)	-	-
Additional CET1 Capital Over Total Risk Weighted Assets Ratio Calculated According to the Article 4 of Capital Conservation and Counter-Cyclical Capital Buffers Regulation	-	-
Amounts Lower Than Excesses as per Deduction Rules	-	-
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-	-
Remaining Mortgage Servicing Rights	-	-
Net Deferred Tax Assets arising from Temporary Differences	-	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	<i>Amount</i>	<i>Amount as per the regulation before 1/1/2014 (*)</i>
Limits for Provisions Used in Tier II Capital Calculation		
General Loan Provisions for Exposures in Standard Approach (before limit of one hundred and twenty five	-	-
General Loan Provisions for Exposures in Standard Approach Limited by 1.25% of Risk Weighted Assets	1.797	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach, Limited by 0.6% Risk Weighted Assets	-	-
Debt Instruments Covered by Temporary Article 4 (effective between 1.1.2018-1.1.2022)		
Upper Limit for Additional Tier I Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier I Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-
Upper Limit for Additional Tier II Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier II Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31.12.2015
Common Equity Tier I Capital	207.972
Paid-in Capital to be Entitled for Compensation after All Creditors	156.914
Share Premium	-
Share Cancellation Profits	-
Reserves	-
Other Comprehensive Income according to TAS	1.352
Profit	-
Current Period Profit	50.825
Prior Period Profit	11.431
General Reserves for Possible Losses	39.394
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	-
Deductions From Common Equity Tier I Capital	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(1.090)
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	-
Net Deferred Tax Asset/Liability (-)	(29)
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	-
Total Common Equity Tier I Capital	207.972
ADDITIONAL TIER I CAPITAL	-
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	-
Deductions from Additional Tier I Capital	-
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS' EQUITY (Continued)

Deductions from Tier I Capital	
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(44)
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(44)
Total Tier I Capital	207.928
General Provisions	1.886
Tier II Capital before Deductions	1.886
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	1.886
CAPITAL BEFORE DEDUCTIONS	209.814
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	209.814
Amounts lower than Excesses as per Deduction Rules	
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

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BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

b. Reconciliation of capital items to balance sheet:

<i>Current Period</i>	<i>Carrying value</i>	<i>Amount of correction</i>	<i>Value of the capital report</i>	<i>Explanation of differences</i>
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	(169)	-	(169)	
Securities Value Increase Fund	(169)	-	(169)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Reserves (Effective Portion)	-	-	-	
Revaluation Surplus on Assets Held for Sale and Assets of Discontinued Operations	-	-	-	
Other Capital Reserves	(253)	-	(253)	
Bonus Shares of Associates, Affiliates and Joint-Ventures	-	-	-	
Share Premium	-	-	-	
Profit Reserves	724	-	724	
Profit or Loss	39.670	-	39.670	
Prior Periods Profit/Loss	11.302	-	11.302	
Current Period Net Profit/Loss	28.368	-	28.368	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(652)		(652)	
Common Equity Tier I Capital	239.320		239.320	

<i>Current Period</i>	<i>Carrying value</i>	<i>Amount of correction</i>	<i>Value of the capital report</i>	<i>Explanation of differences</i>
Subordinated Debts			-	
Deductions from Tier I Capital (-)			(434)	
Tier I Capital			-	
Subordinated Debts			-	
General Provisions			1.797	
Deductions from Tier II Capital (-)			-	
Tier II Capital			1.797	
Deductions from Total Capital (-)			(434)	
Total			240.683	

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

**c. Approaches applied to assess the adequacy of internal capital requirement in terms of
current and future activities**

The Branch prepares 'Internal Capital Assessment Process' document on the basis of 'Risk Management Policies and Implementation Procedures' approved by the Board of Managers on November 27, 2012 and updated on November 9, 2016. It has been aimed to determine the needed capital size in the period of next one year by evaluating and calculating effectively all risks that Branch will be met due to this document. Branch prepared taking into account the latest information 2015 "2016, 2017, 2018 Internal Capital Requirement Analysis" March 30, 2016, No. 7 was accepted by the Board of Managers. Branch prepared taking into account the latest information 2016 "2017, 2018, 2019 Internal Capital Requirement Analysis" March 31, 2017, No. 13 was accepted by the Board of Managers.

In the Analysis of Internal Capital Requirement, the Branch's activities and services, the main and sub-risk elements that may be exposed to them and the current legal capital requirement are analyzed based on the recent developments over the financial data of the previous year and the forecasts and anticipations calculated for the next three years of operation within the scope of the scenario submitted by BRSA. Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are included in the calculation of internal capital requirements for these risks has been placed. It has been considered credit risk (in general, country), market risk (currency and interest rate) and operational risk in addition to banking accounts that cannot quantify with re-pricing risk with reputational risk.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK:

- a. The branch tries to reduce credit risk by classifying the credibility with high banks and financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased after 2014.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department of the Branch.

- b. At 31 December 2016, the Branch has no forward and option contracts or any other similar agreements.
- c. At 31 December 2016, the Branch has been faced with an insignificant amount of credit risk exposure.
- d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

- e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.
- f. The Branch is not active in international banking market.
- g. 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2015: 100%).
2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2015: 100%).
3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 2,50% (31 December 2015: 2,97%).
- h. The general loan loss provision amount provided for credit risk is TL 1.797 thousand (31 December 2015: TL 2.287 thousand).

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

Exposure Categories (Current Year)	Current Period Risk Amount(*)	Current Period Average Risk Amount(**)
Conditional and unconditional receivables from central governments or central banks	127.116	150.734
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	350.561	256.734
Conditional and unconditional receivables from corporates	6.400	8.631
Conditional and unconditional retail receivables	498	848
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	4.451	4.417
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	654	655
Other items	22.077	23.490
Total	511.757	445.509

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

Exposure Categories (Prior Year)	Current Period Risk Amount(*)	Current Period Average Risk Amount(**)
Conditional and unconditional receivables from central governments or central banks	167.561	157.894
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	121.642	90.799
Conditional and unconditional receivables from corporates	6.193	20.244
Conditional and unconditional retail receivables	1.963	866
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	4.690	5.563
Items in regulatory high-risk categories	-	12
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	728	865
Other items	42.218	39.933
Total	344.995	316.176

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

31 December 2016 Current Period	Exposure Categories ^(*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1. Domestic	-	-	-	-	-	321,520	7,700	490	-	7,332	-	-	-	-	-	-
2. European Union(EU)	126,021	-	-	-	-	482	-	-	-	-	-	-	-	-	22,731	485,794
3. OECD Countries ^(**)	-	-	-	-	-	28	-	-	-	-	-	-	-	-	-	482
4. Offshore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	28
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	-	25,173	256	24	-	-	-	-	-	-	-	-
7. Associates, Subsidiaries and Joint -Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	25,453
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	126,021	-	-	-	-	347,203	7,956	514	-	7,332	-	-	-	-	22,731	511,757

31 December 2015 Prior Period	Exposure Categories ^(*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1. Domestic	-	-	-	-	-	60,124	6,193	1,742	-	4,690	-	-	-	-	-	-
2. European Union(EU)	167,550	-	-	-	-	327	-	-	-	-	-	-	-	-	42,946	283,245
3. OECD Countries ^(**)	-	-	-	-	-	24	-	-	-	-	-	-	-	-	-	327
4. Offshore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	24
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	11	-	-	-	-	61,167	-	221	-	-	-	-	-	-	-	-
7. Associates, Subsidiaries and Joint -Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	61,399
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	167,561	-	-	-	-	121,642	6,193	1,963	-	4,690	-	-	-	-	42,946	344,995

^(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.

^(**) Includes OECD countries other than EU countries, USA and Canada

^(***) Includes asset and liability items that can not be allocated on a consistent basis.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional receivables from corporates
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

Current Period	Exposure Categories(*)																Total
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	
Agriculture	-	-	-	-	-	-	-	-	-	107	-	-	-	-	-	-	107
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	107	-	-	-	-	-	-	107
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	1,698	-	-	-	-	-	-	-	-	-	-
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Electricity, Gas and Water	-	-	-	-	-	-	1,698	-	-	-	-	-	-	-	-	-	1,698
Construction	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Wholesale and Retail Trade	-	-	-	-	-	-	1,621	-	-	257	-	-	-	-	-	-	1,878
Accommodation and Dining	-	-	-	-	-	-	4,606	-	-	375	-	-	-	-	-	-	5,001
Transportation and Telecom.	-	-	-	-	-	-	4,108	-	-	375	-	-	-	-	-	-	4,483
Financial Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Real Estate and Rental Services	-	-	-	-	-	-	438	-	-	-	-	-	-	-	-	-	438
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	126,021	-	-	-	-	217	31	514	-	6,593	-	-	-	-	-	40	133,376
Total	126,021	-	-	-	-	347,203	7,956	514	-	7,332	-	-	-	-	-	22,731	511,757

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional receivables secured by mortgages
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties (Continued) :

Prior Period	Exposure Categories(*)																Total		
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16		TP	YP
Agriculture																			
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245	245	-	245
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245	245	-	245
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Mining and Quarrying	-	-	-	-	-	-	2,716	-	-	-	-	-	-	-	-	200	1,493	1,423	2,916
Production	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Electricity, Gas and Water	-	-	-	-	-	-	2,716	-	-	-	-	-	-	-	-	200	1,493	1,423	2,916
Construction																			
Services	-	-	-	-	-	-	-	-	-	4,690	-	-	-	-	-	-	-	-	-
Wholesale and Retail Trade	-	-	-	-	-	60,122	1,941	-	-	-	-	-	-	-	-	798	6,418	213	6,631
Accommodation and Dining	-	-	-	-	-	-	1,536	-	-	-	-	-	-	-	-	798	8,162	54,294	62,456
Transportation and Telecom.	-	-	-	-	-	-	1,500	-	-	-	-	-	-	-	-	798	2,298	-	2,298
Financial Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Real Estate and Rental Services	-	-	-	-	-	60,122	36	-	-	-	-	-	-	-	-	-	12	24	36
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	5,852	54,270	60,122
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	167,561	-	-	-	-	61,520	-	1,963	-	-	-	-	-	-	-	-	-	-	-
Total	167,561	-	-	-	-	121,642	6,193	1,963	-	4,690	-	-	-	-	-	41,703	202,789	69,938	272,747
																42,946	219,107	125,888	344,955

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional retail receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
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II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

31 December 2016	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	-	5.087	14.789	-	40.250
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	54.451	117.830	65.032	1	-
Conditional and unconditional receivables from corporates	492	632	1.020	1.551	47
Conditional and unconditional retail receivables	-	25	3	87	215
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	54.943	123.574	80.844	1.639	40.512

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Credit risk amounts which have no maturities do not comprise in the table.

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BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities (Continued):

31 December 2015	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	17.574	20.021	21.278	87.054	7.847
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	8.861	54.625	-	-	-
Conditional and unconditional receivables from corporates	152	651	213	1.325	2.338
Conditional and unconditional retail receivables	246	62	977	153	309
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	26.833	75.359	22.468	88.532	10.494

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

I. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Current Period Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	99.047	-	159.159	78.387	-	174.949	215	-	-	-
Exposures after Credit Risk Mitigation	100.689	-	159.159	78.387	-	173.307	215	-	-	-

Prior Period Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	189.097	-	5.512	-	-	150.117	230	39	-	-
Exposures after Credit Risk Mitigation	189.891	-	5.512	-	-	149.323	230	39	-	-

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue upto 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

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BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties: (Continued)

31 December 2016	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	6.699	-	-	2.712
Services	-	-	-	-
Wholesale and Retail Trade	-	-	-	-
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	258	1.545	-	105
Total	6.957	1.545	-	2.817

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

(***) The figures represent the non-cash loan risk is not included in the related table.

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BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties: (Continued)

31 December 2015	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	7.356	-	-	3.081
Services	-	-	-	-
Wholesale and Retail Trade	-	-	-	-
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	257	-	-	75
Total	7.613	-	-	3.156

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

(***) The figures represent the non-cash loan risk is not included in the related table.

o. Movements in value adjustments and provisions:

Current Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	3.156	107	(476)	-	2.787
General Provisions	2.287	1.374	(1.864)	-	1.797

Prior Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	3.119	100	(63)	-	3.156
General Provisions	1.992	72	(95)	318	2.287

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

III. EXPLANATIONS ON CURRENCY RISK:

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method"

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 Japanese Yen	U.A.E. Dirham
As of 30 December 2016	3,5192	3,7099	3,0025	0,95896
As of 29 December 2016	3,5329	3,6901	2,9961	0,96274
As of 28 December 2016	3,5135	3,6711	2,9883	0,95746
As of 27 December 2016	3,5041	3,6639	2,9852	0,95496
As of 26 December 2016	3,5077	3,6647	2,9809	0,95592

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD:	TL 3,4818
Euro:	TL 3,6772
100 Japanese Yen:	TL 2,9964
U.A.E:	TL 0,94881

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BRANCH (Continued)**

III. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2016				
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	13.766	38.731	182	52.679
Banks	121.905	30.744	125	152.774
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	-
Loans and Receivables	1.126	-	-	1.126
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	65	56	-	121
Total Assets	136.862	69.531	307	206.700
Liabilities				
Bank Deposits	44.220	49.197	46	93.463
Foreign Currency Deposits	76.335	5.379	450	82.164
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	376	88	-	464
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	109	172	-	281
Total Liabilities	121.040	54.836	496	176.372
Net On-Balance Sheet Position	15.822	14.695	(189)	30.328
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	419	370	-	789
31 December 2015				
Total Assets	40.550	84.627	269	125.446
Total Liabilities	31.696	71.722	446	103.864
Net On-Balance Sheet Position	8.854	12.905	(177)	21.582
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	606	276	-	882

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. As of 31 December 2016, the Branch has no foreign currency indexed loans (December 31, 2015: None) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 32 thousand (31 December 2015: TL 1.824 thousand) has also not been included in the table above. The provision was determined for non-cash loan in the amount of TL 94 (31 December 2015: TL 78)

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IV. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2016	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	56.837	-	-	-	-	18.075	74.912
Banks	47.742	21.699	-	-	-	131.294	200.735
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	22.910	87.862	80.418	40.716	-	655	232.561
Loans and Receivables	353	652	2.574	215	-	4.170	7.964
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	12	-	-	-	-	9.948	9.960
Total Assets	127.854	110.213	82.992	40.931	-	164.142	526.132
Liabilities							
Bank Deposits	-	9.973	-	-	-	177.337	187.310
Other Deposits	806	-	868	-	-	86.607	88.281
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	1.709	1.709
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	617	-	9	-	-	248.206	248.832
Total Liabilities	1.423	9.973	877	-	-	513.859	526.132
Balance Sheet Long Position	126.431	100.240	82.115	40.931	-	-	349.717
Balance Sheet Short Position	-	-	-	-	-	(349.717)	(349.717)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	126.431	100.240	82.115	40.931	-	(349.717)	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2015	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	28.428	-	-	-	-	15.817	44.245
Banks	6.383	52.190	-	-	-	57.428	116.001
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	7.201	-	-	-	-	-	7.201
Available-for-Sale Financial Assets	12.851	22.459	108.332	7.847	-	727	152.216
Loans and Receivables	373	892	2.126	2.608	-	4.457	10.456
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	56	-	-	-	-	10.313	10.369
Total Assets	55.292	75.541	110.458	10.455	-	88.742	340.488
Liabilities							
Bank Deposits	9.978	20.428	-	-	-	63.667	94.073
Other Deposits	2.612	1.325	1.623	-	-	25.446	31.006
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	979	979
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	444	-	32	-	-	213.954	214.430
Total Liabilities	13.034	21.753	1.655	-	-	304.046	340.488
Balance Sheet Long Position	42.258	53.788	108.803	10.455	-	-	215.304
Balance Sheet Short Position	-	-	-	-	-	(215.304)	(215.304)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	42.258	53.788	108.803	10.455	-	(215.304)	-

(1) "Other Assets" line includes Tangible Assets, Deferred Tax Assets, and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2016	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	0,49	-	4,90
Banks and Other Institutions	0,50	1,40	-	8,56
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	10,74
Loans and Receivables	9,00	-	-	16,08
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	0,25	-	4,50
Other Deposits	0,25	0,75	-	4,30
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2015	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	0,28	-	5,01
Banks and Other Institutions	3,00	-	-	8,69
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	7,30
Available-for-Sale Financial Assets	-	-	-	9,16
Loans and Receivables	9,00	-	-	16,82
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	0,25	-	4,50
Other Deposits	0,25	0,53	-	4,31
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
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IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

The interest rate risk resulting from the banking book is measured legally as per the "Regulation on Measurement and Evaluation of Interest Rate Risk Resulting from Banking Book as per Standard Shock Method". Economic value differences arising from interest rate fluctuations table is prepared in accordance with "Standard Shock Method" and presented as below

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

V EXPLANATIONS ON POSITION RISK OF EQUITY SECURITIES IN BANKING BOOK:

Position risk of equity shares on banking book

- a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

The branch does not have stocks that are not traded on the stock exchange.

- b) For balance sheet values of equity investments, fair value and for those traded on the stock exchange, the comparison with the market price if the market value differs significantly from the fair value:

31 December 2016

Equity Investments	Carrying Value	Comparison	
		Fair Value	Market Value
1) Securities Available for Sale	654	654	-
Traded on Stock Exchange	654	654	-
2) Associates	-	-	-
Traded on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Traded on Stock Exchange	-	-	-

31 December 2015

Equity Investments	Carrying Value	Comparison	
		Fair Value	Market Value
1) Securities Available for Sale	727	727	-
Traded on Stock Exchange	727	727	-
2) Associates	-	-	-
Traded on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Traded on Stock Exchange	-	-	-

- c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital

None.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
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VI. EXPLANATIONS ON LIQUIDITY RISK:

The liquidity risk of the Branch is the risk of being unable to fulfill its payment obligations on time due to not having enough cash sources or cash inflows to finance its cash outflows fully and on time due to cash flow instabilities. It has been evaluated in two main categories:

Funding Liquidity Risk : It is a kind of risk which does not meet the any unexpected loss and non defaulting debts and liabilities.

Market Liquidity Risk : It is a kind of risk which consists of the position that cannot be sold without affecting market price due to insufficient market depth or market conditions' deterioration or that cannot be completed with the position of market price for any reasons.

a. Information on liquidity risk management, including the risk capacity of the branch, the responsibilities and structure of the liquidity risk management, the reporting of the liquidity risk within the bank, the liquidity risk strategy, and how the policies and practices are communicated to the board and lines of business:

The applications and responsibilities related to the liquidity risk has been determined according to the Treasury Liquidity and Market Management Policies and Practices approved by Board of Managers. The Branch's liquidity policy is to own sufficient liquidity reserve and opportunities to meet its liabilities even in cases of stress, resulting from the market conditions or other conditions specific to the Branch.

Branch has a high risk coverage ratio due to its capital and asset / liability structure. The liquidity coverage ratio of the Branch which is able to meet the cash outflows with high quality liquid asset stake is considered to be well above the market averages and quite high. There are also ready-to-use limits for the CBRT

In the daily / weekly / periodically structured meetings of the Assets and Liabilities Committee and the Risk Committee attended by the senior management, the indicators related to the liquidity status are examined and the liquidity risk is addressed. In addition, the Board of Managers is informed through the regular reports prepared by the Risk Management Department and the Audit Committee.

For liquidity risk management, the Risk Management Unit monitors the funding and liquidity risk, market conditions, the distribution of accounts in different foreign currency types, the maturity structure, costs and expected future cash flow obligations. The Risk Management Unit monitors the limits on liquidity risk determined by the Board of Managers. In addition to these, the Risk Management Unit implements periodic liquidity stress tests to measure the effects of adverse scenarios on the liquidity situation of the Branch. The Fund Management Department manages the funding and liquidity risk to prevent inadequate funding at any time or any source and regularly reports on the liquidity position of the Assets and Liabilities Committee and the Branch's liquidity position. The General Accounting Unit Financial Reporting Service monitors the liquidity coverage ratio and regularly reports to the BRSA.

**I INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

b. Information on the centralization degree of liquidity management and funding strategy and the functioning between the Bank and the Bank's subsidiaries:

The Branch's liquidity management is performed by the Asset and Liability Management. The branch has no subsidiary subject to consolidation.

c. Information on the Bank's funding strategy including the policies on funding types and variety of maturities:

Branch spread to the base of demand current and time deposit accounts and that a stable, long-term diversification and aims to be the source of the funds used. Ratio of liquid assets to total assets ratio and risk indicators related to liquidity, credit and the ratio of funds, issues such as the concentration in provided funds are being closely monitored.

ç. Information on liquidity management on the basis of currencies constituting a minimum of five percent of the Branch's total liabilities:

The total liabilities of branches are in Turkish Lira, Euro or US Dollar, and GBP and Iranian Riyal are in foreign currency. TL liquidity of the branch is managed by cash and cash convertible securities held by CBRT and Banks. TL assets are used for funding TL assets and FC liabilities are used for funding of FX assets. Foreign currency funds are provided from foreign currency denominated borrowings and foreign bank deposits held in our Branch. Foreign currency liquidity is held in correspondent bank accounts within limits.

d. Information on liquidity risk mitigation techniques:

Liquidity risk is mitigated by using techniques such as maintaining high quality liquid asset buffer to cover possible fund outflows, diversification of funding sources so far as possible and inclusion to the base, homogenizing the maturity distribution of repayments as far as possible, obtaining limits from funding institutions to use when necessary and ensuring that a determined portion of funding sources are comprised of deposits. In addition, core deposit analysis is performed and concentration on collected funds are closely monitored.

e. Information on the use of stress tests:

In order to analyze the source of the possible liquidity insufficiencies and whether conformably move exists on existing off-balance sheet and balance sheet positions relevant with liquidity risk expectation, The scenarios are implemented by Risk Management Directorate and 3 types liquidity stress tests are prepared by Banking Regulation and Supervision Agency (BRSA). These includes stress test scenarios are special to the Branch, related with the overall market or scenarios take in consideration both of the situations. Stress tests related with liquidity risk are repeated at monthly periods. Results are tracked with key risk indicators and monitored by Senior Management.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

f. General information on urgent and unexpected liquidity situation plans:

Necessary strategy and procedures for the management of possible liquidity crisis are determined with the Liquidity Contingency Plan, which is approved and reviewed by the Board of Managers. The plan ultimately aims to protect current and participating account holders, lenders and shareholders. The basic indicators of the Liquidity Emergency Action Plan have been identified, and if the unexpected developments in the liquidity situation or other indicators are triggered, the plan is put into practice. The Risk Committee is responsible for monitoring the plan, and the Asset and Liability Committee is responsible for its implementation.

Analysis of financial liabilities by remaining contractual maturities:

The following table is prepared before the Branch's liabilities are undiscounted and based on the earliest date to the payment.

31 December 2016	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	264.750	10.012	874	-	-	275.636
Borrowings	-	-	-	-	-	-
Total	264.750	10.012	874	-	-	275.636

31 December 2015	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	101.738	21.761	1.628	-	-	125.127
Borrowings	-	-	-	-	-	-
Total	101.738	21.761	1.628	-	-	125.127

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (1)	Total
31 December 2016								
Assets								
Cash and the Central Bank of the Republic of Turkey	13.828	61.084	-	-	-	-	-	74.912
Banks	131.294	47.742	21.699	-	-	-	-	200.735
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-	-
Available-for-sale Financial Assets	-	22.910	87.862	80.418	40.716	-	655	232.561
Loans and Receivables	-	353	652	2.574	215	-	4.170	7.964
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets (1)	12	-	-	204	-	-	9.744	9.960
Total Assets	145.134	132.089	110.213	83.196	40.931	-	14.569	526.132
Liabilities								
Bank Deposits	177.337	-	9.973	-	-	-	-	187.310
Other Deposits	86.607	806	-	868	-	-	-	88.281
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	1.709	-	-	-	-	-	-	1.709
Other Liabilities (2)	-	617	-	9	-	-	248.206	248.832
Total Liabilities	265.653	1.423	9.973	877	-	-	248.206	526.132
Net Liquidity Gap	(120.519)	130.666	100.240	82.319	40.931	-	(233.637)	-
31 December 2015								
Total Assets	73.343	55.194	75.541	110.577	10.455	-	15.378	340.488
Total Liabilities	90.092	13.034	21.753	1.655	-	-	213.954	340.488
Net Liquidity Gap	(16.749)	42.160	53.788	108.922	10.455	-	(198.576)	-

(1) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(2) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

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BRANCH (Continued)**

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Leverage Ratio:

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below:

On-balance sheet assets		Current Period (*)	Prior Period (*)
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)	562.221	339.222
2	Assets deducted in determining Tier I capital	(1.113)	(77)
3	Total on-balance sheet risks (sum of lines 1 and 2)	561.108	339.145
Derivative financial instruments and credit derivatives		-	-
4	Replacement cost associated with all derivative instruments and credit derivatives	-	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-	-
Securities or commodity financing transactions (SCFT)		-	-
7	Risks from SCFT assets (excluding on-balance sheet)	-	-
8	Risks from brokerage activities related exposures	-	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-	-
Other off-balance sheet transactions		-	-
10	Gross notional amounts of off-balance sheet transactions	5.466	4.690
11	(Adjustments for conversion to credit equivalent amounts)	-	-
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	5.466	4.690
Capital and total risks			
13	Tier I capital	234.174	207.267
14	Total risks (sum of lines 3, 6, 9 and 12)	566.574	343.835
Leverage ratio			
15	Leverage ratio	41,33	60,28

(*) Amounts in the table are three-month average amounts.

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VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Liquidity Coverage Ratio

Current Period		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
		TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets					
1	Total high-quality liquid assets (HQLA)	131.121	46.511	108.637	31.873
Cash Outflows					
2	Retail deposits and deposits from small business customers, of which:				
3	Stable deposits	7.610	6.857	571	523
4	Less stable deposits	3.792	3.253	190	163
5	Unsecured wholesale funding, of which:				
6	Operational deposits	3.818	3.604	382	360
7	Non-operational deposits	313.718	147.430	248.294	120.555
8	Unsecured funding	2.198	2.039	550	510
9	Secured wholesale funding	106.292	42.243	42.517	16.897
10	Other cash outflows of which:	205.228	103.148	205.228	103.148
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Diğer cayılamaz veya şartı bağı olarak cayılabılır bilanço dışı borçlar	4.466	1.202	551	218
16	Total Cash Outflows			249.417	121.297
NAKİT GİRİŞLERİ					
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	263.492	133.404	263.492	133.404
20	Total Cash Inflows	263.492	133.404	263.492	133.404
21	Total HQLA			108.637	31.873
22	Total Net Cash Outflows			64.805	30.324
23	Liquidity Coverage Ratio (%)			168,13	98,39

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages.

The table below presents highest, lowest and average liquidity coverage ratios of the last three months of 2016:

Current Period	Highest	Date	Lowest	Date	Average
TL+FC	254,54	01.11.2016	96,45	07.10.2016	174,12
FC	133,37	30.12.2016	71,80	18.10.2016	100,64

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VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Liquidity Coverage Ratio (Continued)

<i>Prior Period</i>		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
		TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets					
1	Total high-quality liquid assets (HQLA)	191.343	41.942	183.006	33.969
Cash Outflows					
2	Retail deposits and deposits from small business customers, of which:				
3	Stable deposits	4.370	4.410	306	296
4	Less stable deposits	2.620	2.420	131	121
5	Unsecured wholesale funding, of which:				
6	Operational deposits	1.750	1.990	175	175
7	Non-operational deposits	111.679	99.666	92.960	86.515
8	Unsecured funding	1.020	1.012	255	253
9	Secured wholesale funding	29.923	20.653	11.969	8.261
10	Other cash outflows of which:	80.736	78.001	80.736	78.001
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	4.600	790	553	171
16	Total Cash Outflows	183.006	33.969	183.006	33.969
Cash Inflows					
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	93.744	75.190	93.744	75.190
20	Total Cash Inflows	93.744	75.190	93.744	75.190
21	Total HQLA			183.006	33.969
22	Total Net Cash Outflows			23.799	22.109
23	Liquidity Coverage Ratio (%)			774,77	153,39

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages.

The table below presents highest, lowest and average liquidity coverage ratios as of 2015:

Current Period	Highest	Date	Lowest	Date	Average
TL+FC	929,40	02.01.2015	189,26	23.12.2015	824,56
FC	257,03	18.03.2015	122,38	11.09.2015	194,53

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

VII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The estimated fair value of demand deposits refers to the amount to be paid on demand. Estimated fair value of fixed rate deposits is calculated by using discounted cash flow using market interest rates applied to similar loans and other debts.

Fair values of loans are calculated discounting future cash flows at current market interest rates for fixed rate loans. The carrying values of floating-rate loans are deemed an approximation for their fair values.

The table summarizes the book value and fair value of the financial assets and liabilities that were not accounted by the values in Bank's financial statements. Book value is the sum of the acquisition value and accumulated profit share accruals.

	Carrying Value		Fair Value	
	31 December 2016	31 December 2015	31 December 2016	31 December 2015
Financial Assets	441.260	285.874	441.260	286.234
Interbank Money Market Placements	-	7.201	-	7.201
Banks	200.735	116.001	200.735	116.001
Financial Assets Available-for-Sale	232.561	152.216	232.561	152.216
Loans (*)	7.964	10.456	7.964	10.816
Financial Liabilities	277.300	126.058	277.300	126.058
Bank Deposits	187.310	94.073	187.310	94.073
Other Deposits	88.281	31.006	88.281	31.006
Miscellaneous Payables	1.709	979	1.709	979

(*) It is observed that the fair value approximates to the recorded value.

TFRS 7 the standard of "Financial Instruments: Disclosures" requires to be classified according to certain levels, with items presented with fair values on the financial statements. These levels are based on the observability of the data used to calculate the fair value. The classification of the fair value is as follows:

**VIII. EXPLANATIONS ON THE ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF
OTHER PERSONS**

The Bank does not perform purchases, sales and custody services in the name of others. The Bank has no fiduciary based transactions.

IX. EXPLANATIONS ON RISK MANAGEMENT

Risk Management System refers to the Board of Managers, the Audit Committee, the Risk Management Committee Internal Systems Coordinator and the Risk Management Department which has been composed in order to manage systemic risks that the Branch is exposed. Board of Managers is the owner of the Branch's Risk Management System and ensures the establishment of an effective, sufficient and appropriate risk management system as well as the continuity of the system. The main objective of the Branch's Risk Management System is to identify, measure, monitor and control the risks that the Branch is exposed to, by determining the policies, limits and procedures to control, to monitor, and if necessary to change the risk-return structure of the Branch's future cash flows and the level & the quality of related activities.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a. Explanation on risk management and risk weighted amounts:

1. Risk weighted amounts:

	Risk Ağırlıklı Tutarlara Genel Bakış	Risk Weighted Amounts		Minimum Capital Requirements
		Current Period	Prior Period	Current Period
1	Credit risk (excluding counterparty credit risk) (CCR) (*)			
2	Of which standardised approach (SA)	244.001	141.970	19.520
3	Of which internal rating-based (IRB) approach	244.001	141.970	19.520
4	Counterparty credit risk	-	-	-
5	Of which standardised approach for counterparty credit risk (SA-CCR)	-	-	-
6	Of which internal model method (IMM)	-	-	-
7	Equity position in banking book under basic risk weighting or internal rating-based	654	597	52
8	Equity investments in funds – look-through approach	-	-	-
9	Equity investments in funds – mandate-based approach	-	-	-
10	Equity investments in funds – 1250% risk weighting Approach	-	-	-
11	Settlement risk	-	-	-
12	Securitisation exposures in banking book	-	-	-
13	Of which IRB ratings-based approach (RBA)	-	-	-
14	Of which IRB supervisory formula approach (SFA)	-	-	-
15	Of which SA/simplified supervisory formula approach (SSFA)	-	-	-
16	Market risk	20.100	23.563	1.608
17	Of which standardised approach (SA)	20.100	23.563	1.608
18	Of which internal model approaches (IMM)	-	-	-
19	Operational risk	35.326	35.326	2.826
20	Of which basic indicator approach	35.326	35.326	2.826
21	Of which standardised approach	-	-	-
22	Of which advanced measurement approach	-	-	-
23	Amounts below the thresholds for deduction from capital (subject to 250% risk weight)	-	-	-
24	Floor adjustment	-	-	-
25	Total (1+4+7+8+9+10+11+12+16+19+23+24)	300.080	201.455	24.006

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a. Explanation on risk management and risk weighted amounts (Continued):

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation:

31 December 2016	Carrying values in financial statements prepared as per TAS	Carrying values of items in accordance with Turkish Accounting Standards			
		Subject to credit risk	Subject to Counterparty credit risk	Subject to market risk (*)	Not subject to capital requirements or subject to deduction from capital
Assets					
Cash (Cash on Hand, Money in Transit, Purchased Cheques) and Balances With Central Bank of Turkey	74.912	40.548	-	-	34.126
Financial Assets Held for Trading	-	-	-	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Banks	200.735	200.621	-	-	-
Interbank Money Markets Placements	-	-	-	-	-
Financial Assets Available-for-Sale	232.561	171.657	-	-	56.981
Loans	7.964	7.915	-	-	-
Factoring Receivables	-	-	-	-	-
Investment Held-to-Maturity	-	-	-	-	-
Investment in Associates	-	-	-	-	-
Investment in Subsidiaries	-	-	-	-	-
Investment in Joint-Ventures	-	-	-	-	-
Lease Receivables	-	-	-	-	-
Derivative Financial Assets Held for Risk Management	-	-	-	-	-
Tangible Assets	8.226	8.226	-	-	-
Intangible Assets	388	-	-	-	388
Investment Property	-	-	-	-	-
Tax Asset	698	698	-	-	-
Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Other Assets	648	4.972	-	-	-
Total Assets	526.132	434.637	-	-	91.495
Liabilities					
Deposits	275.591	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Funds Borrowed	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Fonlar	-	-	-	-	-
Miscellaneous Payables	-	-	-	-	-
Muhtelif borçlar	1.709	-	-	-	-
Other External Fundings Payable	1.503	-	-	-	-
Factoring Payables	-	-	-	-	-
Lease Payables	-	-	-	-	-
Derivative Financial Liabilities Held for Risk Management	-	-	-	-	-
Provisions	3.749	-	-	-	-
Tax Liability	3.608	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Debts	-	-	-	-	-
Shareholders' Equity	239.972	-	-	-	-
Total Liabilities	526.132	-	-	-	-

(*) Disclosed based on gross position amounts subject to general market risk and specific risk

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a. Explanation on risk management and risk weighted amounts (Continued):

3. Main sources of differences between regulatory exposure amounts and carrying values in financial statements:

31 December 2016	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	526.132	434.637	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	526.132	434.637	-	-	-
4- Off-balance sheet amounts	5.328	4.953	-	-	-
5- Differences in valuations	-	-	-	-	-
6 Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9-Risk Tutarları	531.460	439.590	-	-	-

b. General qualitative information on credit risk:

1. How the business model translates into the components of the branch's credit risk profile:

The business model of the Branch basically consists of two main business fields: collecting funds by means of demand current accounts, scattered customer time deposit accounts, especially with Bank Mellat Iran and other foreign Iranian banks repo accounts subject to the interest-free banking rules, and using those funds and equity funds to make funds available to customers. Because of these main business fields, the branch's assets have a low credit-weighted structure. Reflecting this business model, its total assets consist mainly of government bonds and domestic marketable bond securities, while the loans provided to customers remain in small proportions. The branch aims to increase the loan amount, taking into account the risk-return balance, and thus to achieve a sustainable growth.

The risk profile of the Branch indicates the types of risks to which it is exposed or expects to be exposed, and its risk level by type of risk. The largest type of risk to which the Branch is exposed or expects to be exposed within its current and target business model is not the SME or commercial customer credit risk. Although the credits remain in the active ratios, the sectoral concentration and maturity structure are followed in the scope of the risk of concentration. Conversion rates and limitations are followed for exposure risk. Intrinsic limits have been set for borrowers and credit risk groups in terms of credit risk intensities, taking into account the coherent size orders. Country limits have been established in order to prevent concentration in the countries determined within the scope of the country risk. Although it is a branch status and ownership structure is naturally higher country risk is Iran, it is considered to include a reasonably low risk. In legal reporting, risks in Iran and other countries are monitored in accordance with BRSA regulations.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk (Continued):

2. Criteria and approach used for defining credit risk policy and for setting credit risk limits:

The main purpose of the credit risk policy is to measure the counterparty risk undertaken as part of a credit transaction, to monitor the risk against the legal limits and the Branch's internal limits, to research new techniques and applications for measuring and controlling the risk, to monitor overdue receivables, to analyze the reason of overdue, and to take measures to prevent such reasons from repeating. The term 'credit risk' refers to the potential loss the branch might be exposed to because of credit borrowers' partial or full default of the credit agreements they signed with the branch. This term also includes the loss of market value because of the breakdown of the counterparty's financial position. This term includes on-balance sheet and off-balance sheet transactions too.

Risk limits; As part of the risk appetite structure, are determined by considering the size of the branch in the capital structure and the financial system. In this context the appetite for risk approved by the Board of Managers are divided between and allocated to other levels considered necessary by type of risk. The uses of the limits are closely monitored, and overdrafts are reported to the executive management for ensuring the necessary measures to be taken.

3. Structure and organization of the credit risk management and control function:

Risk Management, by Internal Control - Compliance and Internal Audit Units through Internal Systems Coordination Unit; works under the Audit Committee is affiliated to the Board of Managers. Risk Management Unit and the Internal Systems Coordinator to which it is affiliated are responsible for implementing the strategies and policies approved by the Branch Management Board and for carrying out other duties assigned by the Internal Systems Supervisor performing the Audit Committee mission.

4. Relations between the credit risk management, risk control, compliance and internal audit functions:

The units within the scope of the internal systems were established in accordance with the Board of Managers within the branch organization structure. The board of managers has delegated its duties and responsibilities within internal systems to the Audit Committee, which is designated as Internal Systems Responsible. These units carry out their activities under the supervision of the Internal Systems Supervisor and the coordination of the Internal Systems Coordinator.

The internal control function of the Branch is performed by the Internal Control Department. Internal Control System has been founded in such a manner to be capable and efficient to mitigate, manage, monitor and control the exposure risks of the Branch in accordance with the Branch's organizational structure and business fields as well as changing circumstances, and covers all domestic and international branches, head office, consolidated subsidiaries and all business activities of the Branch. The internal control system and internal control activities of the Branch are designed by the Internal Control Department in cooperation with the relevant management executives and are performed at a sufficient and efficient extent.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk (Continued):

**4. Relations between the credit risk management, risk control, compliance and internal audit functions
(Continued):**

Compliance checks are carried out within the Internal Control Unit in accordance with the legislation in accordance with the structure of the Branch

Efforts are being made to ensure that the risk of compliance in the branch is effectively managed and controlled, that such risks are identified and prevented before they occur, and that the activities of the Branch are carried out in accordance with the relevant legislation and regulations in a continuous manner.

Risk Management Department performs the tasks of determining, measuring and managing the exposure risks of the branch. An efficient risk management system infrastructure has been established for credit risk management tasks, credit policy, and risk management activities falling within the credit risk policy. The internal credit risk limits set by the Board of Directors are measured and reported at regular intervals to the Audit Committee.

Internal audit department is in charge of assuring the Board of Managers and the executive management that the Branch's business activities are performed in accordance with the Banking Law, other applicable laws and regulations and the internal strategies, policies, principles and targets of the branch, and that the internal control and risk management systems are efficient and sufficient.

**5. Scope and main content of the reporting on credit risk exposure and on the credit risk management
function to the executive management and to the Board of Directors:**

Risks exposed to the Branch are reported on the basis of risk types in daily / monthly and periodic regular reports provided to the Board of Managers and senior management. Credit risk reporting includes the following main content.

The asset quality is analyzed and compared to the previous period in the framework of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables by Banks and the Provisions to be Subscribed and thus the sustainability of the asset quality is monitored. Credit risk limits and realizations in the related period. Loan disbursements are monitored on the basis of cash, non-cash and total loans. Risk limits and realizations are defined for the risk appetite of the branch.

Distribution of cash loans according to cash flows is monitored. Administrative and legal follow-up customers are monitored as well. In addition, the limits and limits of the Branch Risk Group are being reported.

Country ratings, limits and limit achievements are being followed and compared with the previous period.

In order to observe whether there is an increase or decrease in the value of the real estate collateral acquired during the fund disbursement process, the analysis of the real estate price index is examined and the appraisal values are updated routinely and at necessary intervals.

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk (Continued):

5. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the Board of Directors (Continued):

Credit quality of assets:

		Gross carrying value as per TAS		Allowances/amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	6.957	204.529	2.787	208.699
2	Debt securities	-	233.144	583	232.561
3	Off-balance sheet exposures(*)	375	5.047	94	5.328
4	Total	7.332	442.720	3.464	446.588

Changes in stock of defaulted loans and debt securities:

		Cari Dönem (*)
1	Defaulted loans and debt securities at end of the previous reporting period	7.264
2	Loans and debt securities that have defaulted since the last reporting period	-
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	68
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4+5)	7.332

(*) Non-indemnified cash non-cash loans are included.

6. Qualitative disclosures related to the credit quality of assets

a) Scope and definitions of "overdue" and "provision allocated" receivables for accounting purposes and the differences of definitions between "overdue" and "provision allocated" , if any

Overdue receivables and provision allocated receivables are determined according to the Communique on Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves.

b) The part of the overdue receivables (past 90 days) for which provision is not allocated and reasons for this application

Provisions are made on time and at the required rates within the scope of the legislation. Within the branch capital structure, the amount of credits required to allocate both loans and special provisions in general is very low.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

6. Qualitative disclosures related to the credit quality of assets (Continued):

c) Definitions of the methods used when determining the provision amount

The minimum legal reserve requirement ratios stated in the same 7th and 8th articles of the Regulation on loans or other receivables classified in the third, fourth, fifth group defined in Article 4 of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables and the Provisions to be Forbidden by Banks, Including the minimum legal guarantees defined in Articles 9 and 10.

d) Definitions of restructured receivables

According to the Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves, restructuring for the performing and non-performing loans means new contractual conditions only for the loan obligators encountered or likely to be encountered in repayment as a result of financial difficulties, excluding loan obligators with no repayment difficulties.

e) Breakdown of exposures by geographical areas, industry and ageing:

Current Period (*)	Loans Under Follow-Up	Specific Provisions	Write-Offs
Domestic	7.332	2.881	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	7.332	2.881	-

(*)Indemnified- non cash loan amounts which are not included.

Current period	Up to 3 Months	3-12 Months	3-12 Months	3-5 Years	5 Years and Over
Corporate and Commercial Loans	1.004	2.485	-	-	-
Retail Loans	1	89	215	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	1.005	2.574	215	-	-

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

6. Qualitative disclosures related to the credit quality of assets (Continued):

f) Credit risk mitigation techniques:

In accordance with Article 33 of the Communiqué on Credit Risk Reduction Techniques, the Branch reduces the credit risk according to the simple financial guarantee method in which the risk reduction effects are calculated based on the fair value determined in accordance with Article 19 of the Communiqué on financial guarantees.

In the credit risk reduction calculations, no tools other than cash or similar assets are considered.

Financial collateral can not be used for credit reduction if the remaining maturity of the collateral is less than the remaining maturity (maturity mismatch) and / or currency incompatibility of receivables.

		Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
	31 December 2016							
1	Loans	1.850	8.901	8.901	-	-	-	-
2	Debt securities	232.561	-	-	-	-	-	-
3	Total	234.411	8.901	8.901	-	-	-	-
4	Overdue	6.957	4.344	-	-	-	-	-

c. Information on counterparty credit risk (PPE):

a) Risk management objectives and policies for CCR:

Determination of the creditworthiness of financial counterparties has been made in addition to the Credit Policy of the Branch in accordance with the regulations published by BRSA and the international practices in order to limit the exposure to be suffered by the Branch in case of financial counterparty default. This annex describes allocation of limit to financial counterparties and continuous monitoring activities. In this respect, the creditworthiness assessments of the financial and non-financial entities for CCRs especially including sovereign assessments and limits are finally decided by the committees specified under the Policy.

b) The method used to allocate the operational limits defined in terms of internal capital for CCR and central counterparty risks:

Internal model method is not used for calculating the capital requirements for counterparty credit risk and central counterparty risks.

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BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c) Policies relating to guarantees and other risk mitigation and assessments concerning counterparty credit risk, including central counterparty risk:

When it is necessary, cash collateral is taken if it is possible and the risk is reduced. As a general principle in risk hedging, risk can be reduced by taking a real estate mortgage lien which has high value margin according to the risk. However, only cash and similar collateral are taken into account in the calculation of credit risk mitigation techniques.

d) Rules with respect to wrong-way risk:

Internal model is not used for CCR; and as such, no calculation is made with respect to the wrong-way risk.

e) The impact in terms of the amount of collateral that the bank is required to provide in case of a credit rating downgrade:

For the cash risk-bearing transactions that the branch owes, Borrowing is not ensured by providing collateral in the current situation. Therefore, there will be no such influence in the downgrading of a possible rating of the Branch, such contracts do not include such articles.

f) Counterparty credit risk (CCR) approach analysis

		Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post- CRM	RWA
1	Standardised Approach CCR (for derivatives)	-	-	-	-	-	-
2	Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3	Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4	Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5	Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6	Total						-

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

g) Capital requirement for credit valuation adjustment (CVA)

		Risk tutarı (Kredi riski azaltımı teknikleri kullanımı sonrası)	Risk ağırlıklı tutarlar
	Gelişmiş yöntemle göre KDA sermaye yükümlülüğüne tabi Total portfolios subject to the Advanced CVA capital obligation		
1	(i) VaR component (including the 3×multiplier)	-	-
2	(ii) Stressed VaR component (including the 3×multiplier)	-	-
3	All portfolios subject to the Standardised CVA capital obligation	-	-
4	Total subject to the CVA capital obligation	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

h) CCR exposures by risk class and risk weights

Risk Classes / Risk Weights											
	%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk	
1 Receivables from central governments and Central Banks	86.565	-	-	-	-	40.551	-	-	-	127.116	
2 Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-	
3 Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-	
4 Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-	
5 Receivables from international organizations	-	-	-	-	-	-	-	-	-	-	
6 Receivables from banks and brokerage houses	-	-	159.159	78.387	-	113.015	-	-	-	350.561	
7 Receivables from corporate	1.466	-	-	-	-	4.934	-	-	-	6.400	
8 Retail receivables	176	-	-	-	-	107	215	-	-	498	
9 Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-	
10 Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-	
11 Non-performing receivables	-	-	-	-	-	-	-	-	-	-	
12 Receivables in high-risk categories	-	-	-	-	-	4.451	-	-	-	4.451	
13 Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-	
14 Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-	
15 Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-	
16 Equity share investments	-	-	-	-	-	-	-	-	-	-	
17 Other receivables	12.482	-	-	-	-	654	-	-	-	654	
17 Other receivables	-	-	-	-	-	9.595	-	-	-	22.077	
18 Total	100.689	-	159.159	78.387	-	173.307	215	-	-	511.757	

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

d. Explanations on securitization positions

None.

e. Qualitative explanations on market risk

1. Bank's processes and strategies:

The branch defines market risk as market prices and changes in market parameters such as interest, exchange rate and stocks as the value of assets in the resulting trading accounts.

The Risk Management Policies and Implementation Procedures prepared in the framework of "Regulation on Assessment of Internal Systems and Internal Capital Adequacy of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks" published in the Official Gazette No. 29057 dated 11 July 2014.

The Branch does not actively trade on its own behalf and account, it does not carry any trading securities or commodity position and does not use derivative instruments.

The effects of fluctuations in the interest rates of the Turkish lira, especially due to the securities available for sale, are assessed using the method of durations

Another market risk that the bank is exposed to is the currency risk. This authority has been transferred to the Risk Committee by the Board of Managers together with the authority of the Board of Managers in principle to determine the rules and limitations regarding the direction, amount and composition of the branch foreign exchange position. Risk Committee evaluates economic developments in Turkey and in the world at appropriate intervals and makes amendments that are appropriate for limits and limitations on foreign exchange position.

The components of the market risk are closely monitored within the limits accepted by the Board of Managers.

2. The organization and structure of the market risk management function:

Definition of the market risk management structure established for the implementation of the branch's strategies and processes and the communication mechanism and relationship between the different parties involved in market risk management, as described in part 1.

The market risk service, operates under the Deputy Head responsible from the Market Risk, Operational Risk and Capital Planning within Risk Management Department. This service directly reports to the Board of Managers through the Internal Systems Committee. The results of risk measurement and risk monitoring are shared with other related units. The activities coordinated within the Internal Capital Adequacy Assessment Process are carried out together with other relevant departments of the Branch

3. Structure and scope of risk reporting and/or measurement systems:

Within the scope of risk management system, the Branch established a reporting system which ensures effective analysis and evaluation for market risks. The risk measurement and risk monitoring results is reported to the Internal Systems Committee on a timely manner.

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

e. Qualitative explanations on market risk (Continued)

3. Structure and scope of risk reporting and/or measurement systems (Continued)

There is a risk measurement system which covers the scope and complexity of significant market risk components including transactions and operations exposed to market risk.

The details of the market risk calculated as of 31 December 2016 in accordance with the principles in the third part of the "The Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks" published in the Official Gazette numbered 29511 and dated 23 October 2015 are as follows:

4. Market risk under standardised approach:

		Risk Weighted Amounts	
		Current Period	Prior Period
	Direct (Pre-paid) Products	1.608	1.742
1	Profit share risk (general and specific)	-	-
2	Equity risk (general and specific)	-	-
3	Foreign exchange risk	1.608	1.742
4	Commodity risk	-	-
	Options	-	-
5	Simplified approach	-	-
6	Delta-plus method	-	-
7	Scenario approach	-	-
8	Securitisation	-	-
9	Total	1.608	1.742

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

f. Explanation on Operational Risk

The operational risk base amount is calculated according to the basic indicator method in accordance with Article 14 of the Regulation on Measurement and Evaluation of Capital Adequacy of Banks.

Annual gross income is calculated as the sum of the net amounts of interest incomes and non-interest income after deducting the profit / loss arising from the sale of marketable securities that are available for sale and securities held to maturity and the amounts compensated from extraordinary income and insurance.

Current Year

Basic Indicator Method	31.12.2013	31.12.2014	31.12.2015	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	18.149	15.552	22.820	56.521	15	2.826
Value at Operational Risk (Total*12.5)						35.326

Prior Year

Basic Indicator Method	31.12.2012	31.12.2013	31.12.2014	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income						
Value at Operational Risk (Total*12.5)	41.203	18.149	15.552	24.968	15	3.745
Operasyonel Risk Esas Tutar (Total x 12,5)						46.815

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

g. Profit-share rate risk related to banking book:

1. Economic value differences arising from fluctuations in profit share rates in accordance with the regulation on measurement and evaluation of profit share rates derived from banking accounts with standard shock method

Current Period

Currency	Applied Shock (+/- x basis points)	Gains/Losses	Gains/Shareholder's equity- Losses/shareholder's equity
1. TRY	(+) 500	(4.303)	%(1,79)
	(-) 400	3.723	%1,55
2. USD	(+) 200	1	%0,0005
	(-) 200	(1)	%0,0
3. EURO	(+) 200	(43)	%(0,02)
	(-) 200	(14)	%(0,01)
Total (For negative shocks)		3.709	%1,54
Total (For positive shocks)		(4.345)	%(1,81)

Prior Period

Currency	Applied Shock (+/- x basis points)	Gains/Losses	Gains/Shareholder's equity- Losses/shareholder's equity
1. TRY	(+) 500	(3.718)	%(1,77)
	(-) 400	3.198	%1,52
2. USD	(+) 200	44	%0,02094
	(-) 200	(5)	%0,00
3. EURO	(+) 200	(9)	%(0,004)
	(-) 200	1	%0,00
Total (For negative shocks)		3.194	%1,52
Total (For positive shocks)		(3.683)	%(1,76)

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

h. Risk management objectives and policies:

Risk is defined as the probability of a loss of monetary loss related to a transaction or activity, or a decrease in economic benefit if a loss or damage occurs.

The branch is exposed to some risks due to the activities it has undertaken to achieve its objectives. The aim of risk management is to identify, measure, report, monitor and control the risks exposed through defined application procedures and limits and to determine the internal capital requirement in accordance with the risk profile to be adopted in this context

In defining risk management policy and implementation procedures, the following points are taken into consideration.

- The vision, mission, strategy and goals of the branch
- Priority and weighted areas of activity of the branch, products and their volume and characteristics
- The organizational structure of the branch, human resources
- Past events and experiences related to exposure risks
- Database coverage and quality of risk management,
- The level of technological competence of the branch and its contribution to risk monitoring and management activities,
- Intrinsic capital requirement and actual equity level and the level of risk compatible with them.

Risk management policies and procedures are determined and developed taking into account such factors as the size of the bank, the scope and complexity of the activities, and the product variety used. Management of credit risk is of great importance when evaluated from these angles.

**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

h. Risk management objectives and policies (Continued):

Hierarchy of valuation techniques which establishes basis for fair value calculation of financial assets and liabilities:

Level 1: Quoted prices in active markets for identical assets and liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable market information for the assets or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that is not based on observable market information.

According to the classification principles, the fair value classification of the financial assets and liabilities for which the Branch is carrying at fair value is as follows:

31 December 2016	Level 1	Level 2	Level 3	Total
Financial Assets in Fair Value Reflected to Profit or Loss				
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	232.561	-	-	232.561
Government Debt Securities	60.904	-	-	60.904
Other Marketable Securities	171.657	-	-	171.657
Total Assets	232.561	-	-	232.561
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2015	Level 1	Level 2	Level 3	Total
Financial Assets in Fair Value Reflected to Profit or Loss				
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	152.216	-	-	152.216
Government Debt Securities	146.573	-	-	146.573
Other Marketable Securities	5.643	-	-	5.643
Total Assets	152.216	-	-	152.216
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	-	-	-	-

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
Cash	351	12.131	1.708	14.109
The CBRT	21.882	40.548	780	27.648
Other	-	-	-	-
Total	22.233	52.679	2.488	41.757

2. Information related to the account of the CBRT:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
Demand Unrestricted Account ⁽¹⁾	1.107	-	12	-
Time Unrestricted Account	-	16.889	-	11.084
Time Restricted Account	20.775	4.790	768	1.924
Reserve Requirement	-	18.869	-	14.640
Total	21.882	40.548	780	27.648

⁽¹⁾ The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2016, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 4% to 10,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 4,5% to 24,5% depending on the maturity of deposits.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2016, the Branch does not have any financial assets at fair value through profit or loss (31 December 2015: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
Banks				
Domestic	47.960	127.309	210	54.270
Foreign	-	779	6	600
Head Quarters and Branches Abroad	1	24.686	33.954	26.961
Other Financial Institutions	-	-	-	-
Total	47.961	152.774	34.170	81.831

2. Information on foreign banks account::

	Unrestricted Amount		Restricted Amount	
	31 December 2016	31 December 2015	31 December 2016	31 December 2015
EU Countries	211	329	-	-
USA, Canada	-	-	-	-
OECD Countries ⁽¹⁾	299	24	-	-
Off-Shore Banking Regions	-	-	-	-
Other	269	253	-	-
Total	779	606	-	-

⁽¹⁾ OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

- As of 31 December 2016 there are no available for-sale-financial assets subject to repo transactions (31 December 2015: None).
- As of 31 December 2016 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2015: None).
- Information on available-for-sale financial assets:

	31 December 2016	31 December 2015
Debt Securities	231.907	151.602
Quoted on Stock Exchange	231.907	151.602
Not Quoted	-	-
Share Certificates	1.237	1.237
Quoted on Stock Exchange	1.237	1.237
Not Quoted	-	-
Impairment Provision (-)*	(583)	(623)
Total	232.561	152.216

*Impairment Provisions for share certificates TL 583 thousands, there is no impairment provision for debt securities.

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
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Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2016		31 December 2015	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders				
Corporate Shareholders				
Real Person Shareholders				
Indirect Loans Granted to Branch's Shareholders				
Loans Granted to Branch's Employees	282		259	
Total	282		259	

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2016)	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring			
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	2.249	-	-	1.115	430	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	574	430	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	282	-	-	23	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	1.967	-	-	518	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	2.249	-	-	1.115	430	-

(*)Discount notes are included that the balance.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans: (Continued)

Cash Loans (31 December 2015)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	5.874	125	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	1.423	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	309	4	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	4.142	121	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	5.874	125	-	-	-	-

Loans and other receivables with extended payment plans;

31 Decemeber 2016

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	-	430
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2015

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	125	-
3, 4 or 5 times	-	-
Over 5 times	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

Loans and other receivables with extended payment plans (continued):

31 December 2016

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	-	-
6 - 12 months	-	430
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

31 December 2015

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	4	-
6 - 12 months	121	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
 (Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2016	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	322	-	-	-
Non-specialised Loans	322	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	1.927	-	1.115	430
Non-specialised Loans	1.927	-	1.115	430
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2015	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	1.913	-	-	-
Non-specialised Loans	1.913	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	3.961	125	-	-
Non-specialised Loans	3.961	125	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2016	Short-term	Long and medium term	Total
Consumer Loans - TL		23	23
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	23	23
Other	-	-	-
Consumer Loans - FC indexed			
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC			
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL			
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC			
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL		282	282
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	282	282
Other	-	-	-
Personnel Loans – FC indexed			
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC			
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL			
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC			
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans		305	305

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards (Continued):

31 December 2015	Short-term	Long and medium term	Total
Consumer Loans - TL	11	43	54
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	11	43	54
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	259	259
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	259	259
Other	-	-	-
Personnel Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	11	302	313

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2016			31 December 2015		
	Short Term	Medium and Long Term	Total	Short Term	Medium and Long Term	Total
Commercial Loans with Installment Facility - TL	-	2.123	2.123	128	2.511	2.639
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	2.123	2.123	128	2.511	2.639
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility - FC Indexed	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility - FC	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards - TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Corporate Credit Cards - FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Overdraft Accounts - TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts - FC (Legal Entities)	-	-	-	-	-	-
Total	-	2.123	2.123	128	2.511	2.639

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

6. (i) Information on loans by types and specific provisions:

31 December 2016	Corporate Loans	Consumer Loans	Total
Standart loans	3.489	305	3.794
Non-Performing loans	6.957	-	6.957
Specific Provisions (-)	(2.787)	-	(2.787)
Total	7.659	305	7.964

31 December 2015	Corporate Loans	Consumer Loans	Total
Standart loans	5.686	313	5.999
Non-Performing loans	7.613	-	7.613
Specific Provisions (-)	(3.156)	-	(3.156)
Total	10.143	313	10.456

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

6. (ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2016	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	4.170	-	4.170
Total	4.170	-	4.170

(*) Refers net amounts

31 December 2015	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	4.457	-	4.457
Total	4.457	-	4.457

(*) Refers net amounts

7. Loans according to type of borrowers::

	31 December 2016	31 December 2015
Public	-	-
Private	3.794	5.999
Total	3.794	5.999

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2016	31 December 2015
Domestic Loans	3.472	5.799
Foreign Loans	322	200
Total	3.794	5.999

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2015: None).

10. Specific provisions provided against loans:

	31 December 2016	31 December 2015
Loans and other receivables with limited collectibility	-	-
Loans and other receivables with doubtful collectibility	-	-
Uncollectible loans and other receivables	(2.787)	(3.156)
Total	(2.787)	(3.156)

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net):

11 (i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

11 (ii) Information on the movement of total non-performing loans:

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2015			7.613
Additions (+)			106
Transfers from other categories of non-performing loans (+)			
Transfers to other categories of non-performing loans (-)			
Collections (-)			(762)
Write-offs (-)			
Corporate and commercial loans			
Consumer loans			
Credit cards			
Others			
31 December 2016			6.957
Specific provisions (-)			(2.787)
Net Balance on Balance Sheet			4.170

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2014			7.822
Additions (+)			100
Transfers from other categories of non-performing loans (+)			
Transfers to other categories of non-performing loans (-)			
Collections (-)			(309)
Write-offs (-)			
Corporate and commercial loans			
Consumer loans			
Credit cards			
Others			
31 December 2015			7.613
Specific provisions (-)			(3.156)
Net Balance on Balance Sheet			4.457

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net) (Continued):

11 (iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

11 (iv) Information on non-performing loans according to user groups:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited	Loans and Other Receivables with Doubtful	Uncollectible Loans and Other Receivables
31 December 2016 (Net)	-	-	4.170
Loans to real and legal persons (Gross)	-	-	6.957
Specific provisions (-)	-	-	(2.787)
Loans to real and legal persons (Net)	-	-	4.170
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2015 (Net)	-	-	4.457
Loans to real and legal persons (Gross)	-	-	7.613
Specific provisions (-)	-	-	(3.156)
Loans to real and legal persons (Net)	-	-	4.457
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank's general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

g. Information on held-to-maturity investments:

As of 31 December 2016 and 31 December 2015, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2016 and 31 December 2015, the Branch has no investments in associates.

i. Information on subsidiaries (Net):

As of 31 December 2016 and 31 December 2015, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2016 and 31 December 2015, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

None (31 December 2015: None).

l. Explanations on hedging derivative instruments:

None (31 December 2015: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2016				
Cost	11.133	129	458	11.720
Accumulated depreciation	(3.140)	(112)	(242)	(3.494)
Net book value	7.993	17	216	8.226
31 December 2015				
Net book value at beginning of the year	8.167	43	270	8.480
Additions	-	-	54	54
Disposals	-	-	(12)	(12)
Transfers	-	-	-	-
Depreciation	(174)	(26)	(96)	(296)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	-	-
Closing net book value	7.993	17	216	8.226
Cost at year end	11.133	129	458	11.720
Accumulated depreciation at year end	(3.140)	(112)	(242)	(3.494)
Closing net book value	7.993	17	216	8.226

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2016		
Cost	574	574
Accumulated depreciation	(186)	(186)
Net book value	388	388
31 December 2015		
Net book value at beginning of the year	73	73
Additions	474	474
Disposals, net	-	-
Transfers	-	-
Depreciation	(159)	(159)
Depreciation, Disposals	-	-
Depreciation, Transfers	-	-
Closing net book value	388	388
Cost at year end	574	574
Accumulated depreciation at year end	(186)	(186)
Closing net book value	388	388

o. Explanations on investment property:

None (31 December 2015: None).

p. Explanations on investment property:

The Branch has no carry forward tax loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL 698 thousand (31 December 2015: TL 724 thousand) on net basis to deferred tax assets.

	31 December 2016		31 December 2015	
	Tax Base	Deferred Tax	Tax Base	Deferred Tax
Property, equipment and intangibles, net	1.045	209	1.075	215
Reserves for employment termination benefit	1.734	347	1.801	360
Court case provision	124	25	200	40
Shares	583	117	510	102
Other	-	-	35	7
Total deferred tax asset	-	698	-	724
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	698	-	724

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

r. Explanations on assets held for resale:

Net carrying value of assets held for sale is not available as of 31 December 2016 (December 2015: None).

s. Explanations on other assets:

Other assets amount to TL 648 thousand (31 December 2015: TL 1.092 thousand) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2016:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	77	-	-	-	91	-	168
Foreign Currency Deposits	81.387	-	-	-	162	615	82.164
Residents in Turkey	46.595	-	-	-	-	-	46.595
Residents Abroad	34.792	-	-	-	162	615	35.569
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	5.129	806	-	-	-	-	5.935
Other Institutions Deposits	14	-	-	-	-	-	14
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	177.337	-	9.973	-	-	-	187.310
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	177.337	-	9.973	-	-	-	187.310
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	263.944	806	9.973	-	253	615	275.591

(ii) 31 December 2015:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	58	-	-	-	-	89	147
Foreign Currency Deposits	17.223	194	2.690	487	-	1.342	21.936
Residents in Turkey	10.143	-	2.088	-	-	-	12.231
Residents Abroad	7.080	194	602	487	-	1.342	9.705
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	8.143	757	-	-	-	-	8.900
Other Institutions Deposits	23	-	-	-	-	-	23
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	63.667	-	30.406	-	-	-	94.073
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	63.667	-	30.406	-	-	-	94.073
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	89.114	951	33.096	487	-	1.431	125.079

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

a. Information on deposits (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2016	31 December 2015	31 December 2016	31 December 2015
Saving Deposits	168	145	-	2
Foreign Currency Saving Deposits	3.044	2.171	3.562	3.034
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2015: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2016	31 December 2015
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Managers, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	35	19
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime-Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2016 and 31 December 2015, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

As of 31 December 2016, the Branch has no borrowings (31 December 2015: None).

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

c. Information on borrowings (Continued):

2. Information on maturity structure of borrowings:

As of 31 December 2016, the Branch has no borrowings (31 December 2015: None).

d. Information on other liabilities:

Other liabilities amount to TL 1.503 thousand (31 December 2015: TL 1.296 thousand) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2016 and 31 December 2015, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2015: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2016	31 December 2015
General Loan Loss Provisions		
Loans and Receivables in Group I	17	776
- Additional Provision for Loans and Receivables with extended maturities	-	5
Loans and Receivables in Group II	30	-
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	9	89
Others	1.741	1.422
Total	1.797	2.287

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

2. Information on reserve for employee rights (Continued):

	31 December 2016	31 December 2015
Discount rate (%)	3,49	2,84
Rate for the Probability of Retirement (%)	94,21	94,21

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 4.426,16 (1 January 2016: TL 3.541,37) effective from January 1, 2017 has been taken into consideration in calculating the reserve for employment termination benefits.

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2016	31 December 2015
Prior Period Ending Balance	1.444	887
Provisions Recognised During the Period	195	206
Actuarial loss	(70)	386
Paid During the Period (-)	(60)	(35)
Reversed During the Period (-)	-	-
Balance at the End of the Period	1.509	1.444

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 225 thousand as of 31 December 2016 (31 December 2015: TL 357 thousand).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2016, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2015: TL None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2016, the Branch has specific provision for non-cash loans amounting to TL 94 thousand (31 December 2015: TL 78 thousand).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2016 and 31 December 2015, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2016, the Branch had prudently provided a provision amounting to TL 124 (31 December 2015: TL 200 thousand), the remaining TL 94 thousand (31 December 2015: TL 78) provision is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2016	31 December 2015
Corporate Tax Payable	3.215	536
Taxation of Marketable Securities	-	-
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	180	37
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	7	8
Other	91	85
Total	3.495	668

(ii) Information on premium payables:

	31 December 2016	31 December 2015
Social Security Premiums – Employee	41	36
Social Security Premiums – Employer	63	56
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	3	2
Unemployment Insurance – Employer	6	5
Other	-	-
Total	113	99

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2015: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2014: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2016 and 31 December 2015.

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	200.000	200.000

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

The branch has increased its paid in capital by TL 43.086 to TL 200.000 in the second quarter by with the addition of TL 39.394 of profits for the past year 2012,2013,2014, by adding TL 757 reserve funds and payment in cash TL 2.935 by the Headquarter / Iran (31 December 2015: None).

4. Information on share capital increases from capital reserves in current period:

None (31 December 2015 None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

The branch has increased its paid in capital by TL 43.086 to TL 200.000 in the second quarter by with the addition of TL 39.394 of profits for the past year 2012,2013,2014, by adding TL 757 reserve funds and payment in cash TL 2.935 by the Headquarter / Iran (31 December 2015: None).

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainties and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidity of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2015: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

I. Information on marketable securities value increase fund:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(169)	-	(781)	-
Foreign Currency Difference	-	-	-	-
Total	(169)	-	(781)	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2016, all commitments of the Branch are irrevocable. The commitments for cheques is TL 80 thousand (31 December 2015: TL 113 thousand).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i). Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2016	31 December 2015
Bank acceptance loans	-	-
Letters of credit	375	311
Other guarantees	-	-
Total	375	311

(ii). Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2016	31 December 2015
Revocable letters of guarantee	-	44
Irrevocable letters of guarantee	1.029	893
Letters of guarantee given in advance	209	-
Guarantees given to customs	3.000	3.000
Other letters of guarantees	635	-
Total	4.873	3.937

3. (i) Total amount of non-cash loans:

	31 December 2016	31 December 2015
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	5.248	4.248
Total	5.248	4.248

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(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):

a. Explanations on off-balance sheet commitments (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2016				31 December 2015			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	427	44,43
Services	4.138	94,80	858	97,17	3.002	91,33	513	53,38
Wholesale and Retail Trade	4.110	94,16	582	65,91	3.002	91,33	354	36,84
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	30	0,69	185	20,95	-	-	48	4,99
Financial Institutions	-	-	91	10,31	-	-	-	-
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	40	0,92	-	-	-	-	111	11,55
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	185	4,24	25	2,83	285	8,67	21	2,19
Total	4.365	100,00	883	100,00	3.287	100,00	961	100,00

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2016	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	4.365	508	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	375	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	4.365	883	-	-

31 December 2015	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	3.287	650	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	311	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	3.287	961	-	-

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

**III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):**

a. Explanations on off-balance sheet commitments (Continued):

(iv) Maturity distribution of non-cash loans:

31 December 2016 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	375	-	-	-	375
Letter of Guarantee	4.460	249	164	-	4.873
Other	-	-	-	-	-
Total	4.835	249	164	-	5.248

31 December 2015 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	311	-	-	-	311
Letter of Guarantee	3.273	576	88	-	3.937
Other	-	-	-	-	-
Total	3.584	576	88	-	4.248

⁽¹⁾ The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2016 and 31 December 2015.

c. Explanations on loan derivatives and risks imposed:

None (31 December 2015: None).

d. Explanations on contingent liabilities and assets:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2016, the Branch had prudently provided a provision amounting to TL 124 thousand (31 December 2015: TL 200 thousand). The remaining provision amounting to TL 94 thousand (31 December 2015: 78 TL) is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

e. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2016 and 31 December 2015.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
Short-Term Loans	334	5	141	33
Medium and Long-Term Loans	618	97	579	66
Interest on Non-Performing loans	-	1.258	96	2.315
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	952	1.360	816	2.414

2. Information on interest income on banks:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
From the CBRT	314	114	35	20
From Domestic Banks	5.134	48	-	-
From Foreign Banks	-	2	-	-
Headquarters and Branches Abroad	1.281	350	2.459	687
Total	6.729	514	2.494	707

3. Information on interest income on marketable securities:

	31 December 2016		31 December 2015	
	TL	FC	TL	FC
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	18.348	-	13.117	-
From Held-to-Maturity Investments	-	-	-	-
Total	18.348	-	13.117	-

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2015: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

The Branch has no interest expense on borrowings (31 December 2015: None).

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2015: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2015: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

31 December 2016	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months – 1 Year	1 Year and Over	
TL							
Bank Deposits	-	-	-	-	448	-	448
Saving Deposits	-	-	-	-	-	6	6
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	31	-	-	-	-	31
Other Deposits	-	-	-	-	-	-	-
Total	-	31	-	-	448	6	485
FC							
Foreign Currency Deposits	-	-	3	2	-	3	8
Bank Deposits	-	-	-	-	25	-	25
Gold Vault	-	-	-	-	-	-	-
Total	-	-	3	2	25	3	33
Grand Total	-	31	3	2	473	9	518

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(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense: (Continued)

31 December 2015	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months – 1 Year	1 Year and Over	
TL							
Bank Deposits	-	-	-	-	307	-	307
Saving Deposits	-	-	-	-	-	3	3
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	29	-	-	-	-	29
Other Deposits	-	-	-	-	-	-	-
Total	-	29	-	-	307	3	339
FC							
Foreign Currency Deposits	-	1	7	3	-	29	40
Bank Deposits	-	-	-	-	37	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	1	7	3	37	29	77
Grand Total	-	30	7	3	344	32	416

c. Explanations on dividend income:

None (31 December 2015: None).

d. Explanations on trading loss/income (Net):

	31 December 2016	31 December 2015
Income	8.448	8.480
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	8.448	8.480
Loss (-)	(1.903)	(5.635)
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(1.903)	(5.635)
Net Income / Loss	6.545	2.845

e. Explanations on other operating income:

The Branch's other operating income; including reversal of provisions is TL 2.340 thousand (31 December 2015: Including reversol of provision amount to TL 158 Thousand).

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(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2016	31 December 2015
Specific Provisions for Loans and Other Receivables	107	100
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	107	100
General Provision Expenses	1.374	72
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	-	113
Investments in Associates, Subsidiaries and Held-to-Maturity Securities	-	-
Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held-to-maturity Securities	-	-
Other	-	-
Total	1.481	285

g. Information related to other operating expenses:

	31 December 2016	31 December 2015
Personnel Expenses	5.925	6.152
Reserve for Employee Termination Benefits	195	206
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	296	316
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	159	186
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.393	1.213
Operational Leasing Expenses	135	135
Maintenance Expenses	86	87
Advertisement Expenses	11	11
Other Expenses	1.161	980
Loss on Sales of Assets	-	-
Other	1.903	987
Total	9.871	9.060

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 27.577 thousand (31 December 2015: TL 19.538 thousand), net fee and commission income amounting to TL 9.694 (31 December 2015: TL 817 thousand) and total other operating expense amounting TL 9.871 thousand (31 December 2015: TL 9.060 thousand).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2016, the Branch has a current tax expense of TL 7.012 thousand (31 December 2015: TL 2.717 thousand) and deferred tax income of TL 33 thousand (31 December 2015: TL 89 thousand expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax income of TL 33 (31 December 2015: deferred tax expense of TL 89) due to the occurrence of temporary differences as of 31 December 2015.

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

As of 31 December 2016, the Branch has TL 33 deferred tax income due to the occurrence of temporary differences (31 December 2015: deferred tax expense of TL 89 thousand).

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2015: None).

c. Information on capital increase:

Branch, the addition of past years profits for 2012-2013-2014 amounting to TL 39.394 within the 2nd quarter, addition of reserve funds amounting to TL 757 and payment of cash amounting to TL 2.935 by Headquarters / Iran, the total paid-up capital has increased by TL 43,086 to TL 200,000

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies: None (31 December 2015: None).
3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

(i). Information on cash and cash equivalents at the beginning of the year:

	31 December 2016	31 December 2015
Cash	101.644	105.232
Cash and Effectives	15.817	32.089
Demand Deposits in Banks	85.827	73.143
Cash Equivalents	65.627	56.908
Interbank Money Market Placements	7.200	6.000
Time Deposits in Banks	58.427	50.908
Total Cash and Cash Equivalents	167.271	162.140

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii). Information on cash and cash equivalents at the end of year:

	31 December 2016	31 December 2015
Cash	205.967	101.644
Cash and Effectives	12.482	15.817
Demand Deposits in Banks	193.485	85.827
Cash Equivalents	69.328	65.627
Interbank Money Market Placements	-	7.200
Time Deposits in Banks	69.328	58.427
Total Cash and Cash Equivalents	275.295	167.271

- b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:

None (31 December 2015: None).

- c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

Decrease in the "Other" item amounting to TL (11.945) thousand (31 December 2015: TL 2.708 thousand decrease) which is classified under "Cash flows from banking operations" consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 17.368 thousand as of 31 December 2016 (31 December 2015: TL 3.728 thousand).

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016**
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2016:

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	61.127	-
Balance at the End of the Period	-	-	-	-	24.878	-
Interest and Commission Income Received	-	-	-	-	1.631	107

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

2. 31 December 2015:

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	53.464	-
Balance at the End of the Period	-	-	-	-	61.127	-
Interest and Commission Income Received	-	-	-	-	3.119	-

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group ⁽¹⁾	Investments in Associates, Subsidiaries and Joint Ventures		Direct and Indirect Shareholders of the Branch		Other Real and Legal Persons That Have Been Included in the Risk Group	
	31 December 2016	31 December 2015	31 December 2016	31 December 2015	31 December 2016	31 December 2015
Deposit						
Balance at the Beginning of the Period	-	-	-	-	83.696	76.010
Balance at the End of the Period ⁽²⁾	-	-	-	-	108.901	83.696
Interest Expense on Deposits	-	-	-	-	25	37

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) (As of 31 December 2016, TL 108.901 of deposits denominated in the deposit-risk group line of the balance sheet belongs to Bank Mellat Iran Central and TL 50.882 to the Central Bank of Iran.)

(3) (As of 31 December 2015, TL 83.696 of deposits denominated in the deposit-risk group line of the balance sheet belongs to Bank Mellat Iran Central and TL 16.075 to the Central Bank of Iran.)

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group ⁽¹⁾	Associates and subsidiaries		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group ⁽²⁾	
	31 December 2016	31 December 2015	31 December 2016	31 December 2015	31 December 2016	31 December 2015
Borrowings						
Beginning of the Period						
End of the Period						
Interest Expense						

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) 31 December 2016- None (31 December 2015 None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2016 and 31 December 2015.

6. Information on benefits provided to key management:

As of 31 December 2016, benefits provided to the Branch's key management amount to TL 1.665 thousand (31 December 2015: TL 1.572 thousand).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	Number of Employees	Country of Incorporation	Total Assets	Statutory Share Capital
Domestic Branch	3	50			
Foreign Rep. Offices					
Foreign Branch					
Off-Shore Banking Region Branch					

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as of 31 December 2016, holding the whole equity of the Branch.

31 December 2016

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	SABA TAMIN INVESTMENT CO.	8,71
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,45
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,40
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,44
9	MELLAT INVESTMENT FUND BFM	1,40
10	MEHR 78 SUPPORT SERVICES COMPANY	1,37
11	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
12	SHIRIN ASAL CO.	1,21
13	IRAN NATIONAL INVESTMENT CO.	1,14
14	OTHER SHARES (LOWER THAN 1%)	19,96
	TOTAL	100,00

31 December 2015

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	18,95
3	SABA TAMIN INVESTMENT CO.	9,91
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,99
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,43
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,49
9	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
10	SHIRIN ASAL CO.	1,21
11	IRAN NATIONAL INVESTMENT CO.	1,12
12	OTHER SHARES (LOWER THAN 1%)	18,98
13	TOTAL	100,00

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

None.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The unconsolidated financial statements as of 31 December 2016 have been audited by DRT Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of Deloitte Touche Tohmatsu Limited).

The independent auditor's report is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclosure which may be in connection with the Bank's operations but not explained in the above sections.

3. Information about Financial Structure

Net profit of Bank Mellat Turkey for the period amounts to TRY 28.368K. As of 31 December 2016 the shareholder's equity and total assets amount to TRY 239.972K and TRY 526.132K respectively.

3.1. Assessment of Financial Status, Profitability and Solvency

The profitability rates as of the date of 31 December 2016 are as follows.

Profit Before Tax / Total Assets	35,347 / 526,132	6,72%
Profit Before Tax / Total Shareholder's Equity	35,347 / 239,972	14,73%
Profit Before Tax / Paid Capital	35,347 / 200,000	17,67%

The rates for 31.12.2015 are as follows:

Profit Before Tax / Total Assets	14.237/340.488	4,18%
Profit Before Tax / Total Shareholder's Equity	14.237/208.001	6,84%
Profit Before Tax / Paid Capital	14.237/156.914	9,07%

Bank Mellat has enough cash and cash-equivalent resources to meet its liabilities.

4. Information About Risk Management Policies Applied by Risk Types

Risk means the material loss that emerges in respect of any transaction or activity or the possibility of reduced economic benefit in case such expense or loss is incurred.

The branch is exposed to several risks due to the activities performed in order to meet its objectives. Purpose of risk management is to identify, measure, report, monitor and control imposed risks through application procedures and specified limits and to ensure determination of internal capital requirement consistent with the risk profile to be adopted in this context.

The Board of Managers is entitled to determine the norms and principles, policies, procedures, practices and limits regarding the risk management system. The Board of Managers may delegate such power to the board members, the committees to be established and the senior line managers provided that the extent and limitations are specified in writing.

The following issues have been taken into account in determining the risk management policies and implementing procedures.

- Vision, mission, strategies and objectives of the Bank,
- Privileged and main fields of activity, products of the Bank and their volume and characteristics,
- Organizational structure and human resources of the Bank
- Previous incidents and experiences regarding the risks to be imposed,

- Extent and quality of the data base regarding risk management,
- Technological capability of the Bank its contribution to risk monitoring and management operations,
- Requirement of internal capital and level of actual equity capital and the risk level consistent with them.

Considering the size of the Branch, extent and complexity of its operations, the trade volume and product diversity it is not necessary to develop risk management policies and procedures for all risk types and sub-types. The branch management believes that it would be appropriate and sufficient to develop policies and procedures for some specific risk types and sub-types pursuant to the principle of significance.

Because of its activities the Branch is primarily exposed to credit and operational risks and after these market risks at a less significant level.

4.1. Principles and Policies for Credit Risk Management

The Board of Managers is entitled to open a credit. The Board of Managers may delegate the power of extending loans to the General Manager under the provisions of the Banking Law and relevant legislation. However, in practice all decisions regarding credits are made by the Board of Managers.

The Board of Managers is entitled to determine the extent and terms of credit operations.

The following priorities shall be observed in the credit facility operations of the Bank.

- In resource and limit allocation for credit facility operations the bank concentrates on cash credits with a maturity of less than a year for foreign trade transactions where we act as an intermediary and non-cash credits such as letter of guarantees, documentary credits and silent confirmation that customers may need for export and import transactions.
- Even though it is not possible to absolutely avoid concentrating in any product or sector in the Branch credit risk in terms of target transaction types and customer mass focused, the Branch is careful and prudent to distribute the credits to a large customer group in a balanced manner.
- Customer demands for such credit facility operations other than those mentioned in the previous paragraph have secondary importance for the bank and are considered taking risk return balance, maturity and security quality, etc. into account.
- Investment will be made in securities representing a low risk weighted liability such as Treasury bond, state bond and TCB (Turkish Central Bank) liquidity bond and bank bill within the scope of fund management. Marketable securities representing the remaining liability other than those mentioned and partnership interests may be acquired upon the resolution of Board of Managers.
- Demand deposits offered to other banks for banking operations and time deposits offered to other banks as a part of fund management will be executed within the frame of such limit and terms specified by the Board of Managers.
- Loan allocation and extension are executed according to the principle of “Know your customer very well”. No credit will be allocated to such companies without a reasonable operational background which have failed to submit any necessary information or documentation in full or within the timeframe specified whose

management and/or owner lacks sufficient knowledge, capability or transparency where it is not possible to get sufficient information about them.

- In respect of loan decisions debtor's morality and capacity of generating cash flow to be used for repayment of the credit will be evaluated with care as well as such security or guarantee obtained.
- As a matter of principle, credits are issued against a valid security. Category I and II securities will be sought in the first place as specified in the Regulation on Identification of the Properties of Loans and Other Receivables by Banks and the Rules and Procedures on such Provisions for the same as security. Any asset other than those which can be converted into cash easily and rapidly with an operational market whose value can be defined avoiding any doubt will not be accepted as a security.
- A reasonable margin will be defined for the amount of security depending upon loan terms (interest, maturity, etc.). The amount of security will be calculated in such manner that it can meet the whole risk to be imposed in case of default. Currency and maturity of the security should be consistent with the risk.
- Credits are priced by taking their risk levels into consideration and the risk return balance is observed in each credit transaction. Risks to be undertaken against return will be considered as well as credit terms and maturity. Evaluations are used as a basic criterion in determining the credit price.
- Limits specified for total credit risk and sovereign risks are strictly observed. The issue of compliance is monitored to the very day and any excess is immediately reported to the General Manager and eliminated as soon as possible.

4.2. Principles and Policies for Operational Risk Management

Operational risk is defined as a risk of loss that results from insufficient or unsuccessful internal processes, people and systems, or external events. Operational risks with a potential of causing significant losses are the incidents which may result in system interruptions or problems, patterns of business conduct and in-house fraud.

Types of operational incidents do not have equal risk weights at the Branch. Operational risk principles, policies and practices are determined considering the risk weight of the type of incident that is deemed to be applicable to the Branch. Underwriting method will be utilized to reduce the risk if it is appropriate and feasible for the types of incident. The main principles, policies and measures regarding the operational risk management of the Branch are as follows.

- Underwriting technique is used for the purpose of reducing the operational risk where it is appropriate and feasible. The senior management of the bank is entitled to determine the cases in which this method is to be used and to apply the underwriting method.
- In all operations of the Bank the powers and responsibilities of those who decides and/or approves that the bank may be a party to any banking transaction and of those who are in charge of executing, performing and concluding the transaction are separate, and any overlapping transaction is not allowed.
- The powers and authorizations regarding the approval of all kinds of banking transaction and actual performance of such transaction are strictly separated from one other.

- Any person who is authorized to establish a trading and/or investment borrowing relation with any addressee and identify the terms of pricing, maturity or similar terms relating to such transactions will not be entitled to fulfill any operational task regarding such transactions.
- Operational transactions may be subject to different approval limits in terms of transaction amount in addition to the separation of approval and performance tasks. General Manager is entitled to set different limits for different kinds of transactions and determine the codes of practice relating to the same.
- Operations of the bank are supported with hardware and software systems which are compatible with international standards and local regulations and preventive and cautionary in terms of ensuring that potential risks do not turn into actual risks strengthening the operational productivity and reliability and enhancing the control efficiency.
- All necessary measures are taken by the Bank to ensure that the employees follow the developments in legislation and practices and are informed about them in a timely manner, and understand the content and scope of the amendments, and their effects on operations are communicated to the employees. These efforts are supported through in-house and external training events. The adequacy and extent of the efforts will be regularly monitored by means of compliance controls.
- Developments in work volume of the Bank are digitalized as of the periods. The relation between work load, tendencies about work load, any mistake, deficiency and contradictions about work force are analyzed in this manner. The results are assessed in order to take any necessary action. An organizational structure for internal control and internal audit which is consistent with the nature, scope and frequency of the findings obtained from the assessments is established. Sufficient number of experienced employees with appropriate qualifications is employed at those departments as is required for the job performed.
- Internal control operations constitute a complementary part of daily business operations of the Bank and primarily aim to minimize the possibility and severity of the operational risk. Internal control department continuously develops preventive and determinative controls and conduct material mistake, reporting, physical control, approval and authorization, enquiry and reconciliation and limit compliance checks by certain intervals and with specific content.
- The frequency and quality of internal audit efforts and internal control operations to be performed regularly will be evaluated in a risk based manner. Internal audit department will make suggestions about any development, trend or privileged issue or necessary measures to be taken with respect to the operational risks.

4.3.Principles and Policies for Market Risk Management

The Branch is not actively engaged in trading activities, holds no securities or commodities position for trading purposes or uses no derivative financial instruments on its own behalf. Considering this situation, the Branch is exposed to interest rate risk and exchange risk due to marketable securities and foreign exchange position respectively. The following principles and policies are applicable to those risks at low severity level.

- The bank's fixed term resource pattern, weighted maturity (duration) and cost of this pattern are taken into account in acquisition of marketable securities.

- Though the Board of Managers is entitled to determine the rules and restrictions regarding the direction, amount and composition of the foreign exchange position of the Bank as a principle such power has been delegated to the Risk Committee by the Board of Managers. Risk Committee evaluates the economic developments in Turkey and the world by such intervals they deem fit and makes any necessary change in such limits and restrictions regarding the foreign exchange position.
- Minimum 80% of the Bank's net foreign exchange position consists of USD and EURO positions or currencies anchored to such currencies.

4.4. Principles and Policies for Liquidity Risk Management

Liquidity Risk which is defined as the failure to meet the payment obligations in full or in a timely manner as there is not enough or proper cash or cash inflow to meet the cash outflow in full or in a timely manner as a result of an imbalance in cash flow is managed in accordance with the following principles and policies.

- Liquidity risk is taken into consideration in all decisions regarding asset allocation including the credits. It is essential that liquidity management is performed in currency of the capital used.
- The maturity pattern of the existing bank assets and new utilization areas are taken into consideration in determining the maturity of such funds.
- Concentrations of customer and maturity in out – group sources are monitored closely. The amount and composition of liquid asset to be held are determined by considering such concentrations as well as statutory obligations.

5. Information about Ratings and Their Contents

The branch has no rating score.

6. Summary Financial Information for the Five year Period including the Reporting Period (TRY -thousand)

ASSET ITEMS	2016	2015	2014	2013	2012
Cash Reserves and Central Bank	74.912	44.245	57.071	67.364	54.225
Banks	200.735	116.001	99.118	76.110	172.082
Receivables from Money Market	0	7.201	6.001	8.501	67.709
Credits	7.964	10.456	10.875	23.121	29.622
Securities	232.561	152.216	142.212	150.095	73.731
Other Assets	9.960	10.369	11.042	10.192	10.670
Total Assets	526.132	340.488	326.319	335.383	408.039
LIABILITY ITEMS					
Deposit	275.591	125.079	120.455	137.621	209.721
Borrowed loans	-	-	-	-	-
Provisions (Tax and Other)	7.357	5.133	4.325	4.624	5.032
Other Liabilities	3.212	2.275	3.604	3.678	9.207
Shareholder's Equity	239.972	208.001	197.935	189.460	184.079
Total Liabilities	526.132	340.488	326.319	335.383	408.039

BANK MELLAT, HEADQUARTERS: TEHRAN – IRAN, TURKEY HEAD OFFICE IN ISTANBUL, BRANCH OFFICES IN ANKARA AND IZMIR 2016 ANNUAL REPORT

INCOME STATEMENT	2016	2015	2014	2013	2012
Net Interest Income	27.577	19.538	15.129	13.582	33.315
Net Fee and Commission Revenues	9.694	817	1.543	1.744	9.205
Other Revenues (net)	9.428	3.227	1.422	3.775	3.989
Total Operating Revenue	46.699	23.582	18.094	19.101	46.509
Other Operating Expenses	-9.871	-9.060	-8.201	-10.302	-14.955
Provision for Credit and Other Receivables	-1.481	-285	-1156	-274	-50
Profit Before Tax	35.347	14.237	8.737	8.525	31.504
Tax Provision	-6.979	-2.806	-1.767	-1.566	-5.912
Net Profit	28.368	11.431	6.970	6.959	25.592

	2016	2015	2014	2013	2012
Total Number of Employees	50	48	48	50	57
Total number of Branches	3	3	3	3	3

Annual Repot of Bank Mellat
(2013)

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Message of CEO

This collection is a transitional perspective of performance of Bank Mellat in 2013. We believe that a large organization can merely survive by referring to public thoughts, utilizing correctional views, the-start-of-the-art knowledge, its staff, and innovation in the competition scene. Thus, as past, we seek your opinions.

Logical distribution of transactions, continuous enforcement of financial structure, and obtaining desirable profit for stocks are survival factors of this organization. In addition, we believe that the relation of bank with people must be a comprehensive and sustainable one. Thus, spiritual, cultural, and social concerns are included in the agenda of this bank. Implementation of a comprehensive banking as a global successful experience, organizational enhancement, and adaption with major economic policies of government make this bank acceptable as a cutting edge organ in economic centers.

Board of Directors, managers, and staff of Bank Mellat are seeking a professional and successful bank in economic and organization areas, and they will not withhold any effort to achieve this goal.

This bank demands support of honorable stockholders and customers in this hard path.

I wish progressive achievements for Iran government and nation and Bank Mellat.

Ali Rastegar, CEO

Part 1: Bank Mellat at a glance

History of Bank Mellat

According to the approval dated 20/12/1980 of Banks General Assembly and by article 17 of Banks Affairs Administration Law, Bank Mellat was established on 22/7/1980 by merging 10 private banks under no. 38077 of Companies Registry Administration.

After notifying policies of article 44 of constitution and inclusion of Bank Mellat in the related list, and in the strength of approval no. 37925T/68985 dated 24/7/2007 of Board of Ministers, and decision of Extraordinary General Assembly of banks on 6/4/2008, the legal identity of Bank Mellat converted to "public joint stock". Accordingly, Bank Mellat was included in the list of Tehran Stock Exchange as 448th listed company on 11/2/2009, and 5% of its stocks were offered in bourse on 19/2/2009.

Since the brand and visual identity of this organization are the requirements of development of bank activities and attraction of customers, this bank enacted suitable standards by powerful consultants and changed its external and internal facades of its branches around country. Organization Identity Project placed this bank on the level of global banks.

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Fax: +98(21) 66970053

Managing Director and Board Members

Managing Director

Mr. Ali Rastegar

Managing Director and member of board

Representative of Saba Tamin Investment Co.

Membership date: 17/6/2014

Board Member

Mr. Kurosh Madelat

Representative of IRI Government

Membership date: 28/8/2014

Board Member

Mr. Alireza Legzayi

Representative of Fars Province Investment Co.

Membership date: 21/7/2013

Board Member

Mr. Mostafa Zarghami

Representative of Tose'e Moein Mellat Investment Co.

Membership date: 20/5/2014

Major organizational chart of Bank Mellat

General Assembly

Board of Directors

- Strategic Committee of Comprehensive Banking
- Appointment Committee
- Service Supply Committee
- Auditing Committee
- Risk Committee

Managing Director

- Director General of Management & public Relations Office
- Money Laundry Control Department
- Director General of Security
- Asset & Debt Committee

Deputy

- Training & Research Deputy
- Human Resource & Supervision Deputy
- Financial Deputy
- Credit Deputy
- Plan & Planning Deputy
- Investment & Companies Deputy
- IT & Operations Deputy
- Corporate Banking Deputy
- Sales & Customers Relation Deputy (Region 1)
- Region 1 Affairs Manager
- Sales & Customers Relation Deputy (Region 2 & 3)
- Region 2 Affairs Manager
- Region 3 Affairs Manager
- Private Banking Affairs Manager
- Personal Banking Affairs Manager
- Commercial Banking Affairs Manager
- International Affairs Manager

- Department General of Foreign Exchange Operations
- Department General of Foreign Affairs
- Internal Accounting Management

Bank at a Glance

Description	Bank			Group		
	2011	2012	2013	2011	2012	2013
A) Functional Information (Amounts in Million Rials)						
Operating Income	67,869,803	88,921,326	116,437,879	92,852,425	107,917,671	137,697,827
Operating Profit	28,528,909	30,821,521	45,810,372	53,820,755	50,019,508	67,494,920
Non-operating Incomes	5,665,696	12,358,799	9,781,073	6,745,437	13,068,315	13,128,180
Net Profit after Tax	7,008,809	14,706,064	16,792,379	8,067,495	15,159,110	21,978,033
Annual Adjustments	(259,244)	382,043	1,734,023	(489,970)	774,757	2,496,149
Cash earned by Operating Activities	27,245,213	13,664,558	13,137,954	39,158,369	26,095,662	10,273,568
B) Balance Sheet Information (Amount in Million Rials)						
Assets	778,513,362	1,180,990,512	1,370,660,659	779,542,056	1,183,317,807	1,390,418,253
Debts	732,669,877	1,125,801,241	1,302,337,331	732,306,073	1,126,102,428	1,312,407,402
Registered Capital	20,000,000	33,100,000	40,000,000	20,000,000	33,100,000	40,000,000
Minority Share	-	-	-	893,259	1,025,931	2,087,367
Shareholders' Equity	45,843,485	55,189,272	68,323,328	47,235,983	57,215,379	78,010,852
C) Return Rate (%)						
Assets Return Rate	0.97	1.36	1.31	1.15	1.47	1.75
Shareholders' Equity Return Rate	16.4	29.1	26.2	18.9	30.3	32
D) Share Information						
Number of shares when general assembly is hold (Million)	20,000	33,100	40,000	20,000	33,100	40,000
First Dividend Forecast (Rials)	350	224	240	350	224	240
Last Dividend Forecast (Rials)	347	250	408	347	250	408
Real Dividend (Rials)	350	444	420	403	471	566
Cash Dividend (Rials)	270	160	270	42	44	270
Last value of each share before general assembly (Rials)	1,561	2,054	2,376	1,561	2,054	2,376
Book value of each share (Million Rials)	2,292	1,667	1,708	2,361	1,728	1,950
Value/Real Income rate of each share (rank)	4.5	4.6	5.6	3.9	4.4	4.4

Bank's position among other commercial banks

Share from Total Market of Rial Deposits with Trading Banks (Billion Rial)

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Deposits (%)
2012-2013	545,368	1,952,005	2,497,373	21.8
2013-2014	690,310	2,403,448	3,093,758	22.3

Share from Total Market of Rial and Exchange Resources of Trading Banks (Billion Rial)

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Resources (%)
2012-2013	838,250	2,243,788	3,082,038	27.2
2013-2014	933,033	2,721,346	3,654,379	25.5

Share from Total Market of Uses of Trading Banks

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Resources (%)
2012-2013	756,087	1,845,138	2,601,225	29.1
2013-2014	849,817	2,295,677	3,145,494	27

Share from Total Market of Human Resource of Trading Banks

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Resources (%)
2012-2013	22,495	112,961	135,456	16.6
2013-2014	22,158	116,798	138,956	15.9

Manpower

Undoubtedly, today's world is the world of organizations, in which manpower is the most important factor of organizational development. Without manpower, organizations neither have conception nor can be administrated. Thus, manpower is the most valuable resource of today's organizations, because they form decisions, solve problems, and achieve productivity.

Reaching the targets of the organization needs to have qualified personnel in doing their jobs who are very compatible with changing environment. Training and improving human resource leads to have better organization that is qualified to gain goals in effective ways.

This Bank as a leading financial institute, seeks its personnel improvement as one of the first and most important priorities. We know that human resource has a main role in banking industry and we are sure that without using this rare and unique source there is no place for progress especially when there is no motivation for them in partnership. That's why this Bank has more investments on its human resources than ever.

Total manpower: 22,158 persons.

	Line	Headquarters	Male	Female
Staff	16,283	5,875	19,279	2,879

Work records of staff (year)

<5	5-10	10-15	15-20	20-25	>25	Total
120	3342	5884	5186	4444	3182	22,158

Staff by activity type

Managerial	Specialized	Executive	Professional	Total
9023	1834	3020	8281	22,158

Staff by educations

Doctorate Degree	Master's Degree	Bachelor's Degree	Associate Degree	High School	Under High School	Total
22	1141	8754	2010	9356	875	22,158

Branches and staff

The Symbol Project was initiated from 2013 in Bank Mellat and 48 selected branches included in this project, which have commissioned service counters, by permission of Certificate Center of Central Bank, to register, cancel, suspend, recover, identify identities or customers, or deliver token to customers.

In order to optimize organization structure and using electronic infrastructures in bank operations, a review took place in 2013 upon which the organizational positions were adjusted to 266.

Number of branches and staff

Branches	Staffs
1,633	22,158

Position of Bank Mellat among banking network

- First place among commercial banks in attracting exchange and Rial resources
- First place among commercial banks in attracting exchange deposits
- First place among commercial banks in attracting current non-benefit deposits
- First place among commercial banks in attracting short-term deposits
- First place among commercial banks for attracting staff per capita resources
- First place among commercial banks for attracting staff per capita Rial deposits
- First place among commercial banks for attracting branches per capita resources
- First place among commercial banks for attracting branches per capita Rial deposits
- First place among commercial banks for consumption
- Second place among commercial banks for Rials deposits volume
- Second place among commercial banks for attracting long-term deposits
- Second place among commercial banks for opening L/Cs
- Second place among commercial banks for issuing letter of guarantee

Bank performance

- 11.3% growth in sum of Rial and exchange resources
- 24.5% growth in Rial resources
- 28.4% growth in Rial deposits
- 23.9% growth in long-term deposits
- 53.2% growth in short-term deposits
- 12.4% growth in bank consumptions
- 21.4% growth in exchange long-term deposits
- 91.3% growth in Rial and exchange letter of guarantee
- 16.1% growth in assets
- 22.6% growth in joint revenues
- 27.7% growth in non-joint revenues
- 22.3% growth in total revenue
- 14.1% growth per earning per share

Bank outcomes

- Issuing absolute vote by Supreme Court of England indicating removal of sanctions against Bank Mellat
- Attributing title of Richest Company in country by Industrial Management Organization
- To supply necessary exchange for pharmaceutical companies
- To obtain the first rank in banking system for number of cards and card readers
- To setup the first Venture Bank in Iran
- Having most visitor's site among 10 dominant sites of Iran
- To issue endowment slips for Charity and Endowment Organization

- To obtain second rank for enhancement of financial system of Iran in The Festival for Professional Financial Faces of Iran
- To obtain agreement of bourse for acceptance of stocks of Tose'e Moein Mellat Investment Co.
- Holding the Conference for Development of Finance System in Iran
- To identify a great fraud bank
- To participate in releasing prisoners with unintentional financial crimes
- Acknowledgement of President Deputy for environment protection training
- Introducing 20 branch chairmen as successful ones in banking system
- Obtaining silver cedar medal as premium master
- Obtaining 2 golden medals in the Premium Brands Festival
- Obtaining first rank between 100 IMI companies
- Obtaining fifth rank between 100 IMI companies
- Obtaining first rank for stock value in bourse
- Obtaining first rank for attraction of deposits
- Implementing granting export facilities (from National Development Fund)
- Implementing Money Laundry Prevention System
- Implementing Fraud Detection System
- Implementing Data Centers Sites
- Launching native switchch
- Implementing services for code *712#
- Implementing Comprehensive System for Credit Capacity of Customers
- Implementing Customers Credit Ranking System

Changes of bank capital

Date of Capital Increase	Capital Increase Rate	Capital (MRials)	Capital Increment (MRials)	Capital Amount after Increment (MRials)	Capital Increment Place
1/8/1993	1706	33,500	571,500	605,000	Reevaluation of fixed assets
1/8/2001	104.8	605,000	634,000	1,239,000	Special bonds subject to Article 93 of 3 rd Development Act
10/8/2005	957	1,239,000	11,861,000	13,100,000	Reevaluation of fixed assets and exchange deposits and debts
26/4/2011	22	13,100,000	2,900,000	16,000,000	Cash product of stockholders
24/6/2012	25	16,000,000	4,000,000	20,000,000	Accumulated profit
23/9/2012	65.5	20,000,000	13,100,000	33,100,000	Fixed assets evaluation review
15/2/2014	20.8	33,100,000	6,900,000	40,000,000	Accumulated profit

MRial = Million Rials

Combination of stockholders

Stockholders with more than 1% shares on 20/3/2014:

Stockholder	11/7/2014		20/3/2014	
	No. of stocks	%	No. of stocks	%
Provincial investment companies (Edalat Stock)	11,999,999,797	30.0	9,929,999,882	30.0
IRI Government	7,864,278,540	19.66	6,507,690,519	19.66
SSO	3,997,007,592	9.99	3,307,523,797	9.99
Saba Tamin Investment Co. (Public JS)	2,585,395,908	4.46	2,147,690,123	4.46
Future Supply Fund for staff of Bank Mellat	2,171,364,875	5.0	1,710,117,267	5.17
Mellat Financial Group Co. (Public JS)	1,616,548,976	4.04	1,302,083,619	3.93
Preferential stocks of staff	1,585,417,228	3.96	1,312,266,484	3.96
Moein Atiyekhhahan Cooperative Co.	710,575,223	1.78	588,001,000	1.78
Iran Overall Distribution Co.	698,333,778	1.75	650,271,205	1.96
Oil Retirement Fund Investment Co. (Private JS)	501,595,162	1.25	422,999,999	1.28
Shirinasal Co.	483,397,223	1.21	382,761,204	1.16
Iran National Investment Co. (Public JS)	444,762,983	1.11	368,043,095	1.11
Mellat Insurance Co. (Public JS)	407,317,545	1.02	337,055,271	1.02
Others <1%	4,934,305,170	12.77	4,133,496,535	12.49
Total	40,000,000,000	100	33,100,000,000	100

Comparison of share profit and real performance

Item	First share profit anticipation in 2013 (audited)	Last share profit anticipation (audited)	Real performance 20/3/2014
Joint revenues			
Facilities profit	74,819,482	65,634,459	64,081,789
Profit (loss) of investments	8,580,163	10,478,577	11,112,096
Total joint revenues	84,399,645	76,113,036	75,193,885
On-account profit of investment deposits	(67,324,348)	(56,262,912)	(59,471,496)
Difference of absolute and on-account profits of investment deposits	0	0	0
Profit shares of depositors	(67,324,348)	(56,262,912)	(59,471,196)
Bank share of joint revenues (including attorney fee)	17,175,297	19,850,124	15,722,689
Non-joint revenues			
Profit of obligatory amount	24,320,646	21,759,243	27,465,506
Fee	7,704,127	13,412,486	13,778,488
Exchange profit	2,704,804	6,258,525	8,778,294
Others	1,657,783	2,105,565	1,007,564
Total non-joint revenues	36,387,359	43,535,819	51,025,067
Total revenues	53,462,657	63,385,942	66,747,756
Costs			
Official and general costs	(22,499,138)	(24,593,580)	(26,603,516)
Doubtful claims	(8,129,056)	(13,928,399)	(11,156,311)
Financial costs	(3,329,621)	(4,636,626)	(7,237,199)
Others	(4,539,325)	(4,428,159)	(3,856,571)
Total costs	(41,497,140)	(47,586,765)	(48,853,597)
Profit (loss) before tax	11,965,517	15,799,177	17,894,159
Tax	(2,366,492)	(2,280,668)	(1,101,780)
Net profit (loss)	9,599,025	13,518,509	16,792,379
No. of shares (million)	33,100	33,100	40,000
Profit per share	290	408	420

Number of symbol opening and transaction days

Description	2013	2012
Symbol opening days	215	215
Transaction days	215	215

Bank budget

Anticipation for 2014 according to performance for period ending on 20/3/2014:

Item	Amount (MMRial)
Revenue from facilities	82,815,101
Revenue from investment and deposits	14,676,044
Fees and other revenues	52,514,119
Total revenues	150,005,264
Paid profit to investment deposits	(75,848,492)
Other operational costs	(9,690,822)
Public and special reserve cost for general facilities	(16,067,176)
Personnel, general, and official costs	(26,220,199)
Total costs	(127,826,689)
Operational profit (loss)	22,178,575
Net non-operational incomes (costs)	(1,311,823)
Profit (loss) before tax	20,866,752
Tax	(2,862,087)
Profit (loss) after tax	18,004,665
Number of shares (million)	40,000
Profit per share	450

Financial and operational performance of bank and group in 2013

Item	Bank			Group		
	2012	2013	Inc.(dec.)%	2012	2013	Inc.(dec.)%
1. Profit & loss						
a) Main revenues						
Joint revenues	61,335,623	75,193,885	22.6	81,446,161	96,454,399	18.4
Non-joint revenues	39,944,502	51,025,067	22.7	39,539,825	54,371,608	37.5
b) Costs						
Official and general costs	20,142,330	26,903,516	33.4	19,878,572	26,856,289	35
Interest cost, finished price of sold goods, and services	46,710,610	59,471,196	27	19,363,892	18,580,857	(4)
Doubtful claims	11,389,195	11,156,311	(2)	11,398,486	10,935,213	(4)
Other costs	869,167	758,879	(12)	869,167	781,510	(10)
c) Financial costs	6,117,852	10,034,891	64	5,600,460	10,112,648	80
d) Profit before tax	16,050,972	17,894,159	12	17,375,732	24,291,796	40
e) Net profit	14,706,064	16,792,379	14	15,159,110	21,978,033	45
2. Assets						
a) Generator assets	841,504,808	1,027,826,420	22.1	831,731,575	1,015,693,177	22.1
b) Investments	22,587,733	21,897,423	(3.1)	26,945,019	32,390,935	20.2
c) Cash inventory	11,107,268	14,980,894	36.9	13,938,263	20,249,716	48.5
d) Claims from banks	211,095,935	205,734,959	(2.5)	211,544,349	205,949,440	(2.6)
e) Total assets	1,180,990,512	1,370,660,659	16.1	1,183,317,807	1,390,418,253	17.5
f) Fixed assets	36,878,009	41,932,164	13.7	39,379,519	45,541,325	15.6
g) Other assets	57,816,759	58,288,799	17.5	60,079,082	70,593,659	0.8
3. Capital						
a) Equity	55,189,272	68,323,328	23.8	56,189,448	75,923,485	35.2
b) Total debts	1,125,801,241	1,302,337,331	15.6	1,126,102,428	1,312,407,402	16.5

Bank financial ratios

Item	Ratio	2011	2012	2013
a) Activity ratios				
Granted facilities to deposit resources (%)	$\frac{\text{Granted facilities}}{\text{Deposit resources}}$	78.2	74.1	78.1
Deferred items to granted facilities (%)	$\frac{\text{Unpaid, deferred, and doubtful claims}}{\text{Granted facilities}}$	15.0	14.0	11.3
Growth rate of deposits (%)	$\frac{\text{Last year deposits} - \text{Present year deposits}}{\text{Last year deposits}}$	15.3	25.0	27.0
Growth rate of facilities (%)	$\frac{\text{Last year facilities} - \text{Present year facilities}}{\text{Last year facilities}}$	7.7	17.4	20.6
Proprietary ratio (%)	$\frac{\text{Equity}}{\text{Total assets}}$	5.9	4.7	5.0
b) Liquidity ratios				
Minimum cash inventory ratio (%)	$\frac{\text{Ongoing amounts + cash}}{\text{Resources accountable for legal reserve}}$	1.4	2	2.3
Earning liquidity ratio (%)	$\frac{\text{Operational cash flow}}{\text{Net profit}}$	98	93	78
Input per capita resources (BRial)	$\frac{\text{Total resources}}{\text{Number of branches}}$	243.4	318.2	422.7
Staff deposit per capita (BRial)	$\frac{\text{Deposits}}{\text{Number of staff}}$	19.0	24.2	31.2
c) Profitability ratios				
Equity return (%)	$\frac{\text{Gross profit}}{\text{Equity}}$	20.34	31.8	28.98
Total assets return (%)	$\frac{\text{Gross profit}}{\text{Total assets}}$	1.04	1.64	1.4
Net profit growth rate (%)	$\frac{\text{Last year net profit} - \text{Present year net profit}}{\text{Last year net profit}}$	6.4	109.8	14.2
Operational costs to operational revenues (%)	$\frac{\text{Operational costs}}{\text{Operational revenues}}$	67.3	65.3	60.7
Services fee share of total revenue (%)	$\frac{\text{Services fee}}{\text{Total revenue}}$	8.9	5.5	10.9
d) Stocks market rations				
Earnings per share (EPS)	$\frac{\text{Net profit}}{\text{Total stock}}$	212	444	420
Cash earnings per share (DPS)	$\frac{\text{Dividable profit}}{\text{Total stock}}$	270	160	42*

* Minimum cash earnings was inserted after deduction of legal reserve.

Group financial ratios

Item	Ratio	2011	2012	2013
a) Activity ratios				
Bank share from large commercial banks (%)	$\frac{\text{Resources of Bank Mellat}}{\text{Resources of large commercial banks}}$	24.4	24.7	25.5
Net facilities to free deposit resources (%)	$\frac{\text{Net facilities}}{\text{Free deposit resources}}$	72.4	77.2	76.5
Deferred items to net facilities balance (%)	$\frac{\text{Unpaid and deferred claims}}{\text{Current and non-current claims}}$	19.5	19.9	11.5
Deposits growth rate (%)	$\frac{\text{Last year deposits} - \text{Present year deposits}}{\text{Last year deposits}}$	16.3	24.1	26.6
Facilities growth rate (%)	$\frac{\text{Last year facilities} - \text{Present year facilities}}{\text{Last year facilities}}$	16.3	7	20.7
Proprietary ratio (%)	$\frac{\text{Equity}}{\text{Total assets}}$	4.8	6.1	5.6
b) Liquidity ratios				
Minimum cash inventory ratio	$\frac{\text{Ongoing amounts + cash}}{\text{Resources accountable for legal reserve}}$	1.5	1.4	3.9
Earning liquidity ratio	$\frac{\text{Operational cash flow}}{\text{Net profit}}$	98	170	47
Input per capita resources (BRial)	$\frac{\text{Total resources}}{\text{Number of branches}}$	326	488	570
Staff deposit per capita (BRial)	$\frac{\text{Deposits}}{\text{Number of staff}}$	18.7	234	30.4
c) Profitability ratios				
Equity return (%)	$\frac{\text{Gross profit}}{\text{Equity}}$	30.7	18.9	32
Total assets return (%)	$\frac{\text{Gross profit}}{\text{Total assets}}$	1.5	1.1	1.7
Net profit growth rate (%)	$\frac{\text{Last year net profit} - \text{Present year net profit}}{\text{Last year net profit}}$	87.9	14	45
Cost to revenue ratio (%)	$\frac{\text{Operational costs}}{\text{Operational revenues}}$	72.1	68.7	51
Services fee share of total revenue (%)	$\frac{\text{Services fee}}{\text{Total revenue}}$	9.5	15.3	9.1
d) Stocks market ratios				
Earnings per share (EPS)	$\frac{\text{Net profit}}{\text{Total stock}}$	466	403	566

Situation of transactions and stock prices

Bank's stock was included in Tehran Stock Exchange, group of banks and commercial institutes, by "WebMellat" symbol. Stock situation of Bank Mellat during last 5 years are:

Fiscal year ending on	No. of transacted stocks	Value of transacted stocks (MRials)	Symbol open days	Market value (MRials)	Stock price at the end of year (Rials)	Capital (MRials)
20/3/2010	2,336,586,016	2,782,805	231	17,881,500	1,365	13,100,000
20/3/2011	911,923,339	1,602,437	225	33,312,000	2,082	16,000,000
19/3/2012	1,922,789,338	4,057,217	228	31,220,000	1,561	20,000,000
20/3/2013	2,408,269,077	2,882,811	215	39,521,400	1,194	33,100,000
20/3/2014	6,176,229,968	15,072,050	215	101,760,000	2,544	40,000,000

MRial = Million Rials

Customers of Bank Mellat

Now, customers of Bank Mellat include legal government and non-government customers and real persons totally equal to 26,703,879 persons, which they totally have 40,552,200 Rial and exchange accounts in this bank.

- Average of claims to consumption ratio for commercial banks is 12.6%, while claims to consumption ratio for Bank Mellat is 7.5%. Therefore, Bank Mellat have been the most success in collection of claims.

Situation and developments of banking industry in 2013

Among the 43 industries in Tehran Stock Exchange and among 442 bourse and over-the-counter (OTC) companies, banking industry has a special place and is among the 15 premium industry by return perspective. Increment of presence in stocks market after notification of article 44 and requiring registering on bourse in the recent years led to more relation and link between capital and money markets.

Although both markets compete each other in financing, attracting public capital, and productivity, they are correlated by increment of banks in bourse and each decision in bourse affect both markets positively or negatively. Its predominant evidence is increment of bank interest and drop of bourse index during last year.

Now, present value of active banks in bourse and OTC is estimated about IRR500,000 billion.

Bank's activities in IT and e-banking

Row	System	Results
1	Modern Inspections System	• Decrement of inspection time in branches from 90 to 1 day • Establishment of continuous inspection • To register and maintain all events in branches • To setup an online inquiry system to open current account in all branches • Access of all managers and inspectors to financial & administrative events • To inspect branches irrelevant to their distances • To delete island system
2	Transmission and Mail System	• Decrement of mail distribution • To track and follow-up mails • To develop system up to complete mechanization • Access of managers to statistics of mails by branch, district, region,...
3	Branch Worksheet System	• Decrement of access time to branch statistics • Continuous control of branches • To record and save branch statistics • Access of managers to statistics branches
4	Food and Drug Monitoring System	• Control of issuance of production, import, and distribution permissions • To monitor performances of production, import and distribution compaies • To transact of public organizations (customs, bank, Ministry of Trade,...)

Bank's branches

Description	2013
Staff	22,158
Branches	1633
Budgets	471
ATM	3252
POS	620,977

National and international prides

Regarding to its dominant performance, Bank Mellat has obtained splendid prides during the last three decades.

Top place by The Banker Institute, 2000	First place among public banks, 2003	ISO 2000:9001 from MOODY Inc.	Top place between trade bank	Appraisal of Presitdent
Appraisal of Ministry of Trade for wheat purchase plan	The only selected bank for enhancement of health system and cleanup, 2010	Appraisal of Ministry of Finance and Economic Affairs, 2008	Appraisal of Ministry of Finance and Economic Affairs, 2006	Top place by The Banker Institute, 2002
Obtaining Premium Entrepreneur Title in National Entrepreneurship and Production Conference, 2014		Honesty Medal for e-banking 2014		Top Organization Title in IT and Administrative Health, 2014

Part 2: Integrated banking

Improvement of business model

Regarding to changes of business environment and increased expectations of customers, Bank Mellat has included transition from traditional banking to integrated banking in its agenda.

Modern banking	Traditional banking
Focus on customer	Focus on product

Integrated banking is a financial market in which customers can obviate their needs (insurance, leasing, bond transactions, exchange bills,...) outright. In fact, integrated banking offers appropriate services for each customer. Now we have four groups of customers in the bank: personal, corporate, private, and commercial banking.

	Legal persons	Real persons
No.: low Size: large	Corporate Banking	Private Banking & Wealth Management
No.: High Size: Small	Commercial Banking	Personal Banking

Outcomes of integrated banking

Generally, outcomes of integrated banking are: customer satisfaction, profitability, and risk management. These outcomes can be categorized in two business (customers' area) and support units' area. Tables 1 and 2 show the details.

Table 1: Outcomes of integrated banking in customers' area

Corporate Banking	Commercial and Personal Banking
• Settlement of customer-driven concept instead of product-driven concept and making decision by customer communication volume • Providing operational plan by BSC and customers • Implementation of a pilot project, product/services and processes diagnosing and improving them gradually	• Transferring knowledge and technology for designing proposition • Grouping customers • Planning for settlement and implementation and pilot startup
Sale Management area	
• To redesign organizational chart of branches based on new business model • To select and train qualified manpower for Customer Manager post • To design new operational program based on new business model	

Table 2: Outcomes of integrated banking in support units' area

Risk and Credit area	Financial area
• To change structure and processes of Risk and Credit Unit processes according to new business model • To redact customers' financial profile • To redact a framework for guidelines of granting GLA and SLA to qualified persons and to design BSC to grant minor facilities	• To redact an accounting system for reporting integrated banking and to settle financial units in customers' group • To separate Treasury from Operational Management and to create a Modern Treasury Unit • To study to setup Asset and Debt Unit and Debt Asset Committee
Human Resources Area	Operations Management Area
• To analyze related jobs with approved structures in integrated banking • To value and redact job description and conditions for integrated banking • To design Compensation Pattern for Services of Corporate Banking	• To identify key processes for offering services to customers and to identify improvable points • To concentrate some of operational processes • To implement Operation Management of Corporate Banking
Operations Improvement Workgroup	Compliance Workgroup
• To redact a structure for grouping customers • To improve key processes based on new business model • To create new departments based on new business model	• To redact agreements for offering services to customers and affiliated companies • To design primary copy of service offering processes for customers and affiliated companies • To make common goals for selling products and services to customers and affiliated companies

Table 3: Outcomes of Strategy Management Office

• To redact developmental models in integrated banking pattern • To redact strategic planning and goal-making model • To redact strategic planning and goal-making pattern • To redact major goals based on modeling economic and financial variables • To redact goal assignment patterns to profit centers and business lines

Private Banking

Private Banking and wealth management are new concepts in banking literature of Iran despite their long record in the world. Difference of them with other existing banking models, such as Trade Banking and Corporate Banking, makes their implementation difficult.

Bank Mellat understands needs of customers and obligated to respond them to provide a profitability potential by recognizing implementation challenges and obstacles. This bank intends to do R&D activities and to copy activities of international banks, and finally internalizing these operations.

Private Banking intends to prevent repetition of unsuccessful experiences of other banks in implementation of this new concept, by considering all aspects of this business, and to implement this model. Obviously, achieving this goal requires broad studies and providing required infrastructures.

The most important outcomes in this area reported by related experts are:

- To identify needs of customers in Private Banking
- To provide advertisement strategies to drive Private Banking
- To develop a software system for Private Banking, including:
 - Profile Management subsystem and Customer Relation subsystem
 - Asset Management subsystem
- To examine investment funds
- To examine and monitor developments of capital market
- To do broad feasibility studies for development of investment to diversify the proposed portfolio for Private Banking
- To extract document of training needs of Private Banking Management staff
- To analyze and implement SWOT by considering internal and external challenges

Personal Banking

List of services and products for customers:

Row	Product / service / project
1	To debut the home page of Internet Banking System
2	To setup new Pay Station for fuel price in 240 gas stations
3	To develop Internet Banking services: • To setup requesting second password for cards • To setup "Check Booklet Issuance" service • To setup requesting issuance of Mellat Card • To pay installments • To open deposit/ short term exchange accounts and to issue exchange drafts • To activate passwords for special services
4	To develop telephone-bank services: • To change menu of telephone-bank • To buy online credit SIM • To inquiry check booklet • To remit to other accouts
5	To pay installments of other customers via Mobile Bank System
6	To setup SMS system for informing bank services
7	To Send high amount drafts
8	Acceptors Project (2)
9	To setup card issuance devices
10	To setup Code Bank System *712#
11	To promote non-attending services

Corporate Banking

Necessity

In the current competitive banking space, offering special services to customers increases their loyalty, manages revenues and costs, and increases profitability. In this regard, Bank Mellat has implemented Corporate Banking for customers, who present return and profitability with a certain risk level.

Regarding compatibility of Bank Mellat with international banks and to enhance the brand and to accomplish the motto "Feel changes", Corporate Banking Management started on March 2012 officially.

Mission

The main mission of Corporate Banking is creating value for large customers. These customers at least sell RIs.300 Billion, which a manager is assigned to them by their needs and dispersion to announce value packages to them.

Valuation and value creation for customers, improvement of key processes for offering special services to them, designing exclusive products and services for each one, and making long term win-win relations with them are the goals of Corporate Banking management.

Offering diverse baskets of banking and non-banking services to large legal customers, Corporate Banking responds their needs faster and better and increases their satisfaction.

The most important actions in Corporate Banking in 2013

- To setup Office No. 1 of Corporate Banking in Zafar Building
- To identify, attract, and transfer more than 200 large customers from other branches to this office
- To design and setup special counters in selected branches to accelerate and enhance services
- To design new products for production
- To attract more than 50 CRM managers among branches' managers
- To hold training courses to familiarize with modern banking methods by internal and international professors
- To attract experts in risk and credit areas to offer exclusive services to customers; to define new mechanisms and credit processes
- To conclude contracts with suppliers of non-banking products to offer a divers basket to customers, including Ma Insurance Co., Mellat Brokery, Mellat Investment Co., Mellat Exchange, Etebargostar Exchange, Mellat Transfer Co., and Atlas Value-Creation Co.

Future actions

Corporate Banking is at the beginning of its way to achieving its goals. In this regard, the goals will be accomplished by endeavor of related manager and experts and existing knowledge and skills.

Therefore, the most important future action is establishment of other offices for Corporate Banking, especially in energy field.

Trade Banking

Programs and activities in 2013

- Thorough study about integrated banking
- To cooperate with R&D Department to find needs of customers in market researches area
- To cooperate with Marketing Management to provide statistics and data for Trade Banking customers

Programs and activities in 2014

The most important services for 2014 are redaction of proposed R&D packages and management of survival cost. This bank intends to design new packages proportional to activation areas of customers. The activities can be summarized as follows:

- To redact guideline for proposed packages of Trade Banking
- To modify processes for providing services and products
- To study competitive advantage of services and products in other banks
- To estimate cost and profit of proposed services and products
- To open the first Trade Banking center in Tehran
- To redact a development programs for other Trade Banking centers and branches

Fulfilled actions for Integrated Banking project

- Feasibility and comparative studies
- To separate market sectors
- To organize Sale Department
- To develop Financial Elevation Center
 - Bedding for MIS
 - To modify financial accounting structure
 - Management accounting
 - To manage market risk and liquidity
- To develop Credit Risk Elevation Center

Customer in integrated banking

To offer suitable service to customers require better customer recognition. Thus, in the Integrated Banking project, Bank Mellat separated business customers into 4 groups. Therefore, Trade and Corporate Banking belong to legal persons and Private and Personal Banking belong to legal or real persons.

Corporate Banking	Large private and public companies with extended activities
Trade Banking	Large and average legal companies with average and high activity volumes
Personal Banking	Real persons with various activities
Private Banking	Rich real persons requiring exclusive services such as wealth management and financial consultation

Performance report of Strategic Management Office

Strategic analysis and development

- Econometric analysis to anticipate economic variables, financial markets, and business lines
- To determine market size in different business areas
- To redact growth strategies in different business areas
- To make goals for income in Mellat group
- To make goals for income by customer groups
- To make goals for income by business lines

Communication and organizational comply

- To help holding required specialty courses in Integrated Banking area
- To document and inform patterns, models, and training guide for Integrated Banking
- To comply beneficiary groups (common goal-making)
- To develop business strategy
- To develop strategy for supportive units

Strategic performance evaluation / innovative actions management

- To manage innovative actions to implement strategies
- To develop BSC
- To manage meetings and review strategies
- To test and report strategies

It is worth to say that the most important developmental program is movement towards Integrated Banking now. The goal of changing business model was changing business rules, conditions, and environment and responding progressive and complex needs of customers. In fact, the previous business model hadn't continuous profitability because of severe competition, reduction of facilities rate, and increment of speculation in rival markets. It also couldn't respond diverse needs of customers. The previous model required decrement of costs to make profitability stable; while the new model can manage costs, present stable profitability and can diverse income channels by notice to customers and obviation of their needs.

Part 3: Performance of bank's departments

Effective steps of Bank Mellat towards promotion of performance quality in credit field

In the economic structure of company, banks are the main pivot of economic sector for finance. Therefore, performance quality of credit field in a bank plays an important role in success of that unit and in economic development of country. Accordingly, Bank Mellat devoted special notice to credit processes, assigning resources and facilities, maintaining credit health, and credit risk management. This bank has honor to be as a forward bank in credit field relying its experience experts and designing and implementing strategic operational systems in this field.

Participation in national large projects

Regarding to modifications in credit decision-making, clarification of roles of departments, and organization of structure considering customer risks, one of the outcomes was reduction of claim items. Optimal grating facilities and purposeful injection of resources in project helped economy of country and prevented creation of new claims.

The following table shows samples of participation of Bank Mellat in national projects and participation with large companies.

Row	Company / Project	Price (billion Rials)	Title
1	Construction of crude oil reservoirs in Gonaveh	1500	Project
2	Common gas field in South Pars	\$7 billion	National Development Fund
3	Behin Ertebat Mehr Co.	844,821,1000 Yuan	Finance
4	Abadan Refinery	22,042 MYuan	Finance
5	Iran Medical Sciences University	500	Revolving fund
6	Mobin Iran Co.	700	Revolving fund
7	Cruse Production Industries	2600	Revolving fund
8	Payambaran Hospital	171	Civil; Development Project
9	Tehran Daru Co.	200	Civil
10	Science and Culture University	224	Civil; Project
11	Gandi Hospital Hotel	400	Participation in purchase of equipment
12	Pars Khodro	1000	Civil
13	Pars Khodro	1000	Visual L/C
14	Zamyad	900	Civil
15	Mobile Communications	2000	Civil
16	Mobile Communications	2500	Civil
17	Mobile Communications (Pahnbad)	Eur596,209,335	Ongoing
18	Equipment of charcoal mines (Tabas 4)	Eur106 million	
19	South Aluminum	Eur141 million	Production of aluminum ingots
20	Iran Communication Co.	Eur125 million	Development and reconstruction project
21	Khorasan Steel Complex	400	Development project
22	Navid Composite	240	Construction of strings factory
23	Padra'd	300	Revolving fund
24	Boland Tabagheh	200	Revolving fund
25	Mobinnet Communication Co.	300	Revolving fund
26	Shahid Bamonar Copper	400	Revolving fund
27	Bafq Iron and Steel Complex	5550 Eur42 million	Revolving fund
28	Moheb Hospital (Hazrat Fatemeh)	320	Revolving fund
29	Moheb Hospital (Full Women)	330	Revolving fund
30	Iran National Copper Industries Co.	4220	Revolving fund
31	Keyson	450	Revolving fund
32	Iran National Copper Industries Co.	4220	Revolving fund
33	Pars Khodro Co.	700	Revolving fund
34	Bahman Group	800	Revolving fund
35	Mellat Relegation Co. (approvals of 2013)	2200	Revolving fund
36	Saipa Co.	1500	Revolving fund
37	Iran Khodro Co.	1500	Revolving fund

38	Behpakhsh Co.	500	Revolving fund
39	Ferdows Distribution Co.	300	Revolving fund
40	Saipa Yadak Co.	250	Revolving fund
41	Yazd Steel Roll	350	Revolving fund
42	Toos Hojat	200	Revolving fund
43	Golbarg Baharan Co.	280	Revolving fund
44	Mammut Co.	1200	Revolving fund
45	Sapco Co.	1000	Revolving fund
46	Tehran Cement Co.	350	Revolving fund
47	Saipa Sazeh Gostar Co.	400	Revolving fund
48	Megamotor co.	650	Revolving fund
49	Tehran Internet Co.	600	Revolving fund
50	Pakshoo Co.	600	Revolving fund

R&D

1. Field projects and studies
 - To examine the reasons of busy branches in Alborz Province
 - To examine operational problems for agency services in bourse kiosks
 - To examine performance of insurance tables of branch managers in District 1
 - To determine place, image, and personality of Bank Mellat in comparison with competitors from customers' views
 - To examine accessibility to the goals of TV advertisements for Bank Mellat from customers' views
2. To fulfill case studies
 - Scanning internal and external banks for ATM, POS, mobile bank, internet bank, telephone bank, Mellat communication centers, encouragement project for receivers of POS devices, facility plans, modern credit products, finance products
 - Introducing insurance products basket in Private Banking
3. Products & services / proposed model
 - To offer a conceptual model for combinational tools in bank
 - To offer a financial performance evaluation model based on indices of monitoring organs and ranking banks
 - To design ILS insurance bonds by tankers, vehicle body, and finance of Ma Insurance Co.
4. Integrated Banking Project
 - Case study in selected world banks (Mizuho, HSBC, Barclays, Wells Fargo)
 - The pattern of division of incomes and costs of external banks by customers' groups
 - To sell main products by customers' groups
 - Leadership of alignment workgroup in affiliated companies:
 - To conclude trade and service agreements between customers and business groups
 - To design service offering processes for customers and business groups
 - To design key operation indices by customers' groups in integrated banking
 - To redact operational program indices Mellat Integrated Bank and customers' groups
 - To determine common sale goals for companies and customers' groups (Ma Insurance, Mellat Brokery, Mellat Assignment)
 - To align IT and business strategies of Mellat Integrated Bank
 - To measure work-desire indices in staff and recommendations of customers in Bank Mellat
 - To examine banks by the identified indices from 2009 to 2013
 - The new IT approach in external banks
 - The method of applying IT changes in Integrated Banking
 - To compare organizational/IT framework and to offer a combined model
 - To do marketing researches to identify needs of trade customers, small and private businesses
5. Other research projects

- To design applied financing models for energy projects
 - To design applied models for assignment of energy projects
 - To develop activities of customers' club
6. Operational planning area
- To review and change goal-making mechanism of operational program's indices
 - To develop MIS
 - To setup MIS in central departments
 - To align affiliated companies with queue units with common goals in operational plan

Legal environment of Bank

The most important rules and regulations in this bank are:

1. Approvals and rules of Money and Credit Council
2. Money and Bank Act of 1972
3. Usury-free Bank Operations Act of 1983
4. Trade Act
5. Tax rules
6. Approved rules, regulations, bylaws, and codes by bourse
7. Money-Laundry Control Act
8. The Fifth Economic, Social, and Cultural Development Act
9. Annual strategic-monitoring package of Central Bank of IRI
10. Articles of association

Social performance report

Participation in public-beneficial activities

These activities are:

- To pay atonement for prisoners
- To participate in construction and equipment of 63 schools
- To construct many prayer rooms

Participation in cultural and artistic activities

Bank Mellat participated in this are by establishment of Mellat Foundation, including:

- To celebrate the greats of science, culture, and art
- To maintain cultural relations with external countries
- To publish cultural magazines
- To hold literary festivals
- To celebrate Labor Day
- To visit museums and cultural centers
- To attend in environment campaigns and exhibitions

Training

Item	Cost (2013) (MRials)
Staff training	178,019
Holding and attending seminars	44,280
Research projects	15,117
Total training costs	237,416

Year	Training		
	No. of courses	Man/hour	Total participants
2008	2102	3,316,383	127,913
2009	1863	2,691,137	149,646
2010	1653	1,574,100	66,864
2011	1708	1,366,978	67,756
2012	1028	1,893,207	104,248
2013	1491	1,175,327	74,230

Internet Sale System for travel exchange

The related actions of this bank for sale of travel exchange are:

- Reception of passengers to control their documents and application for exchange in all branches
- To establish a kiosk to deliver exchange to passengers in 16 international airports of country
- To deliver exchange to pilgrims in Exchange Branches
- To maintain Nowruz Guards and increment of active branches during Nowruz

An internet system for sale of travel exchange was designed and implemented in 2014 to increase satisfaction of customers.

Using this system, passengers and pilgrims can apply and pay related costs with their ATM cards. Then pilgrims take their exchange from selected branches. Other passengers take their exchange from airport kiosks.

The outcomes of exchange sale system are:

- Decrement of bureaucracy for passengers
- Acceleration of exchange sale process
- Increment of capacity for responding applicants
- Much transparency of exchange sale processes
- Accomplishment of e-government and decrement of presence refers

Mellat Communication Center (1556)

Mellat Communication Center was opened on March 2007 to reverence clientele, informing, tracking, and guiding customers for bank issues. This center has a customer-driven and service-driven structure to mechanize communication channels between bank and customers.

The current communication channels of this center are:

- Tel. no. 1556 with more than 120 extensions
- SMS
- Voice-mail
- Email
- Fax
- Q&A system
- Online chat

This center works from 7:30 to 24:00 with more than 40 experts with about 2300 contacts/day.

Customers Club of Bank Mellat

Bank Mellat has provided the-state-of-the-art services to implement relational marketing concept by establishment of Customers Club, which is a dynamic and friendly environment for more interactions with customers.

The main goals of this club are:

1. To create an excellent and distinguished experiment for customers
2. To develop new products and services by recognizing customers' needs
3. To make mutual communication with customers
4. To deliver suitable responses to confidence of customers
5. To encourage customers to use e-banking
6. To encourage customers to gather scores and use prizes

Now more than 2,000,000 customers are members of this club.

International and exchange activities

One of the goals of Bank Mellat is development of international activities and help to expand trade transactions and support Iranian traders for improvement of import and export situation. Bank Mellat has 4 external branches and 2 affiliated banks in London and Yerevan, which offer exchange services to external customers

Because of sanctions and cut of services by some of governments, Bank Mellat could fulfill its exchange activities by useful strategies, intelligent diplomacy, and maintaining relation with new brokers in foreign banking. This is very important by increment of competition in offering services in this field. It provokes related experts to activate to highlight the role of bank against other internal banks.

Profit & loss of external branches

Branch	2013 (MRials)	2012 (MRials)
Seoul branch	11,518	6,487
Turkey branch	88,166	215,813

International branches of Bank Mellat are in England, Germany, Turkey (Istanbul, Ankara, Izmir), Armenia, Malaysia, and South Korea (Seoul).

Corporate sovereignty in Bank Mellat

Bank Mellat has decreased risk, market value, resources assignment by placement of corporate sovereignty mechanisms, movement toward obtaining rights of beneficiaries, and growth of deposits. Regarding to the predominant roles of Risk Management Committee and Internal Accounting Committee to accomplish corporate sovereignty, Bank Mellat has placed these committees to help board of directors in supervision.

These committees had played a prominent role in redaction of strategies and achievement of goals by presence of board chairman, deputies, university professors, industry experts, and internal and external consultants.

Corporate sovereignty structure in Bank Mellat includes organizational roles such as board of directors, risk management, and internal accounting committee.

Tracking strategies, increment of efficiency, operation efficacy, considering rules, and proper reporting to beneficiaries are other outcomes of placement of corporate sovereignty in Bank Mellat.

Performance of Audit Committee

Audit Committee was established by approval of board of directors and its statute was approved on 23/7/2008. Goals, structure, formation, duties, responsibilities, and meetings are identified in the statute. The main goals and responsibilities of Audit Committee are:

- To monitor financial reporting
- To check correctness of financial statements
- To place internal control system
- To consider rules and regulations
- To do internal audit
- To monitor professional qualification and independence of independent auditors

Members of Audit Committee are:

- Board Chairman as chairman
- One of the bank experts
- Two official accountants
- One accounting PhD out of bank
- Accounting Manager as member and secretary of committee

There have been 42 meeting for Audit Committee in 2013, which the main actions are:

1. To study financial and audit reports, financial statements, budget, performance, claims, tax, and management letter.
2. To study internal audit reports of General Logistics Department, management of operations, organization and improvement of methods, staff affairs, investment, companies affairs, management of branches of district 5, and case audit reports.
3. To study and settle incompatibilities between management and independent auditor before final report.
4. To study annual performance report of internal audit management.
5. To study settlement of open entries in temporary debt and credit accounts and their control and follow-up methods.
6. To study budgeting and contracting for budgeting system; to control budget in Bank Mellat
7. To study integration of financial, operational, and information systems of Bank Mellat
8. To study obligations of retirement fund, and sufficiency of reserves for doubtful claims
9. To study reports of internal audit recommendations
10. To require reporting of departments and to study those reports

Performance of Internal Audit Management

1. In Operational Deputy field, 7 general administrations and operational cycles that were in the audit plan of 2013, were audited for about 924 work days in 2013.
2. Fulfillment of preparation phase in IT Deputy with cooperation of Padid Pardaz Pardis Co.
3. In IT field, 11 IT projects were initiated during 2013 by cooperation of Padid Pardaz Pardis Co., which were progressed 80% up to the end of 2013.
4. To follow-up execution of audit recommendations monthly, and to report it to related manager, Audit Committee, and operational plan meetings for about 464 work days.

5. To execute audit missions allotted by Audit Committee, Assistants Council, and Board of Directors, for about 764 work days, including submission of complementary report of Audit Management about redemption of leave in deprived regions for years 1989-1997; study of financial statements of Pars Fund; bond process; study of IT report for facilities, claims, and obligations; suggest about statute of Asset and Debt Management Committee; report of exchange resources and consumptions of bank and offering it to Exchange Committee for responding to the items for inspection of inspectors of Central Bank.
6. To study draft of accounting reports, management letter, etc. to submit to Audit Committee
7. To consult with different departments for their operational activities
8. To provide reports for personal facilities and obligations and submission to Central Bank.

Risk management

Sovereignty structure of risk management

Sovereignty structure of risk management in Bank Mellat is a subset of bank's sovereignty structure and includes Board of Directors, Higher Committee of Risk Management, Technical Committee of Risk Management, Risk Management Administration, working units and internal audit. This structure determines strategy, approach, risk control and management. This structure contains definitions of risk management approaches, structures, and processes in business goals. Some of the features of risk sovereignty structure are a transparent definition from responsibilities and expectations of all departments, including board of directors, manages, and staff. Modification of business model from traditional to integrated banking, has changed approach of bank management towards risk-based management. In this new pattern, Bank Mellat offers its services to respond different (banking, financial, insurance, investment,...) requirements and profitability. In the new business model, trade behavior of bank is based on "risk-return" principle.

Bank Mellat believes that risk culture must flow in the entire of organization. Therefore, it selected and trained risk interfaces in different departments to maintain continuous communication and to identify and control key risks. Bank Mellat holds training courses to increase organizational knowledge of staff about risk management and has implemented risk management units in all business departments.

Risk Management Higher Committee

One of the most important columns of risk sovereignty structure in Bank Mellat is Risk Management Higher Committee, which has an independent nature. Some of the duties of this committee are:

- To design and propose risk tolerance and demand level to board of directors
- To apply risks in redaction of bank's strategies
- To study submitted reports about major risks in bank operations
- To evaluate fulfilled actions against reported risks
- To offer necessary proposals to board of directors

Risk Management Higher Committee uses Risk Management Technical Committee views to redact policies and strategies for risk management. In 2013, Risk Management Higher Committee and Risk Management Technical Committee held 13 meetings and issued 67 and 64 approvals, respectively.

Risk Management Department

Risk Management in Bank Mellat has an independent and concentrated structure and examines and reports strategic, market, credit, operational, compatibility, liquidity, and financial risk. Risk Management Department uses Ball Committee guidelines and standards to optimize capital usage and to maximize equity of stockholders. Regarding the effects of major economic variables on bank's performance, Risk Management Department anticipates these variables such as inflation rate, real economy growth rate, liquidity volume, the effects of "Purposeful Subsidies Law". This department redacts many credit and investment strategies according to market risk situation.

Bank Mellat monitors indices such as adjusted return to risk index, money finished price increment risk, bank profit quality, liquidity split situation, exchange items risk, assets quality risk, etc. to recognize and evaluate the existing risks in the financial structure of bank. regarding to the important

role of some indices such as RAROC and money finished price risk in policy-making, these indices are evaluated in branches management levels too. Meanwhile, Camels Ratios are evaluated in this bank to improve capital sufficiency risk, assets quality risk, profitability, liquidity and market. To decrease liquidity risk, risk appetite limit (expected retrain), and combination of liquidity reserves, credit limits are determined. Also, the above mentioned risk management program was executed in 8 areas in order to decrease human resources risk. Other actions of Risk Management Department are monitoring capital sufficiency, studying comparative risks for all bylaws, and monitoring laws and regulations of authorities.

Liquidity risk management

By effective liquidity risk management, Bank Mellat could use profitability opportunities created by optimization of liquidity resources.

Initial Liquidity Risk

Reverse of cash amounts and assets with rapid liquidity capability to visual debts was used to calculate Initial Liquidity Risk. Initial Risk Index was 3.47 units for 2012 and was 2.64 units for 2013, which show 24% of improvement. Bank Mellat could apply a suitable management on Initial Liquidity Risk for 2013.

Secondary Liquidity Risk

Not returning amounts of facilities is an important reason for creation of liquidity risk. Thus, control of this risk is included in liquidity risk management. Not-returning installments rate shows Secondary Liquidity Risk. This risk was 1.30 units for 2012 and was 1.28 for 2013, which shows 1.5% decrement.

Total resultant of liquidity risk

Sum of indices of liquidity risks for 2012 was 4.77 units and for 2013 was 3.92 units, which shows 18% decrement. Despite liquidity problems in the state banking system in 2013, Bank Mellat could manage liquidity risk by its continuous monitoring.

RAROC

RAROC was used as one of the most important tools to achieve risk management goals. RAROC is used in banks to achieve two major goals:

1. To assign resources (capital)
2. To evaluate performance based on risk and return

The optimum level of risky capital and expected return (risk appetite) are determined by RAROC. This model indicates and evaluates a certain level of accepted risk level to attain required return in bank level, trade lines, and regional management.

The calculated RAROC for 2013 is 32.65 percent, which is 11.65% higher than non-risk return, and has increased 5.20 units (19%) than the previous year.

Money finished price increment risk (MFPIR)

32% inflation in 2013 and increment of deposit interest in banking system converted cost management and money finished price control, and in turn, profitability to the largest challenges of this year. In the last year, cost was managed so that bank's costs were decreased against 2-digit inflation (more than

30%). Regarding to the economic anticipations, deposit profit and money finished price were efficiently managed.

The following chart shows money finished price increment in Bank Mellat and other banks in 2013 and previous year. As you see, growth of money finished price in Bank Mellat is nearly half of that of other banks, which reduced 277.5 BRials of bank's costs in last year and increased profit by the same amount.

Assets Quality Risk

Because of low demand for many commodities due to depression, Bank Mellat adjusted its strategies according to industries with advantages and disadvantages to anticipate demand changes and economy purchase power, so it succeeded to manage Assets Quality Risk.

Despite many problems in major economy sector in 2013, assets quality of this bank was improved than its previous year. As the chart shows, despite increment of economy risk in 2013, Assets Quality Risk decreased 7.2 percent.

State Budget Shortage Risk

The state budget shortage in the last year (210,000 BRials) concluded not fulfillment of obligations of government against many companies and contractors and increment of active customers' risks. Bank Mellat managed facilities levels to state companies and public contractors and adjusted its credit policies before this crisis. So it succeeded to manage credit risk in this area.

Competitive Place Risk

Applying money contraction policy by Central Bank and market situation in the last year increased competition between banks. Bank Mellat amplified its competitive place by evaluation of economic situation, situation of rivals, and determination of optimum interest rate. The following chart shows shares of main deposits of Bank Mellat among large trade banks of country.

Credit Risk Management

Today, risk management has experienced major changes. These changes affected competition in credit markets and created opportunities for banks. One of the opportunities was created in credit risk management field. What is important in credit risk management is a combination of risk culture (ideas, principles, skills, experiences, and sovereignty structure) and risk-return situation to track emerging risks. Credit Risk Management has offered suitable strategies for credit policy-making and goal-making and continuous monitoring credit risk.

Risky value

Credit Portfolio Management of Bank Mellat was controlled in 2013 so that risky value had increased 0.58%, despite 20.53% increment of facilities in 2013 than 2012.

The following chart compares growth of facilities and claims. As you see, growth of controlled claims and facility management efficiency were increased at early of 2013.

Coverage of risky value of credit portfolio

Coverage of risky value of credit portfolio in 2013 has increased by 0.31% than its previous year and has reached to 44.44%. The 44% coverage of risky value by doubtful claims reserves indicate desirable level of coverage of risky value in Bank Mellat.

Operational Risk Management

Operational Risk Management in Bank Mellat recognizes and evaluates risks for processes and methods, human resources, internal systems and external events. Its methodology is based on integrated risk management framework and is measured by basic index.

For 2013, economic capital to cover operational risk in Bank Mellat was 7.19% more than minimum required capital according to Ball-II and Ball-III standards. During last four years, Bank Mellat has increased its operational risk coverage significantly.

Comparative risk management

Comparative risk management is very important in preventing damages to credits of banks. In this regard, Bank Mellat tried to compare products, procedures, standards, and internal rules with authorized laws to manage comparative risk effectively according to global standards (including Ball Committee principles). "Contingent rules" are a set of rules that stabilized banking system and supports depositors and stockholders. Therefore, they are very important for monitoring authorities. Considering determined ratios in these rules strengthens financial structure and decreases risks and increases stability, efficacy and effectiveness. Regarding the importance of these rules, including authorized limits for investments, facilities, and obligations, major obligations and capital sufficiency, Bank Mellat has managed comparison if these rules suitably. Continuous monitoring of internal rules and coinciding them with external rules has been a principle in Bank Mellat. In this regard, Bylaws Commission, comprising General Administration of Inspection and Supervision, Legal Administration, Methods Improvement Organization, and Risk Management Unit, study internal rules of bank by comparing them with laws.

Regarding the importance of money-laundry control, there have been many effective actions including:

1. To identify customers' identities via software system; online access to external authorized systems such as Central Bank, Registry of Personal Status Organization, etc.; and obtaining inquiries of behaviors of customers
2. To build a database for suspicious persons, accessible by all branches
3. To design, produce, and operate Processes Modification System to prevent crimes
4. To design, produce, and operate AML System (money laundry control)
5. To send doubtful cash (CTR) and transaction (STR) reports to Financial Information Unit (FIU) of Money Laundry Control Administration of Central Bank

IT Risk Management

IT Risk Management in Bank Mellat identifies and evaluates IT risks. The related methodology is based on COBIT and ISO standards. IT Risk Management proceeded to examine business continuation risk in IT in 2013 be recommendations of Central Bank, and offered control actions to crisis and support sites to cover these risks. Another action in this regard is startup of Data Guard Server for administration automation in crisis site, startup of Crisis Data Center, and promotion of infrastructures of Main Data Center.

Some of actions of IT Risk Management in 2013 are:

- Approval of new composition of Leadership Committee for IT Security
- To hold many meeting during the year to discuss about security events and projects in the bank
- To settle Security Operations Center
- To execute penetrability tests on the websites of bank

- To redact strategic document of information security to direct security projects and activities
- To design Data Leakage Protection System (DLP)
- To develop Active Directory infrastructure in headquarters to concentrate security policies
- To startup Concentrated Security Patches Management System (Patch Management)
- To startup monitoring system for client computers in bank

Part 4: Audit Report

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Report of independent auditor and legal inspector to Ordinary General Meeting of Stockholders Bank Mellat (Public JS)

Report of financial statements

Introduction

1. Integrated financial statements of Bank Mellat including balance sheet, profit & loss statements, and cash flow for the financial year ending on Mar. 20, 2013 have been audited by this institute.

Responsibility of board against financial statements

2. Responsibility of providing these financial statements is due to the board of directors of this bank. This responsibility includes designing, devise, and maintain internal controls for financial statements so that these statements will be without any deviation due to failure or mistake.

Responsibility of auditor and legal inspector

3. Responsibility of this organization is declaration about the financial statements according to audit standards. These standards imply that this organization consider requirements of professional conduct behavior and implement them so that it will insure there is no important deviation in the financial statements.

Audit includes procedures to obtain audit evidences about amounts and other disclosed information in the financial statements. Selection of audit procedures depends on judgment of auditor and evaluation of important deviation dangers due to failure or mistake. To evaluate these dangers, internal controls for provision and submission of financial statements will be applied in order to design proper audit methods, not for declaration about efficacy of those internal controls. Also, audit includes evaluation of suitability of applied accounting procedures and estimations by board of directors and evaluation of totality of financial statements.

This organization believes that the obtained evidences for conditional declaration about these financial statements are enough and suitable.

Also, as a legal inspector, this organization is responsible to report breeches of legal requirements mentioned in monetary and banking rules, interest-free banking operations, amendment of Trade Act and contents of Articles of Association of this bank to Ordinary General Meeting of Stockholders.

Basis of conditional declaration

4. According to article 29 of statute of Retirement Fund for Staff of Banks, present value of future obligations of this fund must be evaluated each 3 years and related obligations of each member bank will be supplied after approval of General Meeting of this fund. In this regard, totally Rls.11,599 billion reserve was included in the accounts and Rls.3,700 billion was paid, but there is no reserve in the accounts for 2011 to 2013. Nevertheless, determination of exact amount depends on declaration of final amount by the fund.

Conditional declaration

5. By view of this organization, except for the effects mentioned in par. 4 above, the financial statements for Bank Mellat at Mar. 20, 2013 and its financial performance and cash flows are according to accounting standards.

Emphasizing a special topic

6. During the reported fiscal year, facilities against execution of Budget Law were depreciated by contents of descriptive note 10.3.3. Also, claims mentioned in descriptive notes 16.2, 9.2, and 10.3.2 can be collected by new agreements.

7. Regarding to the descriptive note 25.1, according to article 7 and par. 1 of article 9 of Membership Payment Method Code in Deposits Guarantee Fund, subject of approval no. H48367T/100998 dated 24/7/2013 by Ministers Body, this bank has obligations to the above fund for annual membership fee, which Rls.175 billion was paid on account for initial membership fee. However, according to letter no. 92/235155 dated 2/11/2013 by General Chairman of Central Bank, this membership fee is subject to reexamination and declaration of results by that bank, which has not been reported up to now.

8. According to the descriptive note 6.2, Central Bank withdrew Rls.2,537 billion for difference of currency rate, which was registered in the debt column of accounts of Central Bank, at the end of 2011 for approval no. 47698T/M/90-34030 dated 5/1/2012 by Workgroup for Organization of Exchange Affairs.

Declarations of this organization for par. 6 to 8 are unconditional.

Report about other legal requirements

Report about other duties of legal inspector

9. Cases of not considering irrevocable bylaws and approvals in banking system in 2013 are:

9.1. Monetary and credit policies of state banking system about note 4 of article 17 for granting credits to affiliated companies without approval of Credit Commission of Central Bank and approval of General Chairman of Central Bank in some cases.

9.2. Bylaw no. 183 dated 15/4/2007 of Central Bank about:

9.2.1. Article 3.1 and 3.3 about direct and indirect investment of bank in debentures published by legal persons, equal to 10% of bank capital, and total direct and indirect investment of bank in off-bourse bonds not more than 5% of bank capital.

9.2.2. Article 3.5, total direct and indirect investment of bank in stocks of companies, maximum equal to 20% of capital mentioned in the articles of association of that company.

9.2.3. Article 3.6, total direct and indirect investment in stocks of companies in order to extend bank services and protecting professional secrets, maximum equal to 49% of capital mentioned in the articles of association of that company, and submission of report to Central Bank and obtaining permission.

9.3. Contents of bylaw no. 91/147874 dated 26/8/2012 and bylaw no. 92/110090 dated 8/7/2013 about maximum credit of Murabaha for current year, subject of article 13 of executive guideline for credit card based on Murabaha contract equal to RIs.40,000,000.

10. Contents of articles 44 of Budget Act 2013 indicating receiving profit and fee of granted facilities more than approved rates by Money and Credit Council were not considered.

11. Contents of amendment of article 11 of collection of unpaid, deferred, and doubtful claims of credit institutions, subject of approval no. 49909T/169061 dated 25/10/2009 by Board of Ministries for actions of credit institutions in order to facilitate non-current debts of customers by reinstallation of those debts for 5 years.

12. According to the existing data, the theft amount from this bank during this fiscal year was more than RIs.644 billion (RIs.74 billion for last fiscal year), and collections for this theft was RIs.88 billion (RIs.54 billion for last fiscal year) up to now.

13. The details of calculations for difference of exact profit and investment accounts in note 40 were compared with the contents of bylaw no. 126331 dated 10/3/2009 of Central Bank. There were no implications indicating not considering the contents of this bylaw.

14. The items not considering legal requirements in amendment of Trade Act and articles of association of bank are:

14.1. Regarding to the contents of article 240, the view of general meeting of stockholders is attracted to the effects of par. 4 of this report on equity and profit division.

14.2. The contents of article 53 of articles of association of bank for legal reserve from 5% of net profit conflicts with the contents of Money Law of country.

15. Transaction included in descriptive note 59.1 of financial statements, includes all transactions mentioned in article 129 of amendment of Trade Act that were done during this fiscal year and approve by board of directors. For these transactions, the contents of the above mentioned article indicated obtaining permission from board and non-participation of manager in voting were considered. Additionally, there was no other conflicts about normal banking operations in these transactions.

10. The report of board of directors about activities of this bank, subject of article 232 of amendment of Trade Act, for submission to Ordinary General Meeting of Stockholders, was studies by this organization. By view of this organization, there were no conflicts with the submitted documents in this report.

Report of other legal responsibilities of auditor

17. In execution of article 33 of executive guideline of Opposition with Laundering by auditors, the noticed checklists by related authorities and audit standards were evaluated by this organization. Despite placement of Money Laundry Control Unit in this bank network, the contents of this Act were not executed completely.

18. The rules and regulations of Bourse Organization were not considered as follows:

18.1. Compatibility of articles of association of bank with that of listed companies in bourse.

18.2. Submission and disclosure of information, reports, and financial statements in different times during this fiscal year.

18.3. Submission and disclosure of financial statements according to the sample in bourse.

18.4. The contents of article 10 of guidelines for internal control of listed companies in bourse and on-the-counter for election of a chairman for Audit Committee among unbound members of board of directors.

Date: July 16, 2014
All pages signed & sealed: Audit Organization

Bank Mellat (Public JS)
Descriptive notes of financial statements integrated of bank and group
for year ending on Mar. 20, 2014

To: Tehran Stock Exchange Organization

Reverently,

The integrated financial statements and bank financial statements for the year ending on Mar. 20, 2014 are delivered, and their components are:

a) Integrated financial statements

Integrated balance sheet

Integrated profit & loss statement

Integrated accumulated profit & loss statement

Integrated comprehensive profit & loss statement

Integrated cash flow statement

b) Bank financial statements

Balance sheet

Profit & loss statement

Accumulated profit & loss statement

Comprehensive profit & loss statement

Cash flow statement

c) Descriptive notes

Generals

Base of financial statements

A brief of accounting procedures

Other notes

All financial statements were provided according to accounting standards and have been approved by board of directors on June 17, 2014.

Board members:

1. Mr. Mohammad Reza Sarokhani, Managing Director and board member
2. Mr. Alireza Lankarani, Board Chairman and member of board
3. Mr. Ali Khorsandian, unbound member of board
4. Mr. Mostafa Zarghami, bound member of board
5. Mr. Ali Rastegar, bound member of board

Bank Mellat (Public JS)
Integrated Balance Sheet (on Mar. 20, 2014)

<u>Assets</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>	<u>Debts and Equity</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>
<u>Current assets:</u>		(MRial)	(MRial)	<u>Current debts:</u>		(MRial)	(MRial)
Cash inventory	5	20,249,716	13,638,263	Debt to Central Bank	18	277,661,295	205,531,018
Claims from Central Bank	6	108,833,625	94,832,738	Debt to other banks	19	53,179,150	45,460,593
Claims from othe banks	7	145,869,160	138,377,722	Visual deposits	20	263,819,339	275,844,460
Claims from government	8	40,414,003	34,039,756	Saving deposits etc.	21	59,373,961	80,884,625
Facilities to government	9	277,432,621	241,841,283	Long investment deposits	22	540,182,946	397,620,930
Facilities to others	10	569,970,692	460,512,549	Other deposits	23	63,032,161	69,736,798
L/C and drafts	11	25,022,038	26,780,293	Tax payable	24	1,825,318	2,336,181
Debentures etc.	12	14,100,479	46,891,583	Reserves etc.	25	20,577,329	15,028,345
Investment & participation	13	32,390,935	26,945,019	For L/C and drafts	26	25,403,084	27,188,115
Tangible assets	14	43,024,799	37,814,678	Dividend payable	27	124,024	2,155,770
Intangible assets	15	2,516,526	1,564,841	Service end reserve	28	5,021,282	4,315,592
Other assets	16	110,593,659	53,729,903	Pending items	17	2,207,512	-
Pending items	17		6,349,179				
Total assets		1,390,418,253	1,183,317,807	Total debts		1,312,407,402	1,126,102,428
				<u>Equity:</u>			
				Capital	29	33,100,000	33,100,000
				On-account capital inc.		7,013,705	-
				Main company stocks	30	(1,406,993)	(1,307,030)
				Reserves	31	12,766,085	8,790,033
				Capital of sub-main co.	32	306,777	306,777
				Difference of exchange of financial statements for foreign branches	33	3,736,755	541,427
				Accumulated profit		20,407,155	14,758,240
				Total equity of main co.		75,923,485	56,189,448
				Minority share	34	2,087,367	1,025,931
				Total equity		78,010,852	57,215,379
				Sum of debts and equity		1,390,418,253	1,183,317,807
<u>Obligations:</u>	56			<u>Obligations:</u>	56		
Obligations of customers for L/C		64,241,431	91,857,660	Obligations of bank for L/C		64,241,431	91,857,660
Obligations of customers for bonds		267,799,255	140,018,937	Obligations of bank for bonds		267,799,255	140,018,937
Other obligations		125,614,007	82,507,945	Other obligations		125,614,007	82,507,945
Administered amount etc.		2,831,756	3,142,612	Administered amount etc.		2,831,756	3,142,612
Total		460,486,448	317,527,155	Total		460,486,448	317,527,155

Bank Mellat (Public JS)
Integrated Profit & loss statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
<u>A) Joint activities income</u>		(MRial)	(MRial)
Profit of facilities	35	63293415	51,524,742
Sale and services	35	21253165	21,736,978
Investments profit	37	11,907,819	8,185,441
Total joint incomes		96,454,399	81,446,161
Deducted:			
Finished price of sold goods	38	(18,580,857)	(19,363,892)
On-account investment profit	39	(59,267,694)	(46,499,677)
Paid to depositors	40	-	-
Depositors profit		(77,848,551)	(65,863,569)
Bank profit and fee		18,605,848	15,582,592
<u>B) Non-joint incomes</u>			
Received profit	41	37,465,005	20,880,157
Received fee	42	13,778,423	5,591,353
Other incomes	43	13,128,180	13,068,315
Total non-joint incomes		54,371,608	39,539,875
Total income		72,977,456	55,122,417
<u>C) Costs</u>			
Administrative costs	44	(26,556,289)	(19,678,572)
Doubtful claims	45	(10,935,123)	(11,398,486)
Service end allowances	46	(300,000)	(200,000)
Financial costs	47	(10,112,648)	(5,600,460)
Other costs	48	(781,510)	(869,167)
Total costs		(48,685,660)	(47,746,685)
Profit before tax		24,291,796	17,375,732
Deducted: Tax		(3,313,763)	2,216,622
Net profit		21,978,033	15,159,110
Minority share		279,053	163,377
Profit / share (Rls.40,000,000)		566	390
Profit / share (Rls.33,100,000)		684	471

Integrated accumulated profit

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		21,978,033	15,159,110
Start year acc. profit		13441152	7,014,241
Annual adjustments	49	<u>2,496,149</u>	<u>774,757</u>
Adjusted start year profit		14,937,301	778,898
Assignable profit		36,915,231	22,948,108
Changes of minority share		-	-
		36,915,334	22,948,108
<u>Profit assignment</u>			
Legal reserve		(3,947,641)	(2,608,493)
Reward of board		-	(2,314)
Approved dividend		(5,296,000)	(5,400,000)
Transfer to main company		<u>(6,900,000)</u>	-
		(16,143,641)	(8,010,807)
End year acc. profit		30,407,155	14,758,240
Minority share		364,537	179,061

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat (Public JS) **Integrated comprehensive accumulated profit** **for year ending on Mar. 20, 2014**

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		21,978,033	15,159,110
Excess of reevaluation of tangible assets		0	306,777
Difference of exchange of financial statements of foreign branches	33	<u>3,736,755</u>	<u>541,427</u>
Comprehensive profit		2,571,478	16,007,314
Annual adjustment	49	<u>2,496,149</u>	<u>774,757</u>
Profit after last period report		28,210,937	16,782,071
Minority share		279,054	163,377

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat (Public JS)
Integrated cash flow statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net cash flow of operations	52	10,273,568	26,095,662
<u>Return of investments:</u>			
Received profit		864,313	8,977,586
Paid profit for finance		(878,543)	(5,900,460)
Paid dividend		(7,000,601)	(4,460,457)
Received dividend		5,839	-
Paid dividend to minority stockholders		(415,701)	(8,035)
Net cash flow of investments and finance		(7,424,693)	(1,091,366)
<u>Income tax</u>			
Paid income tax		(2,935,960)	(1,455,447)
<u>Investment activities</u>			
Paid for obtaining investments		(1,982,691)	(8,914,901)
Paid for sell of investments		466,159	-
Paid for purchase of tangible assets		(5,884,217)	(7,086,634)
Paid for purchase of intangible assets		(164,525)	-
Received for selling fixed assets		840,391	(229,042)
Net cash flow for investments		(6,724,883)	(15,772,493)
Net cash flow before finance		(6,811,968)	7,776,356
<u>Finance activities:</u>			
Paid for received foreign facilities		(35,086)	(2,043)
Paid for facilities from Central Bank		-	(1,326,847)
Paid for facilities from other banks		9,670,520	361,114
<u>Chages of shares of main co.</u>		(99,963)	(647,413)
Net cash flow for finance		9,535,471	(1,615,189)
<u>Net cash flow inc.</u>		2,723,503	6,161,167
Effect of currency rate changes		503,399	-
Cash balance at start of year	53	22,987,991	16,826,824
Cash balance at end of year	53	26,214,893	22,987,991
Non-cash transactions	54	3,311,766	1,147,162

Bank Mellat (Public JS)
Bank Balance Sheet (on Mar. 20, 2014)

<u>Assets</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>	<u>Debts and Equity</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>
<u>Current assets:</u>		(MRial)	(MRial)	<u>Current debts:</u>		(MRial)	(MRial)
Cash inventory	5	14,980,894	11,107,268	Debt to Central Bank	18	277,661,295	205,531,018
Claims from Central Bank	6	108,833,625	94,832,738	Debt to other banks	19	52,772,289	44,555,595
Claims from othe banks	7	145,654,680	137,929,308	Visual deposits	20	266,960,459	276,803,530
Claims from government	8	40,414,003	34,039,756	Saving deposits etc.	21	60,150,743	80,892,581
Facilities to government	9	277,432,621	241,841,283	Long investment deposits	22	541,924,951	399,858,855
Facilities to group co.	10	14,626,160	11,904,049	Other deposits	23	50,659,692	68,318,246
Facilities to non-governme	10	567,343,057	459,046,270	Tax payable	24	747,510	1,631,117
L/C and drafts	11	25,022,038	26,780,293	Reserves etc.	25	18,952,340	14,772,267
Debentures etc.	12	14,235,197	46,227,046	For L/C and drafts	26	25,403,084	27,188,115
Investment & participation	13	21,897,423	22,587,733	Dividend payable	27	29,355	2,029,221
Tangible assets	14	39,552,896	35,342,444	Service end reserve	28	4,868,100	4,220,696
Intangible assets	15	2,379,268	1,535,565	Pending items	17	2,207,512	-
Other assets	16	98,288,799	51,467,580				
Pending items	17	-	6,349,179				
Total assets		1,370,660,659	1,180,990,512	Total debts		1,302,337,331	1,125,801,241
				<u>Equity:</u>			
				Capital	29	33,100,000	33,100,000
				On-account capital inc.		6,900,000	-
				Reserves	31	11,585,953	8,262,277
				Difference of exchange of financial statements for foreign branches	33	1,899,599	246,521
				Accumulated profit		14,837,776	13,580,474
				Total equity		68,323,328	55,189,272
				Sum of debts and equity		1,370,660,659	1,180,990,512
<u>Obligations:</u>	56			<u>Obligations:</u>	56		
Obligations of customers for L/C		64,241,431	91,857,660	Obligations of bank for L/C		64,241,431	91,857,660
Obligations of customers for bonds		267,799,255	140,018,937	Obligations of bank for bonds		267,799,255	140,018,937
Other obligations		125,614,007	82,507,945	Other obligations		125,614,007	82,507,945
Administered amount etc.		2,831,756	3,142,612	Administered amount etc.		2,831,756	3,142,612
Total		460,486,448	317,527,155	Total		460,486,448	317,527,155

Bank Mellat (Public JS)
Bank Profit & loss statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>		<u>Mar. 20, 2013</u>
<u>A) Joint activities income</u>		(MRial)		(MRial)
Profit of facilities	35	64,081,789		51,524,742
Sale and services	37	21,253,165		9,810,881
Total joint incomes			75,193,885	61,335,623
Deduced:				
On-account investment profit	39	(59,471,196)		(46,710,610)
Paid to depositors	40	-		-
Depositors profit			(59,471,196)	(46,710,610)
Bank profit and fee			15,722,689	14,625,013
<u>B) Non-joint incomes</u>				
Received profit	41	27,465,506		21,997,167
Received fee	42	13,778,488		5,588,536
Other incomes	43	9,781,073		12,358,799
Total non-joint incomes			51,025,067	39,944,502
Total income			66,747,756	54,569,515
<u>C) Costs</u>				
Administrative costs	44	(26,603,516)		(19,942,330)
Doubtful claims	45	(11,156,311)		(11,389,195)
Service end allowances	46	(300,000)		(200,000)
Financial costs	47	(10,034,891)		(6,117,852)
Other costs	48	(758,879)		(869,167)
Total costs			(48,685,660)	(38,518,542)
Profit before tax			17,894,159	16,050,972
Deduced: Tax			(1,101,780)	(1,344,908)
Net profit			16,792,379	14,706,064
Profit / share (Rls.40,000,000)			420	368
Profit / share (Rls.33,100,000)			507	444

Bank Mellat
Annual Report for 2013

Bank accumulated profit

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		16,792,379	14,706,064
Start year acc. profit		11846451	6,098,276
Annual adjustments	49	<u>1,734,023</u>	<u>382,043</u>
Adjusted start year profit		16,580,474	6,480,319
Assignable profit		30,372,853	21,186,383
<u>Profit assignment</u>			
Legal reserve		(3,339,076)	(2,205,910)
Reward of board		(6,900,000)	-
Approved dividend		(5,296,000)	(5,400,000)
		<u>(16,535,076)</u>	<u>(7,605,910)</u>
End year acc. profit		<u>14,837,776</u>	<u>13,580,474</u>

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat (Public JS)
Bank comprehensive accumulated profit
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		16,792,379	14,706,064
Difference of exchange of financial statemetns of foreign branches	33	<u>1,899,599</u>	<u>246,521</u>
Comprehensive profit		18,691,978	14,952,585
Annual adjustment	49	<u>1,734,023</u>	<u>382,043</u>
Proft after last period report		<u>20,426,001</u>	<u>15,334,628</u>

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat
Annual Report for 2013

Bank Mellat (Public JS)
Bank cash flow statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net cash flow of operations	52	13,137,954	13,664,558
<u>Return of investments:</u>			
Paid dividend		(7,295,866)	(4,587,005)
Net cash flow of investments and finance		(7,295,866)	(4,587,005)
<u>Income tax</u>			
Paid income tax		(2,185,196)	(995,577)
<u>Investment activities</u>			
Paid for purchase of fixed assets		(3,321,345)	(2,189,788)
Received for selling fixed assets		36,330	587,700
Net cash flow for investments		(3,285,015)	(1,602,088)
Net cash flow before finance		371,877	6,479,888
<u>Finance activities:</u>			
Paid for received foreign facilities		(35,086)	(2,043)
Paid for facilities from Central Bank		-	(1,326,847)
Net cash flow for finance		(35,086)	(1,328,890)
<u>Net cash flow inc.</u>		336,791	5,150,998
Cash balance at start of year	53	19,904,020	14,753,022
Cash balance at end of year	53	20,240,811	19,904,020

Descriptive notes are irrevocable parts of financial statements.

All pages signed & sealed: Audit Organization